



NATIONAL ENERGY REGULATOR OF SOUTH AFRICA

Amended

ANNUAL PERFORMANCE PLAN

2025/26 – 2027/28

Contents

STATEMENT BY THE CHAIRPERSON	
STATEMENT BY THE CHIEF EXECUTIVE OFFICER	
Official Sign-Off	
Acronyms and Abbreviations	3
List of tables and figures	9
NERSA staff complement	9
Part A: Our Mandate.....	10
1. UPDATES TO THE RELEVANT LEGISLATIVE AND POLICY MANDATES	10
2. UPDATES TO INSTITUTIONAL POLICIES AND STRATEGIES	13
Part B: Our Strategic Focus.....	22
3. SITUATIONAL ANALYSIS.....	21
4. INTERNAL SITUATIONAL ANALYSIS	46
5.1. INTRODUCTION	46
Part C: Measuring Our Performance	55
5.2.1. PROGRAMME 1: REGULATORY SERVICE DELIVERY	58
5.2.2. PROGRAMME 2: ADVOCACY AND ENGAGEMENT	101
5.2.3. PROGRAMME 3: INNOVATION	107
5.2.4. PROGRAMME 4: OPERATIONAL EFFICIENCY AND QUALITY MANAGEMENT	110
5.2.5. PROGRAMME 5: PEOPLE AND ORGANISATIONAL CULTURE	116
7. Part D: Funding for NERSA	7
8. Part E: Technical Indicator Descriptions.....	53
8.1. Performance Indicators	53
8.2. PROGRAMME 1: REGULATORY SERVICE DELIVERY	54
8.3. PROGRAMME 2: ADVOCACY AND ENGAGEMENT	85
8.4. PROGRAMME 3: INNOVATION	89
8.5. PROGRAMME 4: OPERATIONAL EFFICIENCY AND QUALITY MANAGEMENT	Error! Bookmark not defined.
8.6. PROGRAMME 5: PEOPLE AND ORGANISATIONAL CULTURE.....	219

STATEMENT BY THE CHAIRPERSON

The National Energy Regulator (NERSA) was established on 1 October 2005 in terms of the National Energy Regulator Act of 2004, and is mandated to regulate South Africa's electricity, piped gas and petroleum pipelines industries.

Within the parameters of its regulatory mandate, NERSA continuously endeavours to ensure security of supply, as well as a level playing field that contributes to improved competition in the energy sector. In regulating the electricity, piped gas and petroleum pipelines industries, NERSA adheres to the regulatory principles of transparency; neutrality; consistency and predictability; independence; accountability; integrity; efficiency; and public interest.

The development of this Annual Performance Plan is based on the premise that NERSA's performance environment is impacted by energy demand and supply trends and developments in the global, continental, regional and national environments. These trends and developments have been considered in the development of this Plan.

NERSA also acknowledges that the execution of its mandate cannot be done in isolation and to be effective in its role as a regulator, it must take a broader view of the numerous national and international factors that could impact on our performance environment.

The 2016 Paris Agreement has resulted in a major shift across the globe to address the impact of CO₂ emissions on climate change and whilst there has been significant progress, the global energy transition is entering a new phase, marked by geopolitical upheaval, rising costs, complexity, and increased technology challenges. Affordability, energy system resilience and energy security have emerged as key factors in an increasingly uncertain macroeconomic environment.

From a geopolitical perspective, the Russian—Ukraine conflict is leading the charge. The conflict has not only impacted supply and global energy value chains, but has shaken all commodity markets, as well as financial markets, in most jurisdictions around the world. Russia is the world's second-largest oil producer and a key supplier of crude oil to European refineries. It has also historically been the largest supplier of natural gas to Europe, providing about 35% of its supply.

Global CO₂ emissions from combustion and industrial processes are projected to increase until around 2025 with varying scenarios up to 2050. A successful transition away from fossil fuels will require focus beyond a single solution or technology and the future calls for a holistic transformation of the global energy system by incorporating a range of proven and emerging levers.

Access to capital, economic returns on investment, industry regulations, and successfully striking a balance between competing economic and societal priorities will be key. What's more, increased energy demand and the continued role of fossil fuels in the energy system mean emissions could continue rising through 2025—35. This means that for the next decade, emissions will remain above net-zero targets across all scenarios.

The outlook remains positive though and the projected decline in emissions will be driven primarily by economic factors, particularly the increasing cost-effectiveness of low-carbon technology in sectors such as power and road transport. Europe is on track to reach 2030 targets in the deployment of solar photovoltaic (PV), and China is making strides in both solar and electric vehicle (EV) adoption.

Globally, governments are implementing policy and regulations to drive the adoption of low-carbon technology and support a decline in emissions.

Global energy demand is growing faster than expected with projected growth of between 11% and 18%. Most of this growth will come from emerging economies, where growing populations and a strengthening middle class will result in higher energy demand. This will be further driven by the relocation of manufacturing industries from mature to emerging economies

The Association of Southeast Asian Nations (ASEAN) countries, India, and the Middle East, are critical, given that these regions are projected to drive between 66% and 95% of energy demand growth to 2050, further reshaping global energy trade flows and increasing the region's geopolitical importance. In mature economies, as well as in China, overall demand is projected to flatten in the short to medium term.

However, there are several forces at work that could affect the demand trajectory in different regions. In the United States, industrial resurgence would drive demand

growth through electrification, while in Europe, continued deindustrialisation would lead to declining demand in the region. How the world will meet the projected increase in energy demand is one of the key questions of the energy transition. Both RES and new fossil fuels build-out will be required to ensure demand is met by supply, and nuclear power could play a bigger role in the years beyond 2050.

Electricity is projected to become the largest source of energy by 2050 with consumption coming from traditional sectors such as electrification of buildings and newer sectors such as data centres, electric vehicles and green hydrogen.

The Mckinsey 2024 Global Energy Perspective contends that the rise of artificial intelligence (AI), cloud solutions and cryptocurrency and the associated boom in data centres will account for 5% to 9% of total electricity demand by 2050, accounting for 2 500 to 4 500 terawatt hours (TWh). Data centres are mostly powered by electricity (with backup generators) and have constant demand, creating greater need for gas or other firming sources of energy to balance out the intermittency of renewable energy sources.

The report goes on to say that under the Continued Momentum scenario, global green hydrogen consumption is projected to increase to 179 megatons per annum (Mtpa) by 2050, up from less than 1 Mtpa today and 5 Mtpa in 2030. This could lead to a growth in power consumption of 20% per year for the sector. Electricity consumption in transport could grow by around 10%, driven by increased penetration of EVs.

The International Renewable Energy Agency (IRENA) in its 2018 Global Energy Transformation: A roadmap to 2050 states that energy efficiency and renewable

energy are the main pillars of the energy transition. Together they can provide over 90% of the energy-related CO₂ emission reductions that are required, using technologies that are safe, reliable, affordable and widely available.

Renewable energy and energy efficiency need to expand in all sectors. The total share of renewable energy must rise from around 15% of the total primary energy supply (TPES) in 2015 to around two-thirds by 2050. To meet climate targets, the energy intensity of the global economy will need to fall by about two-thirds by 2050, lowering the total primary energy supply in that year to slightly less than 2015 levels. This can be achieved, despite significant population and economic growth, by substantially improving energy efficiency.

By 2050, all countries can substantially increase the proportion of renewable energy in their total energy use. For instance, China could increase the share of renewable energy in its energy use from 7% in 2015 to 67% in 2050. In the European Union (EU), the share could grow from about 17% to over 70%. India and the United States could see shares increase to two-thirds or more

Low-carbon energy sources are projected to grow, accounting for 65% to 80% of global power generation by 2050, depending on the scenario, up from 32% today. This growth is primarily driven by the lower cost of RES, although policy and incentives also play a role.

Whilst the outlook for clean energy presents a positive picture, in many countries international coal will continue to be the mainstay for the supply of energy. Coal is the largest energy source for electricity generation, steelmaking, and cement production. However, it's also the largest source of man-made carbon dioxide (CO₂) emissions. To meet international climate targets, curbing consumption of coal is essential.

The International Energy Agency (IEA) expects global coal demand to decline in 2026, driven by the expansion of renewable energy capacity, pace of clean energy deployment, weather conditions and structural shifts in the Chinese economy.

In South Africa, approximately 85% or 42 000MW, of the nation's electricity is generated via coal-fired power stations. Despite environmental concerns, coal will continue to provide most of South Africa's power for the next decade, although the share from renewables will grow rapidly. Non-hydro renewables are predicted to develop faster than the market, with 8.7GW of additional renewable energy capacity planned to be installed between 2023 and 2032.

Despite the progress made internationally in the development and roll out of clean energy technologies, the energy transition has been slower than expected in certain areas, and key transition levers are not yet mature, scalable, or cost-effective. This, combined with growing energy demand, means renewables alone will not be sufficient to meet projected energy demand.

Therefore, fossil fuels, including oil, natural gas, and coal, are projected to continue to play a role, albeit a moderating one, in the global energy system to 2050. This means that future fossil fuel demand over the next decade will vary by country.

The lack of clarity in how demand will unfold could dampen the appetite to invest in next-generation clean energy projects, potentially stalling or slowing the energy transition. The availability of an appropriately skilled workforce is another challenge for both renewables and fossil fuels. These industries may struggle to attract skilled workers, with new talent choosing to work in less traditional sectors, and older workers retiring.

It is against this background that NERSA developed this Annual Performance Plan for 2025/26. We acknowledge the fact that as a regulator we must, more than ever before, remain focused on the role NERSA plays in the averted and mitigation of a looming energy crisis which threatens the growth of South Africa's economy.

In any economy, economic growth is closely associated with increasing energy consumption. The availability of secure, reliable and affordable energy supply is essential for industrial processes and the provision of public services such as lighting, heating, cooking, information and communication technology, and mobility. The key role of NERSA is underpinned by its mandate that is enshrined in its founding legislation and is aligned to the objectives of our government.

NERSA took cognisance of the fact that globally the energy system is undergoing substantial changes, which are driven by, among others, political and economic instability, changes in consumption patterns, supply dynamics and policy shifts. This should be considered with the parameters of the change in the geopolitical landscape of energy and the impact the environmental issues will have on a country's energy system.

Due to the nature of NERSA's work and the resultant impact on the economy of the country and energy consumers, we have found ourselves under increased pressure to improve the systems, processes and procedures we apply in carrying out our mandate by striving towards defensible decisions.

NERSA also needs to ensure that it remains relevant in the evolving energy sector. The Plan's performance targets have been derived from the Strategic Plan for 2025 — 2030 and are based on specific, measurable, achievable, realistic and time-bound — or SMART — key performance indicators for 2025/26, with quarterly targets, that seek to ensure that the strategic objectives are achieved.

Success depends on many factors, not least of which are the adequate resourcing of the organisation, as well as quarterly performance reviews that will ensure the assessment of the overall performance of each programme against this Annual Performance Plan.

The National Energy Regulator of South Africa takes pride in submitting its Annual Performance Plan, which sets out the strategic focus of the Energy Regulator for the 2025/26 planning period. The Energy Regulator fully endorses this Annual Performance Plan and commits to supporting its implementation.



Thembani Bukula

Chairperson
National Energy Regulator of South Africa

18 December 2024



STATEMENT BY THE CHIEF EXECUTIVE OFFICER

It is my honour to hereby present the Annual Performance Plan (APP) of the National Energy Regulator of South Africa (NERSA) for the financial years 2025/26 to 2027/28.

NERSA is an independent regulator and was established on 1 October 2005 in terms of the National Energy Regulator Act, 2004 (Act No. 40 of 2004). Its mandate is to regulate the electricity industry in terms of the Electricity Regulation Act, 2006 (Act No. 4 of 2006), the piped-gas industry in terms of the Gas Act, 2001 (Act No. 48 of 2001), and the petroleum pipelines industry in terms of the Petroleum Pipelines Act, 2003 (Act No. 60 of 2003).

In carrying out its mandate, NERSA endeavours to achieve its vision to be a recognised world-class leader in energy regulation. NERSA is expected to implement its mandate and to take the necessary regulatory decisions proactively in anticipation of and in response to the changing circumstances in the energy industry. Furthermore, NERSA aims to balance the economic interests of all stakeholders by ensuring the growth and sustainability of the petroleum pipelines, electricity, and piped gas industries.

The regulatory functions of NERSA are summarised as follows: issue of licences with conditions; setting and/or approving tariffs and prices; monitoring and enforcing compliance with licence conditions; dispute resolution including mediation, arbitration and the handling of complaints; gathering, storing and disseminating industry information; setting of rules, guidelines and codes for the regulation of the three industries; determining of conditions of supply and applicable standards; consulting with government departments and other bodies with regard to industry development and regarding any matter contemplated in the three industry Acts; expropriating land as necessary to meet the objectives of the relevant legislation; registration of import and production facilities; and performing any activity incidental to the execution of the duties.

This APP complies with the minimum requirements stated in the Revised Framework for Strategic Plans and Annual Performance Plans, which was issued in 2019 by the Department of Planning, Monitoring and Evaluation (DPME). It is informed by the Strategic Plan for 2025 — 2030 and is aligned with the three key priorities of the Medium-Term Development Plan (MTDP) for South Africa 2024—2029: inclusive growth and job creation; reducing poverty and addressing the high cost of living; and building a capable, ethical, and developmental state. This APP is also aligned with the five strategic priorities of the energy sector: universal access, availability, affordability, and quality; sovereign and regional energy security; innovation and industrialization; energy demographic transformation and South Africa's continental and global leadership.

NERSA's performance in the Annual Performance Plan is measured against five programmes, namely Regulatory Service Delivery; Advocacy and Engagement; Innovation; Operational Efficiency and Quality Management; and People and Organisational Culture.

As stated in the Strategic Plan, NERSA's overall impact statement is as follows: Secure, reliable, affordable, sustainable, competitive and transformed energy industry, which contributes to the economic growth of South Africa.

To achieve the desired impact, NERSA has adopted the following strategic objectives: facilitate entry, setting prices and resolving disputes through efficient regulatory tools on an annual basis; enable a stable and diverse energy sector system and pricing regime which supports access through regulatory services that are delivered on time (annually) and to quality standards; review regulatory tools periodically to ensure that it is innovative in response to the transformation of the energy industry; review the Regulatory Framework periodically to ensure that it is relevant for effective regulation, for the benefit of customers and stakeholders, through regulatory advocacy and stakeholder engagement; and enable the provision of integrated and value-added services in an equitable and fair manner to customers.

NERSA believes that its services add value to the electricity, piped-gas and petroleum pipeline industries in support of Government's economic and social objectives, which are encompassed by key policies.

NERSA endeavours to support Government in its efforts to deal with the energy crisis, while regulating the electricity industry — striving for a balance between the needs of both the consumers and licensees. Through the development of best practice pricing and tariff techniques, NERSA will persist in its efforts to provide affordable energy for South African consumers.

NERSA will also focus on the issues the energy sector is facing, particularly in relation to our mandatory role of conducting audits to assess licensees' compliance with terms and enforcing the implementation of measure to address licensees' instances of noncompliance.

Improved turnaround times for applications for tariffs, prices, licensing, and registration; ongoing licensee performance monitoring; handling of non-compliant licences; and periodic evaluations of the sufficiency of competition are just a few examples of the ways in which NERSA seeks to meet the needs of industries it serves and stakeholders.

NERSA aims to improve the organisation's resilience and its ability to be agile and innovative. The automation and digitisation of NERSA's systems will remain a focus going forward. We will also continue to provide strategic direction and support to the management and personnel in charge of carrying out this Annual Performance Plan.

I also reaffirm our commitment to implementing this Plan with consistent and diligent attention to governance policies, principles and procedures that have resulted in six consecutive clean audit reports by the Auditor-General of South Africa. Consequently, we are confident that we will be successful in enabling an energy sector that is safe, dependable, reasonably priced, sustainable, competitive, and transformative, and that supports South Africa's economic expansion

I would like to acknowledge the important work that NERSA's staff are doing and their valuable contribution to NERSA's vision and mission. I would also like to encourage an innovative and collaborative spirit in implementing the legislative mandate of NERSA, as well as any future strategic programmes.



Adv. Nomalanga Sithole
Chief Executive Officer

Official Sign-Off

It is hereby certified that this Annual Performance Plan -

- was developed by the Energy Regulator with inputs from the Executive Management of NERSA;
- takes into account all the relevant policies, legislation and other mandates for which the Energy Regulator is responsible; and
- accurately reflects the outcomes and outputs that the Energy Regulator will endeavour to achieve over the period 2025/26– 2027/28.

Ms. Zukiswa Potye
Senior Manager: Strategic Planning and Monitoring



Signature:

Ms. Bulelwa Pono
Chief Financial Officer



Signature:

Adv. Nomalanga Sithole
Chief Executive Officer (Accounting Officer)

Adv Sithole

Signature:

Approved by:

Mr. Thembani Bukula
Chairperson (on behalf of the Accounting Authority)



Signature:

Acronyms and Abbreviations

Acronym/ Abbreviation	Definition
AFDB	African Development Bank
AFUR	African Forum for Utility Regulators
APP9	Annual Performance Plan
B-BBEE	Broad-Based Black Economic Empowerment
CAGR	Compound Annual Growth Rate
CBM	Coal Bed Methane
CNG	Compressed Natural Gas
CCGT	Combined Cycle Gas Turbine
CPI	Consumer Price Index
DJP	Durban-to-Johannesburg Pipeline
DoE	Department of Energy
DMRE	Department of Mineral Resources and Energy
ELR	Electricity Regulation
ESI	Electricity Supply Industry
FBE	Free Basic Electricity
FID	Final Investment Decision
FLNG	Floating Liquefied Natural Gas
GAR	Piped-Gas Regulation
GDP	Gross Domestic Product
GJ	Gigajoule
GSA	Gas Supply Agreement
GUMP	Gas Utilisation Master Plan
HDI/HDSA	Historically Disadvantaged Individuals/South Africans
IBT	Inclining Block Tariff
IDM	Integrated Demand Management
IEA	International Energy Agency
IEP	Integrated Energy Plan
IPP	Independent Power Producer
IRP	Integrated Resource Plan
ISO	International Organisation for Standardisation
LNG	Liquefied Natural Gas
MPP	Multi-Product Pipeline
MTEF	Medium-Term Expenditure Framework
MTSF	Medium-Term Strategic Framework
MW	Megawatt
NDP	National Development Plan
NERSA	National Energy Regulator of South Africa
NFI	Non-Financial Information
NIP	National Infrastructure Plan
OCGT	Open Cycle Gas Turbine
OECD	Organisation for Economic Co-operation and Development
PE(R)STEL	Political, Economic, Regulatory, Social, Technological, Environmental and Legal

PFMA	Public Finance Management Act, 1999 (Act No. 1 of 1999)
PPA	Power Purchase Agreement
PPR	Petroleum Pipelines Regulation

Acronym/ Abbreviation	Definition
PV	Photovoltaic
REIPP	Renewable Energy Independent Power Producer
REIPPPP	Renewable Energy Independent Power Producer Procurement Programme
RERA	Regional Electricity Regulatory Association
RIA	Regulatory Impact Assessment
ROMPCO	Republic of Mozambique Pipeline Investment Company
SACREEE	SADC Centre for Renewable Energy, Energy and Efficiency
SADC	Southern African Development Community
SAPIA	South Africa Petroleum Industry Association
SAPP	Southern African Power Pool
SCOA	Standard Chart of Accounts
SIP	Strategic Integrated Project

List of tables and figures

Table 1:	NERSA's contribution to the NDP
Table 2:	NERSA's contribution to the government's priorities
Table 3:	NERSA's contribution to the NIP
Table 4:	Five Key Crude Oil Prices in the World Market (\$/barrel)
Table 5:	A comparison of diesel prices between South Africa, the USA, Europe and Asia (US cents/ litre)
Table 6:	LPG Price trends in key regional markets (\$/tonne)
Table 7:	Natural gas prices in Latin America (2023)
Table 8:	Prices for piped-gas in North American hubs and city gates (2023)
Table 9:	Natural gas prices in North West, Mediterranean and Eastern Europe (2023)
Table 10:	Natural gas prices in the Middle East and Asia (2023)
Table 11:	Electricity production in Europe
Table 12:	North West Europe electricity consumption
Table 13:	Central Europe electricity consumption
Table 14:	Eastern Europe electricity consumption
Table 15:	Electricity prices in North West Europe
Table 17:	Electricity prices in Eastern Europe
Table 18:	US electricity generation in Spring
Table 19:	Natural Gas Prices in 5 African countries considered (2023)
Table 20:	Electricity consumption in Mozambique
Table 21:	Zimbabwe's electricity consumption
Table 22:	Eskom Tariff adjustments for the 2022/23 FY
Table 23:	Capacities concurred with by the Energy Regulator
Table 24:	Total hourly energy demand forecast between May and July 2023
Table 25:	Renewable Energy
Table 26:	Capacities registered between 2020 and 2023 as per amended Schedule 2 of the Electricity Regulation Act
Table 27:	NERSA staff complement

Figure 1: Roadmap for NECOM activities to end load-shedding

Part A: Our Mandate

1. UPDATES TO THE RELEVANT LEGISLATIVE AND POLICY MANDATES

- 1.1. There have been no changes to the legislative or other mandates of the National Energy Regulator of South Africa (NERSA).
- 1.2. NERSA is the regulatory authority established in terms of the National Energy Regulator Act, 2004 (Act No. 40 of 2004) with a mandate:
 - 'to undertake the functions of the National Electricity Regulator as set out in the Electricity Regulation Act, 2006 (Act No. 4 of 2006),
 - to undertake the functions of the Gas Regulator as set out in the Gas Act, 2001 (Act No. 48 of 2001),
 - to undertake the functions of the Petroleum Pipelines Regulatory Authority as set out in the Petroleum Pipelines Act, 2003 (Act No. 60 of 2003); and
 - to perform such other functions as may be assigned to it by or under these Acts.
- 1.3. The regulatory functions of NERSA, as contained in the legislation relevant for the regulation of the energy industry, are summarised as follows:
 - issuing of licences with conditions;
 - setting and/or approving tariffs and prices;
 - monitoring and enforcing compliance with licence conditions;
 - dispute resolution including mediation, arbitration and the handling of complaints;
 - gathering, storing and disseminating industry information;
 - setting of rules, guidelines and codes for the regulation of the three industries;
 - determining of conditions of supply and applicable standards;
 - consulting with government departments and other bodies with regard to industry development and regarding any matter contemplated in the three industry Acts;
 - expropriating land as necessary to meet the objectives of the relevant legislation;
 - registration of import and production facilities; and
 - performing any activity incidental to the execution of its duties
- 1.4. NERSA derives its revenue by, among others, imposing prescribed levies on the regulated industries, following a prescribed transparent procedure. In this regard, the following Acts govern the imposition of such levies:
 - the Gas Regulator Levies Act, 2002 (Act No. 75 of 2002);
 - the Petroleum Pipelines Levies Act, 2004 (Act No. 28 of 2004); and
 - section 5B of the Electricity Act, 1987 (Act No. 41 of 1987).
- 1.5. Apart from the aforementioned industry-specific legislation that anchors NERSA's mandate and the imposition of levies, the following facilitating and foundational legislation are also applicable to NERSA's conduct of its business:
 - the Public Finance Management Act, 1999 (Act No. 1 of 1999) ('PFMA'), which specifies the accounting of NERSA as a Section 3A Public Entity;
 - the Promotion of Access to Information Act, 2000 (Act No. 2 of 2000) ('PAIA'), which determines the way that NERSA has to treat access to information;

- the Promotion of Administrative Justice Act, 2000 (Act No. 3 of 2000) ('PAJA'), which determines the just administrative action of NERSA;
 - the Protection of Personal Information Act, 2013 (Act No 4 of 2013) ('POPIA'), which determines the way that NERSA has to treat personal information; and
 - all other applicable laws of the Republic of South Africa.
- 1.6. NERSA's mandate is further derived from published government policies and regulations developed by the Minister in terms of the Electricity Regulation Act, Gas Act and Petroleum Pipelines Act. As outlined in these legislative prescripts, NERSA must make decisions that are not at variance with published government policy. The relevant applicable policies are:
- White Paper on Energy Policy for South Africa of 1998;
 - Electricity Pricing Policy (EPP) of the South African Electricity Supply Industry;
 - Free Basic Electricity Policy;
 - White Paper on Renewable Energy Policy for South Africa of 2003;
 - Energy Security Master Plan: Liquid Fuels, published by the Department of Energy in 1998 and 2007;
 - National Development Plan;
 - Industrial Policy Action Plan (IPAP); and
 - Integrated Resource Plan (IRP) 2019.
- 1.7. NERSA advocates for the implementation of the White Paper on Energy Policy of 1998 before the principles enshrined in the policy and the suite of subsequent legislation are overhauled. As the Energy Regulator, we are aware that the policies of 1998 and the consequent suite of legislation (Gas Act, Petroleum Pipelines Act, National Energy Regulator Act and Electricity Regulation Act) that were developed between 2001 and 2006, have been actively implemented since the establishment of NERSA in October 2005. It is only now that we are able to give private investors some certainty regarding energy infrastructure investments and the level playing field we are expected to provide. Recent private sector licence applications in the piped-gas and petroleum pipelines industries are a testimony to the success of government's liberalisation policies.
- 1.8. The Electricity Regulation Act gives the mandate for competitive bidding of electricity generation capacity to the Department of Mineral Resources and Energy (DMRE), following a Cabinet decision that private sector participation in the electricity industry be split 70:30 between Eskom and the private sector, with the DMRE procuring the plant and Eskom being the 'off-taker'. Thus, it is competition for the market, but not within the market at this stage.
- 1.9. With the rapid price reduction of solar panels, a situation has arisen where rooftop solar has started to become attractive for residential consumers. This trend is more pronounced in relation to commercial premises. These installations are not effectively dealt with in the current regulatory framework, because the 'Electricity Regulations on New Generation Capacity' are only applicable to state-owned entities.
- 1.10. To license all these small installations is also onerous for the installer and NERSA. It is a much too expensive and complex process to be a realistic option for dealing with this class of generation. However, in spite of their small size, the large amount of these installations means that collectively,

they will make up a significant portion of generation. This will impact allocations made in the integrated Resource

- 1.11. In the previous five-year planning period, NERSA found that there were developments in the three industries that are not covered by the current industry- specific Act. This requires a review of the regulatory legislation.

2. UPDATES TO INSTITUTIONAL POLICIES AND STRATEGIES

- 2.1. Although policy formulation is outside of NERSA's realm of authority, specific policy gaps are continuously identified. These gaps require ongoing dialogue and strategic engagement with the Department of Electricity and Energy in order to ensure that there is alignment between NERSA's strategic direction and the Department's policy thrusts.
- 2.2. In addition to its mandate, as per the legislation mentioned in the previous section, the Energy Regulator's decisions are informed by published policies of government. Within the parameters of NERSA's mandate and the resultant functions, NERSA contributes towards critical government priorities and programmes. Below is a summary of NERSA's contributions towards the:
- enabling milestones in the National Development Plan (NDP);
 - strategic integrated projects in the National Infrastructure Plan (NIP);
 - and seven priorities announced by the Honourable President, Mr Cyril Ramaphosa during the State of the Nation Address (SONA) in Parliament on 18 July 2024.
- 2.2.1. **NERSA's contribution to the National Development Plan**
- 2.2.1.1. The National Development Plan (NDP) is a plan for the country to eliminate poverty and reduce inequality by 2030 through uniting South Africans, unleashing the energies of its citizens, growing an inclusive economy, building capabilities, enhancing the capability of the state and leaders by working together to solve complex problems. The high-level objectives of the NDP are to:
- reduce the number of people who live in households with a monthly income below R419 per person (in 2009 prices) from 39% to zero; and
 - reduce inequality, as measured by the Gini Coefficient, from 0.69 to 0.6.
- 2.2.1.2. Chapter 4 of the NDP deals with *Economic infrastructure – the foundation of social and economic development*. This chapter places the emphasis on the need for South Africa to maintain and expand, among others, its electricity infrastructure in order to support economic growth and social development goals. In respect of the regulation of the energy sector, NERSA noted that the NDP calls for greater emphasis on stimulating market competition and promoting affordable access to quality services when issuing licences and setting tariffs.
- 2.2.1.3. In order to achieve the NDP goals by 2030, 19 enabling milestones were identified. Even though NERSA contributes indirectly to most of the enabling milestones, NERSA contributes specifically to four pertinent enabling milestones.
- 2.2.1.4. Table 1 below summarises NERSA's contribution to the relevant enabling milestones.

Table 1: NERSA's contribution to the NDP

Relevant enabling milestones	NERSA's contribution
1: Increase employment from 13 million in 2010 to 24 million in 2030	• Implementation of the Youth Employment Accord • Implementation of a Learnership and Internship Programmes • Training and development of staff and stakeholders • Techno Girls programme where ten girls from grade 9 to grade 12 are exposed to NERSA's activities through visits to the organisation during school holidays.
4: Establish a competitive base of infrastructure, human resources and regulatory frameworks	• Publication of rules, codes, and guides for the regulation of the electricity, piped-gas, and petroleum pipelines industries • Setting rules and frameworks that facilitate the building of new infrastructure • Setting and/or approving cost-reflective tariffs and market-related prices that encourage investment • Facilitating and enforcing third-party access to facilities through licence conditions • Monitoring compliance through undertaking technical audits leading to regular maintenance and refurbishment of infrastructure and thus contributing to an increase in quality of supply.
5: Ensure that skilled, technical, professional and managerial posts better reflect the country's racial, gender and disability makeup	• NERSA ensures continued compliance with the Skills Development Act. No. 97 of 1998 • Implementation of an Employment Equity Plan • When recruiting new staff members, NERSA ensures as far as possible that the representation within the relevant department and division reflects the country's racial, gender, and disability makeup.
6: Broaden ownership of assets to historically disadvantaged groups	• Licensing and the setting and/or approving of tariffs and prices, as in this manner NERSA creates pre-conditions towards the achievement of this milestone • Issuing licences to eligible applicants to facilitate the meeting of stated socio-economic development targets • Facilitating and enforcing third-party access to facilities • Promoting companies that are owned and controlled by Historically Disadvantaged Individuals (HDIs) to become competitive • Regulatory advocacy for strengthening the powers of the Regulator.
10: Produce sufficient energy to support industry at competitive prices, ensuring access for poor households, while reducing carbon emissions per unit of power by about one-third	• Regulating in a manner that facilitates security of supply • Taking affordability into consideration when setting and/or approving tariffs and prices • Determining inclining block tariffs and free basic electricity tariffs to protect the low-income electricity consumers • Facilitating the conclusion of Power Purchase Agreements between the buyer and the renewable energy Independent Power Producers • Facilitation of the implementation of the Integrated Resource Plan (IRP) through considering concurring with determinations made by the Minister in line with section 34 of the Electricity Regulation Act, 2006 (Act No. 4 of 2006) • Development and implementation of the Grid Code for renewable energy to facilitate the introduction of renewable energy power producers • Registration of gas importation and production facilities • Monitoring the implementation of the Gas Utilisation Master Plan (once promulgated) • Facilitating access to electricity in setting aside some funds for the Electrification Cross-subsidy as part of determining electricity prices • Incorporating compliance with the National Environmental Management Act, 1998 (Act No. 107 of 1998) into licence conditions • Promoting energy efficiency in general in South Africa, and in particular in the NERSA building • Facilitating the transition to a low carbon economy • Regulatory advocacy with regard to cleaner fuels policy.

2.2.2. **NERSA's contribution to the National Infrastructure Plan 2050 – Phase**

2.2.2.1. The South African Government published the National Infrastructure Plan (NIP) 2050 – Phase in March 2022. The NIP 2050 identifies the most critical actions needed for sustained improvement in public infrastructure delivery. The NIP 2050 will have an impact in the short term, but will also keep longer-term imperatives in view. This phase of the NIP 2050 focuses on four mission critical network sectors that provide a platform: energy, freight transport, water and digital infrastructure.

2.2.2.2. The NIP 2050 provides guidance on themes common to the four sectors, with significant emphasis on building capacity in the following:

- **Knowledge and innovation services**, for capability in planning, monitoring, budgeting, finance, procurement, project preparation, project management and sector-specific innovation. This enables evidence-based decision-making, improves cost-effectiveness, mitigates risk and helps optimise and can contribute significantly to improving infrastructure quality, delivery and sustainability. Building these capabilities will be the NIP's top priority.
- **Public-private cooperation and stimulation of competition**, where appropriate, in the delivery of public infrastructure.
- **Spatial transformation** to promote more inclusive development in line with the National Spatial Development Framework (NSDF).
- **Blended project finance** and innovative green finance.
- **Executive management and technical capability** within the state and its entities, so that they are stable and can lead and deliver with confidence.
- **Economic regulation.**
- **Industrial development and localisation** in the design and approach to implementation. Examples are localisation of supplier industries to infrastructure projects, driving the establishment of Special Economic Zones around intermodal transport linkage nodes, and the stimulation of the civil construction and supplier industries.
- **Efficient modes of delivery.**
- **A safe, secure and ethical environment** for public infrastructure delivery.
- **Delivery of an Africa regional infrastructure programme.**
- **South African civil construction and supplier industries**, so that local industry gains from state infrastructure investment.

2.2.2.3. In order to address these challenges and goals, a total of 18 strategic integrated projects (SIPs) have been developed. The following three SIPs were identified for energy

- a) SIP 8: Green energy in support of the South African economy
 - Support sustainable green energy initiatives on a national scale through a diverse range of clean energy options, as envisaged in the Integrated Resource Plan (IRP2010).
 - Support bio-fuel production facilities.
- b) SIP 9: Electricity generation to support socio-economic development
 - Accelerate the construction of new electricity generation capacity in accordance with the IRP2010 to meet the needs of the economy and address historical imbalances.
 - Monitor the implementation of major projects such as new power

stations: Medupi, Kusile and Ingula.

- c) SIP 10: Electricity transmission and distribution for all
- Expand the transmission and distribution network to address historical imbalances, provide access to electricity for all and support economic development.
 - Align the 10-year transmission plan, the services backlog, the national broadband roll-out and the freight rail line development to leverage off regulatory approvals, supply chain and project development capacity.

2.2.2.4. Table 3 below summarises NERSA's contribution to the relevant strategic integrated projects (SIPs).

Table 3: NERSA's contribution to the NIP

Relevant SIPs	NERSA's contribution
8: Green energy in support of the South African economy	• Facilitating the conclusion of Power Purchase Agreements between the buyer and the renewable energy Independent Power Producers • Incorporating compliance with the National Environmental Management Act, 1998 (Act No. 107 of 1998) into licence conditions • Facilitating the implementation of the Integrated Resource Plan (IRP) through considering concurring with determinations made by the Minister in line with section 34 of the Electricity Regulation Act, 2006 (Act No. 4 of 2006) • Facilitating the transition to a low carbon economy • Regulatory advocacy with regard to cleaner fuels policy.
9: Electricity generation to support socio-economic development	• Regulating in a manner that facilitates security of supply and investment • Facilitating the conclusion of Power Purchase Agreements between the buyer and the renewable energy Independent Power Producers • Setting rules and frameworks that facilitate the building of new infrastructure • Setting and/or approving cost reflective tariffs and prices that encourage investment • Monitoring compliance through undertaking technical audits leading to regular maintenance and refurbishment of infrastructure and thus contributing to an improvement in quality of supply.
10: Electricity transmission and distribution for all	• Facilitating access to electricity in setting aside some funds for the Electrification Cross-subsidy as part of determining electricity prices • Taking affordability into consideration when setting and/or approving tariffs and prices, while allowing a provision for expansion of current operations • Determining inclining block tariffs and free basic electricity tariffs to protect the low-income electricity consumers • Facilitating reliability of supply • Determining benchmarks and monitoring maintenance of infrastructure • Auditing of the implementation of the Transmission Development Plan.
	• Monitoring compliance with licence conditions • Dispute resolution, including mediation, arbitration and handling of complaints.

2.2.3. NERSA'S CONTRIBUTION TO THE GOVERNMENT'S PRIORITIES

During the opening of Parliament on 18 July 2024, President Cyril Ramaphosa announced the following three strategic priorities areas for the government to realise the vision of the National Development Plan (NDP):

- Priority 1: Inclusive growth and job creation
- Priority 2: Reduce poverty and tackle the high cost of living
- Priority 3: A capable, ethical and developmental state

NERSA identified Priority 1 (Inclusive growth and job creation) as a key priority to which it can contribute – as part of implementing its mandate. NERSA will also contribute towards Priority 2 (Reduce poverty and tackle the high cost of living) and Priority 3 (A capable, ethical, and developmental state).

Furthermore, the Minister of Electricity and Energy also unveiled Priorities for the Energy Sector for the 7th Administration. Of these, NERSA has identified priorities it will support through the implementation of its mandate. The following are the five (5) Energy Sector priorities for the 7th Administration:

- **Priority 1:** Universal Access, Availability, Affordability, and Quality
- **Priority 2:** Sovereign and Regional Energy Security
- **Priority 3:** Innovation and Industrialisation
- **Priority 4:** Energy Demographic Transformation
- **Priority 5:** South Africa's Continental and Global Leadership

Table 3 below summarises NERSA's contribution to the afore mentioned priorities.

3.2 NERSA's contribution to the Government's Strategic Priorities (MTDP 2024 – 2029), and the Five Priorities of the Energy Sector for the 7th Administration

MTDP Priority	Energy Sector Priority	NERSA's contribution	Implementing Programme/Division
P1: Inclusive Growth and Job Creation P2: Reduce poverty and tackle the high cost of living.	• Achieve Universal Access, Availability, Affordability and Quality. • South Africa's Continental and Global Energy Leadership.	Contributing to a competitive and responsive economic infrastructure network through: • Publication of rules, codes, and guides for the regulation of the electricity, piped gas, and petroleum pipelines industries. • Infrastructure planning capability and platform for petroleum pipelines • Continuous improvement on economic regulation through working with other economic regulators as well as Competition Authorities. • Setting rules and frameworks that facilitate the building of new infrastructure. • Setting and/or approving cost-reflective tariffs and market-related prices that encourage investment. • Facilitating and enforcing third-party access to facilities through licence conditions. • Monitoring compliance through undertaking technical audits leading to regular maintenance and refurbishment of infrastructure and thus contributing to an increase in the quality of supply.	• Programme 1: Regulatory Service Delivery (All Regulatory Divisions)
P1: Inclusive Growth and Job Creation P2: Reduce poverty and tackle the high cost of living	• Energy demographic transformation	By facilitating investment in the energy industry and thereby contributing to economic growth, leading to job creation, NERSA contributes through: • Monitoring enforcement of HDSAs empowerment/BBBEE • Licensing and the setting and/or approving of tariffs and prices, as in this manner NERSA creates pre-conditions towards the achievement of this priority. • Approving energy licenses including renewables to ensure that the socio-economic development commitments specified in the bidding process are met. • Promoting companies that are owned and controlled by Historically Disadvantaged	• Programme 1: Regulatory Service Delivery (All Regulatory Divisions)

MTDP Priority	Energy Sector Priority	NERSA's contribution	Implementing Programme/Division
		Individuals (HDIs) to become competitive. - Regulating in a manner that facilitates the security of supply. - Licensing and the setting and/or approving of tariffs and prices, by creating pre-conditions towards the achievement of the NDP. - Issuing licences to eligible applicants to facilitate the meeting of stated socio-economic development targets. - Facilitating and enforcing third-party access to facilities. - Network code and capacity allocation to achieve a diverse and inclusive energy sector - Recommend the amendment of the Gas Act to the Ministry of Electricity and Energy - Approve tariff that reflects the costs required by the operator to run the system as an incentive to ensure the future security of supply - Develop reports on new developments in the gas industry - Regulation of the Cross-Border Pipeline: Harmonisation of Regulatory Framework to manage Cross boarder gas infrastructure and Gas trading	
P1: Inclusive Growth and Job Creation P2: Reduce poverty and tackle the high cost of living	Achieve Universal Access, Availability, Affordability and Quality.	- Considering affordability when setting and/or approving tariffs and prices. - Determining inclining block tariffs and free basic electricity tariffs to protect the low-income electricity consumers. - Facilitating the conclusion of Power Purchase Agreements between the buyer and the renewable energy Independent Power Producers. - Facilitating the implementation of the Integrated Resource Plan (IRP) by considering concurring with determinations made by the Minister in line with section 34 of the Electricity Regulation Act, 2006 (Act No. 4 of 2006), as amended. - Development and implementation of the Grid Code for renewable	- Programme 1: Regulatory Service Delivery (All Regulatory Divisions) - Programme 2: Advocacy and Engagement

MTDP Priority	Energy Sector Priority	NERSA's contribution	Implementing Programme/Division
		energy to facilitate the introduction of renewable energy power producers. • Registration of gas importation and production facilities. • Monitor the implementation of the Gas Utilisation Master Plan (once promulgated). • Regulation of the Cross-Border Pipeline: Harmonisation of Regulatory Framework to manage Cross Boarder gas infrastructure and Gas trading • Avoidance of undue cannibalisation of the MPP • Optimisation of utilisation of existing infrastructure • Third Party access – SA Power Pool import/exports trading • Monitoring available capacity in the gas infrastructure and enforce 3rd party cross border • Facilitating access to electricity by setting aside some funds for the Electrification Cross-subsidy as part of determining electricity prices. • Incorporating compliance with the National Environmental Management Act, 1998 (Act No. 107 of 1998) into licence conditions. • Promoting energy efficiency in general in South Africa • Facilitating the transition to a low-carbon economy. • Regulatory advocacy regarding cleaner fuels policy.	
P3: A Capable, Ethical and Developmental State	• Energy demographic transformation • South Africa's Continental and Global Energy Leadership.	• Implementation of the Youth Employment Accord. • Implementation of a Learnership and Internship Programmes • Training and development of staff and stakeholders. • Techno Girls programme where ten girls from grade 9 to grade 12 are exposed to NERSA's activities through visits to the organisation during school holidays. • Tracking and monitoring the implementation of the Gas Act (2001) and Electricity Regulation Amendment Act (2024) in terms of employment and improvement of	• Programme 5: People and Organisational Culture • Programme 1: Regulatory Service Delivery (All Regulatory Divisions)

MTDP Priority	Energy Sector Priority	NERSA's contribution	Implementing Programme/Division
		socio-economic conditions – in consultation with the IPP office. • Transforming the energy industry • External Bursary Programme. • Exchange programmes and training with regulators in the Southern African Development Community (SADC) and East African regions. • Information Exchanges with Regulators from the Members of the SADC Region and the East African Region. • Transparent, predictability and certainty regulatory processes. • Uptodate code of ethics and undertake awareness and training • All decisions and reasons thereof are made public through being published on the website. • The public is invited to make comments before decisions are made (written or in a public hearing). • Customer education programmes and awareness campaigns. • Training and development of staff and stakeholders, including training to electricity distributors on the completion of the forms requesting information from them. • Updated secondment policy that enables rotation to local industry players as well as secondments to regional, continental and global institutions and multi-lateral bodies • Regulatory advocacy for strengthening the powers of the Regulator.	

Part B: Our Strategic Focus

3. SITUATIONAL ANALYSIS

3.1.EXTERNAL ENVIRONMENT ANALYSIS

The Energy Regulator of South Africa's (NERSA) performance environment of is impacted by trends and developments in energy demand and supply at national, continental, regional and international levels.

3.1.1 Global Trends

According to the World Economic Forum insight report¹, the following key issues of the energy system and energy transition are worth noting:

- a) Energy is a key element of the modern economy. The availability of secure and reliable energy supply is essential for industrial processes and the provision of public services such as lighting, heating, cooking, information and communication technology, and mobility.
- b) The energy system is undergoing unprecedented change, driven by forces such as technological innovation, changes in consumption patterns, supply dynamics and policy shifts. These forces offer opportunities to resolve the challenges that the global energy system faces today, namely:
 - providing energy access to the more than one billion people who lack it;
 - meeting demand for an additional two billion people by 2050 while delivering that energy at an affordable cost; and
 - ensuring that the carbon and emissions footprint decline.
- c) The geopolitical landscape of energy is quickly shifting, and environmental concerns have shaken the system's foundations. At the same time, the economics of competing energy sources have changed, and the advent of Fourth Industrial Revolution technologies has enabled new business models while making others obsolete. The latter has created significant uncertainty about the pace and destination of the transformation, making a strong case for a systemic, multi-stakeholder

¹ World Energy Forum report (2024) on *Fostering Effective Energy Transition: A Fact-Based Framework to Support Decision-Making*

approach that increases the transparency of the enablers and reforms needed for countries to achieve an effective energy transition.

- d) Energy systems are complex and are at the heart of every country's economy. These systems aim to support society in the three dimensions of the energy triangle, namely:
 - inclusive economic development;
 - environmental sustainability; and
 - secure and reliable access to energy.
- e) The boundaries of energy systems have recently started shifting. The stakeholders are diverse, including:
 - end-users and industrial consumers;
 - energy companies;
 - financial sector entities;
 - policy-makers;
 - cities;
 - international energy organisations; and
 - civil society.
- f) In the last decade, the following trends have emerged:
 - Technological progress has allowed new forms of producing, storing, transforming and consuming energy, altering the nature of the energy system.
 - Energy consumption patterns have fundamentally shifted, resulting in new demand dynamics.
 - Policymakers have started to adapt energy policies, and new coalitions have been formed to address challenges and harness opportunities associated with these developments.
- g) Countries can use these game-changing trends to enhance their energy systems and improve the wellbeing of their populations.

3.1.1 Global Energy Consumption and Demand Trends

Growth in global energy demand is underpinned by increasing levels of prosperity in emerging economies. The extent and persistence of this growth depends on the pace of energy efficiency improvements.

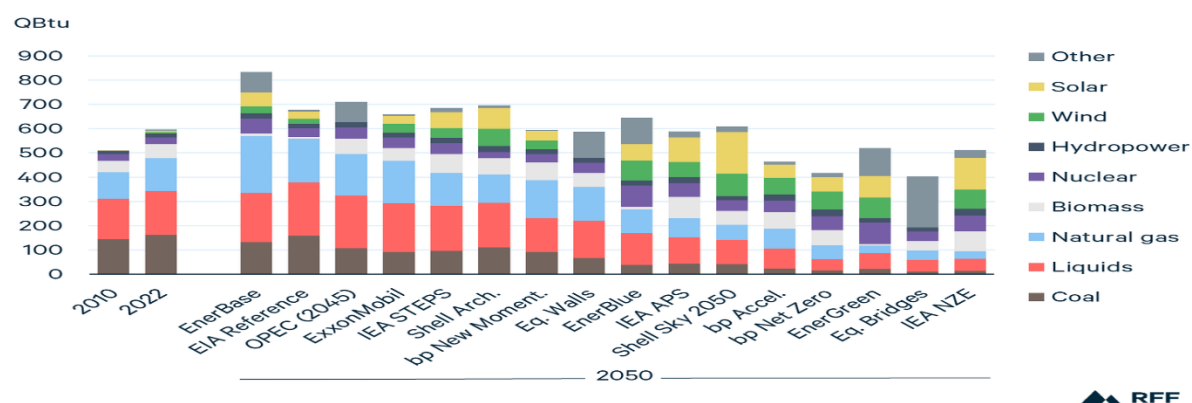


Figure 1: Global primary energy demand

Source: Global Energy Outlook (2024), Resources for the Future

- a) As depicted in Figure 1 above, coal demand declines relative to 2022 in every scenario examined here, ranging from 2% (EIA) to 93% (Equinor Bridges) lower by 2050. Similarly, oil demand is lower at the end of the projection period for all but four scenarios, where it grows slowly. Liquids demand, which incorporates biofuels, will increase by 2050 in six scenarios (Energy Information Administration [EIA], EnerBase, ExxonMobil, IEA Stated Policies Scenario [STEPS], OPEC, and Shell Archipelagos). Projections for natural gas demand are mixed, with roughly half showing growth and half showing reductions. Under all Ambitious Climate scenarios, global gas demand falls considerably, ranging from a drop of 59% (bp Net Zero) to 78% (EnerGreen and IEA Net Zero Emissions [NZE]) relative to 2022 levels.
- b) Wind and solar grow faster than any other sources in percentage terms under all scenarios but with a wide range. For example, the EIA projects global wind energy to roughly triple over the projection period, which is the most bearish scenario. Evolving policy scenarios, such as IEA STEPS, show wind growing 5-fold, while solar grows more than 10-fold. Under ambitious climate scenarios, solar and wind rise from 2% of the energy mix in 2022 to roughly one-third or more by 2050.

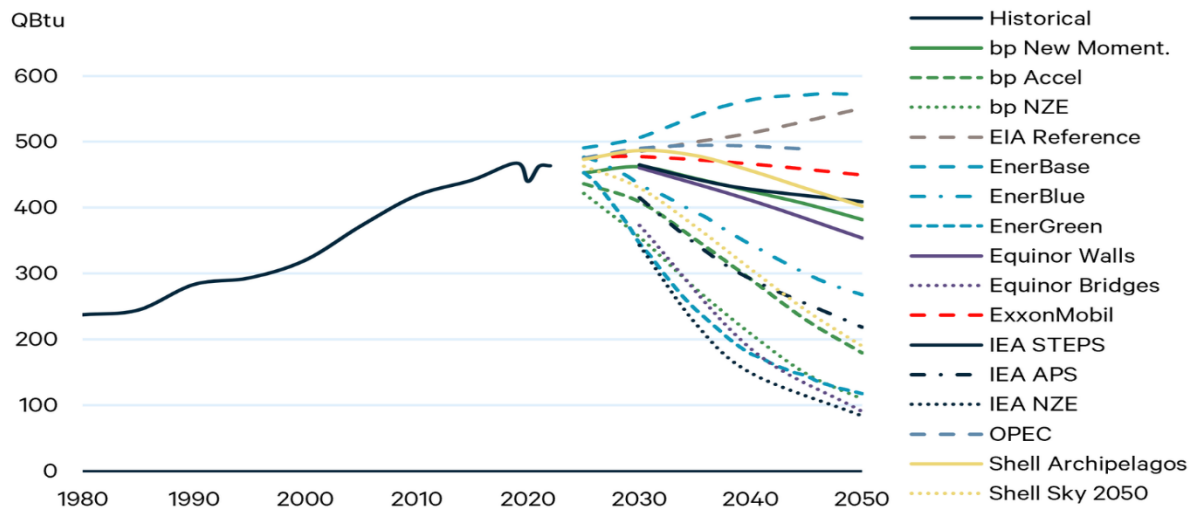


Figure 2: Global primary fuel demand

Source: Global Energy Outlook (2024), Resources for the Future

- c) According to Global Energy Outlook (2024), climate scenarios show global fossil fuel use of roughly 100 quadrillion British thermal units (QBtu) in 2050, slightly higher than total US primary energy demand (refer to Figure 2 above). The wide range of projected fossil fuel demand also highlights the deep uncertainty of the future of the world energy system, with 2050 scenarios spanning 487 QBtu, roughly equivalent to global consumption of fossil fuels in 2022.
- d) Several ambitious climate scenarios show global fossil fuel use of roughly 100 quadrillion British thermal units (QBtu) in 2050, slightly higher than total US primary energy demand. The wide range of projected fossil fuel demand also highlights the deep uncertainty of the future of the world energy system, with 2050 scenarios spanning 487 QBtu, roughly equivalent to global consumption of fossil fuels in 2022.

Figure 3 below depicts shares of global primary demand by fuel, spanning from 2023 to 2050.

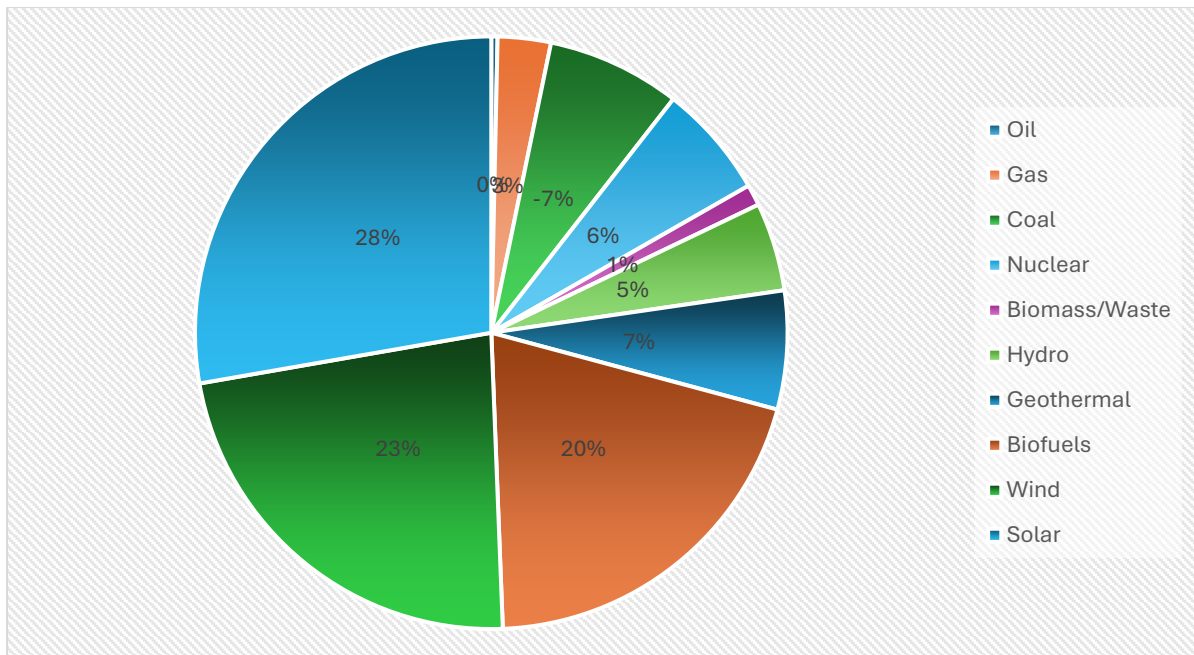


Figure 3: Shares of global primary demand by fuel (2023 – 2050)

Source: ExxonMobil Global Outlook Data (2024)

- a) Figure 3 illustrates the shares of global primary energy demand by fuel. It shows that the oil industry has been the least consumed, as evidenced by 0.1% accounted for during the selected period. Fifteen per cent (15%) more energy is projected to be needed in 2050 compared to 2023, driven by growing population and rising prosperity in developing nations.
- b) According to ExxonMobil Data (2024)², the average share of fuel demand consumption is dominated by solar with 28%, followed by wind power (23%), and biofuels (20%), geothermal (1.6%), nuclear (1.5%) and hydro (1.2%) (see Figure 3).
- c) Rapid growth in wind and solar in the energy mix, a projected fourfold increase by 2050, will spur the biggest changes to the energy landscape. Commercial transportation and industrial activity will account for nearly half of the world's emissions in 2050. Wind and solar will play a limited role in these sectors.
- d) As reported on World Energy Outlook (2023)³, Global electricity demand is set to increase rapidly in all scenarios because of population and income growth and the electrification of increasing numbers of end-users. By 2050, demand for electricity will rise from its current level by over 80% in the STEPS, 120% in the APS and 150% in the NZE scenarios. The additional demand is met mainly by low-emission sources of electricity – renewables, nuclear power, fossil fuels

² ExxonMobil Global Outlook Data (2024)

³ World Energy Outlook (2024): International Energy Agency

equipped with carbon capture, hydrogen and ammonia – raising their share of electricity supply in each scenario. The share of unabated fossil fuels declines sharply, with their combined output falling by over one-third from 2022 to 2050 in the STEPS, three-quarters in the APS and nearly 100% in the NZE scenarios.

- e) Global electricity demand growth to 2050 is driven by emerging market and developing economies, which account for about three-quarters of the global total in the STEPS, APS and NZE scenarios. Today, China is the largest electricity consumer, with demand growth of over 2% on average per year to 2050 in all scenarios, which means that it will use twice or more as much electricity as any other country by 2050. Annual electricity demand growth of around 5% puts India behind China and the United States in terms of electricity consumption by 2050 in all scenarios.
- f) Coal is the world's largest source of electricity today, accounting for 36% of the total, but is overtaken by renewables by 2025 in all three scenarios. By 2030, with new construction slowing and efforts to transition away from coal underway in many countries (IEA, 2022d), the share of unabated coal in electricity generation falls below 25% in the STEPS, 20% in the APS and 15% in the NZE scenarios.
- g) The role of natural gas in power systems is evolving and varies widely by scenario. Natural gas provides 22% of global electricity as well as flexibility and reliability services today, but gas-fired generation peaks before 2030 in all three scenarios. Its share in total electricity generation falls to under 20% in 2030 and close to 10% by 2050 in the STEPS scenario, with markets in advanced economies increasingly looking into gas-fired power plants for flexibility rather than bulk output as they integrate rising shares of solar PV and wind. While gas-fired power rises in absolute terms in China and other emerging markets and developing economies beyond 2030, its share gradually declines.
- h) Hydro power produced 14% (4,210 TWh) of global electricity in 2023. Hydro power has an important role in the current energy mix. Not only is it the largest source of clean power, but it also provides flexibility to help accommodate the large influx of wind and solar. The world needs new hydro power plants, but in many regions, hydro resources have already been maximised. In others where there is potential, the projects may come at too high an ecological cost. In 2023, China produced the most electricity from hydro power with 1,244TWh (13% of its mix), ahead of Brazil (431 TWh) and Canada (365 TWh), which both rely on hydro for about 60% of their electricity generation.
- i) Wind produced 7.8% (2,304 TWh) of global electricity in 2023. Wind, alongside solar, is key to reducing emissions in the electricity sector. Both sources will form the backbone of the future electricity system by providing nearly 70% of global electricity by 2050. Therefore, rapid scale-up is required this decade.

China leads the world in wind power. It generated 886 TWh from wind in 2023, more than twice that of the United States (425 TWh) and six times that of Germany (137 TWh).

- j) Solar power produced a record 5.5% (1,631 TWh) of global electricity in 2023. As of 2023, 33 countries generated more than a tenth of their electricity from solar. Solar provides clean power that can be deployed quickly and locally to the demand source. New solar power produces the cheapest electricity in history, according to the IEA. As such, together with wind, solar will form the backbone of the future electricity system, providing nearly 70% of global electricity by 2050. In August 2023, a new record was set for the all-time monthly high for solar generation at 159 TWh. August's record was 28% above generation in August 2022 and 23% above the previous record of 129 TWh in July 2022.

Global energy demand projections are as follows:

- Lifting nations toward the modern energy minimum will drive a projected 15% increase in total energy use worldwide between now and 2050. Renewables will play an important role. So will oil and natural gas (ExxonMobil Global Outlook, 2024).
- Nearly this increase enables economic growth in developing countries. By contrast, energy use in developed nations will decline by more than 10% as efficiency improves.
- Coal will continue to be displaced by lower-emission sources, including natural gas, which reduces carbon emissions by up to 60% in electricity generation.
- The demand for oil to make gasoline for passenger cars will drop by 2050.
- As part of the world's total energy mix, electricity use will grow by 80% by 2050.
- The Global Outlook sees a plateau in oil demand beyond 2030, remaining above 100 million barrels per day through 2050.

Liquid fuels

- a) The duration of recent disruptions to crude oil production in Libya are a key uncertainty for the oil market in 4Q24. Political unrest and increased tensions between competing Libyan government factions have halted production across numerous oil fields in the country. Estimates are that production fell as low as 0.4 million b/d by the end of August, down from 1.1 million b/d in 1H24. We assume Libya's oil production will average 0.6 million b/d for the remainder of the year (EIA, 2024).

- b) Although OPEC cuts and recent production outages in Libya are limiting world oil production growth, the estimation are that growth outside of OPEC will remain strong. It is also expected that global production of petroleum and other liquid fuels will increase by 0.3 million b/d in 2024. OPEC liquid fuels production forecast points to a 1.4 million decrease b/d in 2024, while production outside of OPEC is expected to increase by 1.7 million b/d, led by growth in the United States, Canada, Guyana, and Brazil. Global production of liquid fuels will increase by 2.4 million b/d in 2025, with OPEC production increasing by 0.8 million b/d and 1.6 million b/d of production growth from countries outside of OPEC.
- c) Global consumption of liquid fuels will increase by 0.9 million b/d in 2024 and 1.5 million b/d in 2025. 2024 forecast is below 0.2 million b/d from last month and the 2025 forecast is also below 0.1 million b/d due to downward revisions to demand in China and OECD Europe. Most of the expected liquid fuels demand growth is from non-OECD countries, which increase their liquids consumption by 1.0 million b/d in 2024 and 1.3 million b/d in 2025. OPEC revised its petroleum consumption forecast growth in China for 2024 and 2025 down because of slower economic activity, as well as new monthly statistics, showing a slowdown in diesel demand, jet fuel consumption, and crude oil refinery runs in China. OPEC has forecasted that China's petroleum and liquid fuels consumption will grow by about 0.1 million b/d in 2024 and 0.3 million b/d in 2025, respectively.

Natural gas

- d) Fossil gas produced 23% (6,634 TWh) of global electricity in 2023, the second-largest source worldwide. After coal, gas is the second largest contributor to emissions from the power sector. Although it will play a role in the medium term, helping with power system flexibility to accommodate larger shares of wind and solar, the use of unabated gas will be limited as countries move to clean power systems. The US had the highest electricity generation from gas in 2023, with 1,802 TWh (42% of the mix). This was more than three times the second-highest, Russia, at 545 TWh (46% of the mix). US gas generation accounted for more than a quarter (27%) of the global total.
- e) Gas generation reached a new record high of 6,634 TWh in 2023. Gas generation was up by 53 TWh (+0.8%) from 6,582 TWh in 2022. Despite the record total gas generation, the increase of 53 TWh is one of the lowest increases recorded since the turn of the century. While generation increased, the gas share fell slightly by 0.3 percentage points, from 22.8% in 2022 to 22.5% in 2023 due to overall electricity demand rising at a faster rate. Monthly global gas generation across 2023 remained largely similar to 2022. There were minimal monthly fluctuations. July and August recorded two consecutive new all-time highs for gas generation

in a single month, with 629 TWh and 633 TWh, respectively, beating the previous record set in August 2022 of 618 TWh.

- f) In the IEA's World Energy Outlook 2023, the Stated Policies Scenario (STEPS) sees global installed capacity of gas-fired power plants in 2030 10% higher than in 2022, equivalent to about 200 GW of capacity additions. This compares to capacity additions of approximately 240 GW between 2015 and 2022 and shows there will be continued demand for gas turbines worldwide, eventually expected to be hydrogen-powered in the IEA's NZE Scenario. For example, Germany, aiming to largely rely on renewable generation for its energy transition, is planning to operate 23.8 GW of hydrogen power plants by 2035, with tenders expected to be auctioned by 2026.

Coal

- g) Coal generated 35% (10,434 TWh) of global electricity in 2023, remaining the largest source of electricity generation. Coal power is the single largest contributor to emissions from the power sector, and indeed the single largest source of emissions across the entire global economy. The world must move rapidly to reduce its role in the next two decades to have a chance at limiting global warming to 1.5C.
- h) China produced by far the most electricity from coal in 2023. Its output of 5,716 TWh represented more than half (55%) of total global coal generation in 2023. India produced the second highest amount of electricity from coal, but at 1,480 TWh, this amounted to only a quarter of China's coal generation.
- i) Coal generation reached another record high in 2023. Globally, 10,434 TWh of electricity was produced from coal in 2023. Generation increased by 146 TWh (+1.4%) compared to 2022, slightly higher than the annual growth seen from 2021 to 2022 of 131 TWh (+1.3%). However, while total global electricity generation increased, the share of coal in the global mix has fallen slightly, by 0.3 percentage points, from 35.7% in 2022 to 35.4% in 2023. Coal generation increased most in China (+319 TWh, +5.9%) and India (+100 TWh, +7.3%). Smaller increases were recorded in Viet Nam (+24 TWh, +23% TWh) and Mexico (+12 TWh +55%).
- j) Countries in Europe and North America, as well as other OECD countries such as Australia, Japan and South Korea, which have a larger historical responsibility for emissions, would phase out coal by 2035. For less developed countries with large amounts of coal generation – such as China, India and Indonesia – the next step is to end growth in coal generation and begin a phasedown.
- k) In July 2024, the European coal price (API2) averaged \$111.52/T, reflecting a 1% decrease month-on-month (m-o-m) and a 2% increase year-on-year (y-o-y).

Meanwhile, in China, the QHG coal price averaged \$130.37/T, reflecting a 3% decrease m-o-m and a 4% increase y-o-y. European coal prices decreased, mirroring the bearish movement of TTF spot prices. Weak coal demand in the region persisted as gas-fired generation remained more competitive. Additionally, in China, coal prices also declined.

Electricity

- l) Global electricity demand grew by a relatively modest 2.2% in 2023, down from 2.4% in 2022. Growth, however, is on course to accelerate to a higher 3.4% in our 2024 – 2026 forecast period, with emerging markets continuing to dominate growing electricity demand, as they did in 2023. The far-ranging repercussions of the energy crisis continued throughout 2023, with elevated inflation levels, high interest rates and heavy debt burdens exerting downward pressure on economies around the world. Still, emerging market countries recorded strong growth in electricity demand. By contrast, most advanced economies posted declines amid the lackluster macroeconomic environment, as well as the weak industry and manufacturing sectors, despite continued electrification. Milder weather compared to the previous year also exerted downward pressure on electricity consumption in some regions, including the United States (IEA, 2024)⁴.
- m) According to International Energy Agency (2024), global electricity demand is expected to rise at a faster rate over the next three years, growing by an average of 3.4% annually through 2026. The gains will be driven by an improving economic outlook, which will contribute to faster electricity demand growth both in advanced and emerging economies. Particularly in advanced economies and China, electricity demand will be supported by the ongoing electrification of the residential and transport sectors, as well as a notable expansion of the data centre sector.
- n) The share of electricity in final energy consumption is estimated to have reached 20% in 2023, up from 18% in 2015. While this is progress, electrification needs to accelerate rapidly to meet the world's decarbonisation targets. In the IEA's Net Zero Emissions by 2050 Scenario, a pathway aligned with limiting global warming to 1.5 °C, electricity's share in final energy consumption nears 30% in 2030.
- o) Electricity consumption from data centres, artificial intelligence (AI) and the cryptocurrency sector could double by 2026. Data centres are significant drivers of growth in electricity demand in many regions. After globally consuming an estimated 460 terawatt-hours (TWh) in 2022, data centres' total electricity consumption could reach more than 1 000 TWh in 2026. This demand is roughly equivalent to the electricity consumption of Japan. Updated regulations and technological improvements, including efficiency, will be crucial to moderate the surge in energy consumption from data centres.

⁴ International Energy Agency (2024): Electricity Analysis and Forecast

- p) About 85% of additional electricity demand through 2026 is set to come from outside advanced economies, with China contributing substantially even as the country's economy undergoes structural changes. In 2023, China's electricity demand rose by 6.4%, driven by the services and industrial sectors. With the country's economic growth expected to slow and become less reliant on heavy industry, the pace of Chinese electricity demand growth eases to 5.1% in 2024, 4.9% in 2025 and 4.7% in 2026 in the forecasts. Even so, the total increase in China's electricity demand through 2026 of about 1 400 TWh is more than half of the European Union's current annual electricity consumption. Electricity consumption per capita in China has already exceeded that of the European Union in 2022 and is set to rise further. The rapidly increasing production of solar PV modules and electric vehicles, and the processing of related materials, will support ongoing electricity demand growth in China while the structure of its economy evolves.
- q) More than half (52%) of the world's electricity demand in 2023 was in Asia, which is still relatively low given the region has 55% of the world's population. China, the country with the highest demand at 9,441 TWh, made up 62% of Asia's and 32% of global electricity demand.
- r) Global per capita demand in 2023 was 3.7 MWh. Countries with a similar per capita demand include Argentina and South Africa. As a result of improved living standards, per capita demand has been steadily rising over the last two decades and was up nearly 50% over 2000 (2.5 MWh). In the IEA Net Zero Emissions scenario, electricity demand grows by 3.5% annually between 2023 and 2030, a rise from the average annual growth of 2.7% between 2016 and 2022. In 2023, electricity demand grew by 2.2% (+627 TWh) compared to 2022. Electrification increases electricity demand, while energy efficiency also helps to suppress it.
- s) Globally, the trend in renewable energy that is receiving the most attention from regulators is the installation of rooftop solar PV from a domestic customer point of view. This is putting a big dent in utility revenues and there are implications for regulators as well, among others:
- the sustainability of licensees;
 - restructuring of tariffs by licensees in response to small-scale energy generation;
 - tariff structures for feeding power onto the grid;
 - the network impact of these installations; and
 - control of quality of supply for other customers.

The most difficult implication to deal with is the sustainability of the licensees. NERSA has addressed these issues in varying degrees, but it requires ongoing attention.

3.1.2 Continental Developments

- a) Power demand in sub-Saharan Africa still struggles to recover from the COVID-19 period slump, with growth a little over 1% in 2023 compared with 4.5% growth in the previous year. In 2024, however, power demand is expected to resume higher growth levels, in step with a more positive economic outlook for the region. But factors from the global environment, including high fuel prices, geopolitical instability and supply chain bottlenecks, continue to suppress regional demand along with local challenges such as chronic power supply shortages and deficient infrastructure. Despite expressions of increased commitment to clean energy by both governments and private entities, the region's overriding objective is to balance energy transition aspirations with the imperative of increasing the availability of electric power. Unfortunately, sub-Saharan Africa continues to hold the world's worst record for electricity access. Fifty per cent (50%) of the region's population, totalling approximately 600 million people, lack access to electricity. (S&P Global, 2024)⁵.
- b) Africa's population is expected to almost double between 2018 and 2040 (from about 1.3 billion to 2.1 billion people), with more than half a billion people expected to flock to Africa's urban areas. Energy demand is expected to grow at a commensurate pace, with estimates for energy and electricity demand as high as increasing by 60% and 75%, respectively, by 2030.
- c) Africa's growing energy needs will mean a degree of reliance on fossil fuels for some time before a full transition takes place to clean energy technologies. These fossil fuels include oil for transport, liquefied petroleum gas (LPG) for cooking and natural gas for industry. In the STEPS, an expanding vehicle fleet increases road transport demand for oil by 15% in 2030. Fossil fuel holds over half the oil and gas reserves of the African continent. Bioenergy dominates the primary energy mix, accounting for 60% of primary energy demand but the share of energy supply from modern renewables is only about 10%.
- d) South Africa remains the largest power market in sub-Saharan Africa, accounting for some 45% of total regional demand. After domestic power demand increased by about 2% in 2022, it declined in 2023, mostly owing to a deficit in available generation capacity to meet power needs. However, growth is expected to resume in 2024, based on the government measures to increase power generation from existing plants and implement new power projects. Nigeria, sub-Saharan Africa's second-largest power market, recorded strong 7% growth in 2022 and then slightly slower growth in 2023 at 4%, a rate that is expected to continue into 2024.

⁵ S&P Global, Sub-Saharan Africa: Key Theme in 2024

- e) Energy demand in sub-Saharan Africa is very low. However, several factors are pointing towards potentially rapid and prolonged growth in demand: strong economic expansion; increasing urbanisation; industrialisation and modernisation; a burgeoning middle class in many countries; and a legacy of unmet energy demand. The sub-Saharan African energy system is expected to expand rapidly by 2040, as do the demands placed upon it. The sub-Saharan Africa economy will quadruple in size, the population will nearly double (to 1.75 billion), and energy demand will grow by around 80% by 2040. The capacity and efficiency of the system improve, and access to modern energy services grows, but many of the existing energy challenges are only partly overcome.
- f) The Southern African Development Community's (SADC) share of this envisaged growth for sub-Saharan Africa is 52.8 GW required for universal energy access and 53% renewables in the energy mix by 2040. The SADC region has one of the highest solar and great wind energy potential in sub-Saharan Africa. The falling costs of solar photovoltaic (PV) and wind energy technologies and the discovery of transition minerals essential for shifting to low-carbon economies in several SADC countries make the region a favourable destination for renewable energy project developers. Yet only 1% of solar and wind energy potential in SADC countries has been tapped to date.

3.1.3 Regional Developments

- a) For the Southern African Development Community (SADC) to flourish, energy is essential. Beyond their everyday applications, gasoline and electricity serve as catalysts for infrastructure initiatives that promote economic growth and regional integration. The production and distribution of energy will only become more significant as the SADC area industrialises and moves closer to better human development. A framework for collaboration on energy policy among SADC Member States was established by the Protocol on Energy, which was passed by the organisation in 1996 after it became apparent how essential energy was to achieve its objectives.
- b) The SADC has implemented several strategic initiatives for the region's energy development since the Protocol on Energy was adopted. Despite the slow pace of these policies' execution, the region has made great progress, especially in power. The Southern African Power Pool (SAPP), which was formed when nine SADC member states combined their electrical systems, lowers costs and establishes a competitive single market for electricity in the area. Comparably, SADC formed the Regional Electricity Regulatory Association (RERA), which has aided in the unification of the regulatory frameworks governing energy and its related industries throughout the region.

- c) While SADC is enacting several initiatives to address these issues, it has identified three chief points of focus, as follows:
- Electricity Generation – Southern Africa has ample resources for electricity generation, though it occasionally lacks the capacity for development.
 - Hydropower – Hydropower has grown in importance for both regional and global energy markets.
 - Regional Transmission Interconnection – Implementation of priority interconnector projects that are aimed to connect Angola, Malawi and Tanzania to the Southern Power Pool.

Electricity

- d) South Africa is the largest producer of electrical equipment (cables, steel products). Zimbabwe has an electrical equipment manufacturing sector where advanced and sophisticated manufacturing can be developed further. Zambia is a major producer of copper, a critical input in electrical equipment. South Africa buys copper from the United Arab Emirates, Zambia and the Democratic Republic of Congo, turning it into copper wire. It exports more advanced equipment primarily to SADC countries, including Namibia, Botswana, Zimbabwe and Zambia (Trade Map, 2024)⁶. The main components produced in South Africa for generation, transmission line and distribution are a broad range of conductors, insulators, generators, transformers, switchgear, copper cables and wire products. South Africa also has good cable production capability from high voltage (HV), medium-voltage (MV) and low voltage (LV) cables used in distribution lines. M-TEC, Aberdare Cables, and Alvern Cables are South Africa's three largest electrical cable producers.
- e) Access to electricity in Africa has stagnated and has not kept up with population. This trend was accelerated by the COVID-19 pandemic, with more than 970 million people lacking access to clean cooking fuels and technologies (IEA, 2023)⁷.
- f) The Southern African Power Pool (SAPP) specified that a total of 10 040 megawatts (MW) was planned to be commissioned from 2021 to 2023, while a total of 5 059 MW was planned to be decommissioned during the same period in the region. The SADC Regional Infrastructure Development Master Plan (RIDMP) identified 73 power generation projects to increase generation from the current 56 000 MW and surpass the projected demand of 96 000 MW by 2027.
- g) SADC's exports of electrical machinery and equipment accounted for over US\$2 billion in 2022. South Africa accounted for the highest share of exports at 80%, Zambia 3%, and Zimbabwe 1%. SADC exports increased by 15% in 2022 from

⁶ Trade Map (2024): Calculated from ITC Trade Map Data

⁷ International Energy Agency (2023)

the previous year, South Africa by 11% and Zambia by 31%, while Zimbabwe saw a 38% decline. The top exported products from SADC were insulated wires and cable; electrical apparatus; electrical transformers and static converters; electric accumulators; boards, panels, consoles; monitors and projectors; electric instantaneous or storage water heaters; parts for flat panel display modules; and electric motors and generators.

- h) The projected demand for electrical equipment is increasing due to the shift towards renewable energy and electrification projects in the region, as discussed in the trends in demand section. Structural transformation within the regional and global context sees the demand for electrical equipment for green industrialisation, including electrical vehicles, batteries and new transmission lines that are planned to be constructed by national power utilities and IPPs within the region. This presents an opportunity to produce electrical equipment to supply both regional and global markets (TIPS, 2024)⁸.

Petroleum and gas

- i) The regional gas plan has been identified as a regional opportunity to tackle all the challenges in the gas industry. The Gas Master Plan (GMP) released by the Department of Mineral Resources and Energy came at a time when prior warnings of gas supply shortages will become a reality in June 2026, after Sasol's announcement that it will stop supplying natural gas from Mozambique due to the termination of the contract (Good Governance Africa, 2024)⁹. In addressing the gas supply shortage, the pipeline will potentially connect liquefied natural gas (LNG) from Mozambique's Matola terminal to South Africa. The terminal is being developed by Beluluane Gas Company, a joint venture between Gigajoule, a South African energy company, and Total Energies, a French oil multinational company.
- j) The Gas Master Plan is designed to complement existing energy policies and contribute to an integrated energy planning approach for the country as outlined in the updated Integrated Resources Plan. Its objectives are to:
- identify strategic partners in the Southern Development Community (SADC) to unlock local and regional gas demand;
 - determine resilient gas infrastructure options in lieu of demand uncertainties and the possibility of a transition to cleaner fuels; and
 - unlock local and regional gas demand.

⁸ Trade & Industrial Policy Strategies (2024): Electrical Equipment Value Chain

⁹ Good Governance Africa (2024): Policy Briefings

- k) Gas reserves are predominantly found in Angola, Tanzania, Mozambique and South Africa. More recently, natural gas exploration has been underway in Namibia, with two smaller fields discovered offshore. With gas used for power generation and manufacturing of products, such as plastic, in addition to cooking and heating, the region is in a favourable position to revisit phase one of the SADC regional gas master plan and use updated domestic gas master plans, such as South Africa's, to take full advantage of commercially exploitable quantities in the SADC region.
- l) In 2023, South Africa exported a total of 628 million litres (62%) and 415 litres (44%) of petrol and diesel respectively, primarily to Botswana, as opposed to 577 million litres (67%) and 447 million litres (50%) of petrol and diesel, respectively, in 2022. South Africa also exported petrol to other South Africa's neighbouring countries, namely DRC, Lesotho, Swaziland, Zambia and Zimbabwe. Diesel was also exported to Lesotho, Swaziland, DRC and Zimbabwe (SARS, 2023).
- m) The bulk of South Africa's jet fuel was sold to vessels and aircraft at 96% (435 million litres) in 2023, with only 3% (13 million litres) exported to Botswana. .
- n) There are several ports to import product to South Africa, but the Port of Durban is deemed the port of entry. From there, the inland areas and several adjacent SADC countries are supplied. Matola in Mozambique is also an alternative supply route to the Mpumalanga and Gauteng provinces.
- o) Only six countries have proven gas reserves, with Namibia being the only one with no gas production. The remaining SADC countries (Lesotho, Madagascar, Malawi, Mauritius, Seychelles, Swaziland and Zambia) have no known reserves.
- p) All 54 African countries, including South Africa, Zambia and Zimbabwe, committed to reducing greenhouse gas emissions by submitting a Nationally Determined Contribution (NDC) (AfDB, n.d.). This climate action pledge is a plan towards climate change adaptation and a transition towards clean energy. The Sustainable Africa Scenario (SAS) (based on climate goals in NDCs), modelled by the International Energy Agency (IEA), projects modern primary energy supply to increase at an average annual rate of 3% between 2020 and 2030, and the total primary energy supply (including the use of traditional solid biomass) to fall by 13% by 2030 (IEA, 2023). Projections by the IEA forecast declining traditional use of biomass and a rapid increase in the use of renewable energy, followed by oil and natural gas (IEA, 2023).

3.1.4 Economic Outlook

a) According to the South African Reserve Bank (2024), South Africa's current domestic economic performance can be summarised as follows:

- South Africa has experienced over a decade of weak economic growth. GDP growth has averaged only 0.8% annually since 2012, entrenching high levels of unemployment and poverty.
- To turn the tide and raise economic growth sustainably, the government is prioritising energy and logistic reforms, along with measures to arrest the decline in state capacity.
- The following were identified as factors restricting growth:
 - High cost of living
 - Policy uncertainty
 - Low investments due to weak confidence challenging business conditions linked to structural constraints.

The South African economy's performance can be summarised with the following economic indicators:

- According to the South African Reserve Bank (2024)¹⁰, real gross domestic expenditure (GDE) decreased by 0.9% in the first quarter of 2024 following an increase of 1.4% in the fourth quarter of 2023. All the components of real gross domestic final demand contracted in the first quarter of 2024, together with a de-accumulation in real inventory holdings. Consequently, the level of real GDE in the first quarter of 2024 was 1.4% lower than a year earlier. Only real net exports contributed positively to growth in real GDP in the first quarter of 2024, as real imports contracted more than real exports.
- Moreover, due to a marginal increase in households' real disposable income, the growth in real final consumption expenditure by households decelerated to 0.5% in the third quarter of 2024 from 1.2% in the second quarter. While growth in real spending on non-durables remained steady in the third quarter, real spending on durable, semi-durable, and services increased slightly. The average level of real spending by households in the first three quarters of 2024 was 0.6% higher than in the corresponding period of 2023, but when measured over a year, real spending by households increased to 1.4% during this period.
- Following widespread job gains in three of the four major sectors: the formal, informal, and agricultural sectors, the total household-surveyed employment improved by 294 000 in the third quarter of 2024. In contrast, during this period, there were job losses in the private household sector. Sectors such as construction, mining, transportation, storage, and communication services saw job increases in the third quarter of 2024, which contributed significantly to the growth in formal sector employment. The year-on-year rate of increase in total household-surveyed employment eased further, from 1.9% (306 000) in the

¹⁰ South African Reserve Bank. (2024). Quarterly Bulletin. December 2024

second quarter of 2024 to 1.2% (201 000) in the third quarter, owing to base effects from the Presidential Youth Employment Initiative (PYEI) during the previous year. As a result, employment contracts with a limited duration dropped significantly by 6.3%, while permanent and unspecified duration contracts dropped by 1.5% and 0.7%, respectively.

- The official unemployment rate fell to 32.1% in the third quarter of 2024, after three consecutive quarterly increment. The sharp decline in the number of unemployed surpassed the increase in the number of employed. The not economically active population grew by 214 000 people in the third quarter of 2024, due to a rise in both discouraged job seekers and those classified as other not economically active. Nevertheless, the expanded unemployment rate, which includes discouraged job seekers, fell from 42.6% in the second quarter of 2024 to 41.9% in the third quarter, owing primarily to a significant reduction in the number of officially unemployed people.
- After four consecutive quarters of contraction, the third quarter of 2024 saw a 0.3% increase in real gross fixed capital formation as a result of higher capital spending by public corporations and the general government, while private business enterprises saw a further decline in fixed investment.
- Since November 2024, the dollar has strengthened against most emerging countries' currencies, including South Africa. Dollar appreciation could be attributed to a reduction in the number of interest rate cuts expected from the Federal Reserve
- The Monetary Policy Committee (MPC) unanimously decided to cut interest rates by 25 basis points to 7.75% in November from 8% in September. This marks the second consecutive quarterly cut since September. The South African Reserve Bank (SARB) emphasised that their preference of 25-basis points rather than 50-basis points cut is spurred by an uncertain environment.
- Headline inflation (CPI) increased marginally from 2.8% in October to 2.9% in November 2024. This slight increase was driven by higher fuel prices in November, with a significant decrease in food and non-alcoholic beverages inflation only acting as a partial offset. This rate remains below the target range of 3-6% and signals subdued inflationary pressures. Nonetheless, inflation forecasts were slightly revised and expected to remain below the midpoint inflation target of 4.5% in the short term but rise to 4.6% from the fourth quarter of 2025 to 2026 (SARB,2024).
- The Actual fuel costs were 8.6% in the second quarter and decreased to -1.2% in the third quarter. Petrol prices were forecast\
- ed to further decline to -12.1% in the fourth quarter. However, in November, fuel prices (both grades) rose by R0.25 per litre. The main contributing factor is the ongoing conflict in the Middle East, as well as the standoff between Iran and

Israel. Additionally, Brent crude oil prices were slightly lower in November, averaging US\$74.4/bbl versus \$75.6/bbl in October. In the same period in November, the rand was marginally weaker, averaging R17.94/US\$ as compared to R17.58/US\$ in October. As a result, the price of fuel for both grades increased again by R0.17/l in December. Diesel prices increased by R0.55 per litre. Higher fuel prices exert additional strain on consumers who are already experiencing high cost-of-living pressures.

3.1.5 Impact of BRICS on the Energy Sector

- a) Brazil, Russia, India, China and South Africa have invited and signed an agreement to admit six other countries to the BRICS grouping, namely Argentina, Egypt, Ethiopia, Iran, Saudi Arabia and the United Arab Emirates. The expanded BRICS is the lynchpin of the changing world order and economic clout for the promotion of the Global South agenda. As evidence suggests, the new group is likely to exert a profound influence over the world's energy investment and trade: apart from impressive oil and gas deposits, an expanded BRICS could have 72% of rare earths (and three of the five countries with the largest reserves). Before its expansion, the bloc accounted for 36.4% of primary energy supply, having seen a sharp increase of 11.6% in global energy sector shares between the year of its formation and 2022 (International Energy Agency, 2024). The concept of energy cooperation among the countries of BRICS revolved around producing and consuming, with Russia and Brazil boasting vast primary energy markets and China and India importing their goods. With the addition of Saudi Arabia, the UAE, and Iran, this expanded group would include three of the world's largest oil exporters and would constitute 42 % of the global oil supply. In addition, over the long term, an expanded BRICS grouping could be significant for energy markets.
- b) South Africa has reaped the benefits of membership of this important bloc. BRICS countries are uniquely positioned to support South Africa's energy recovery. BRICS countries contain almost half the world's population and account for approximately 40% of the world's energy consumption. BRICS is responsible for 48% of the world's coal consumption, 22% of the world's oil consumption and 13.5% of the world's natural gas consumption, while renewable energy consumption is only 16%. BRICS renewable energy consumption has been growing year by year, driven by most BRICS members' commitment to mitigating climate change and global for low carbon development. BRICS countries are not only consumers of energy, as all members have substantial fossil fuels and available renewable energy resources. BRICS members account for 40% of the world's coal reserves, 25% of the world's natural gas reserves and 8% of the world's oil reserves. In the renewable energy sector, solar power from South

Africa, Brazil and India, wind power from Russia and China, as well as biomass from Brazil, all enjoy substantial resource advantages (DTI,2023)¹¹.

- c) China has substantial oil and gas trade with Russia, oil and gas cooperation with Brazil, a joint natural gas pipeline project with India and renewable energy trade with South Africa. South Africa is a pioneer in clean coal, in which India and China have an interest. The Russian state energy company, Rosatom, has signed an agreement with South Africa to construct small hydropower plants in Mpumalanga as a key component of South Africa's energy security strategy (DTI,2023).
- d) South Africa's Integrated Resource Plan, which drives BRICS energy policy, envisions that in the next 10 years, coal, which currently accounts for 85% of South Africa's electricity, will drop below 60% by 2030. By that stage, solar energy is expected to be almost 20% and wind a further 8%, bringing the total contribution of renewables to around 25% in less than a decade.

3.1.6 National Environment

Electricity

- a) As of December 2024, Eskom reached a milestone of 261 consecutive days without loadshedding, this was achieved through the successful implementation of the Generation Recovery Plan since March 2023. This accomplishment has resulted in significant cost savings and enhanced the reliability of the coal-fired fleet, ensuring a stable and reliable power supply for all South African.
- b) The recovery plan has resulted in year-on-year diesel savings of R16.46 billion, approximately 67.7% less than the R24.32 billion spent during the same period last year. Diesel usage remains below the year-to-date budget (Eskom ,2024). These developments were influenced by seasonal factors such as reduced power plant efficiency during the warmer summer months, highlighting a proactive and potentially sustainable approach to improving the reliability of maintenance operations at Eskom's power plants.
- c) Year-to-date, the EAF averaged 60.3%. However, we acknowledge that data for the first week of December 2024 indicates the EAF dipped to 59.4%. In November, the EAF declined marginally by 0.6% compared to October, largely due to an increase in planned maintenance (Eskom and Minerals Council,2024). In August 2024, Eskom shared its Summer Outlook for the period from 01 September 2024 to 31 March 2025, predicting a likely scenario of a loadshedding-free summer due to structural generation improvements. This outlook remains unchanged.
- d) As per Figure 4 below, Eskom has sustained a stable Energy Availability Factor above 60% for seven consecutive months while achieving significant reductions

¹¹ Department of Trade and Industry (2023): SA benefits from BRICS grouping

in unplanned outages and OCGT usage. The increase in planned maintenance aligns with seasonal strategies to enhance reliability ahead of winter 2025, with Eskom projecting no loadshedding in 2025. Further supporting this outlook, Eskom plans to add 2,500 MW of generation capacity by March 2025. This includes the return of Medupi Unit 4, Koeberg Unit 2, and the synchronisation of Kusile Unit 6. The timely addition of this capacity is expected to ensure continued stability, keeping loadshedding absent through the summer months. Positive year-to-date trends in electricity generation and the sector's contribution to GDP growth underscore progress in operational efficiency and meeting demand sustainably.

Figure 4: Eskom EAF, average per month (Nov 2023-Nov 2024)

Source: Eskom & Minerals Council (2024)¹²

Figure 4: Eskom EAF, average per month (Aug 2023-Aug 2024)

- e) In July 2024, Eskom imported 830 GWh of electricity while exporting 1,111 GWh, making the utility a net exporter for the second consecutive month. Eskom also aims to add approximately 2,500 MW of generation capacity by January 2025 through the implementation of its recovery plans. Koeberg Nuclear Power Station Unit 2 is expected to return to service from a long-term outage in December 2024, bringing 930 MW to the grid. Kusile Unit 6 will be synchronised for the first time into the grid in December 2024, adding 800 MW of capacity. The return of Medupi Unit 4 from an extended outage will add another 800 MW before the financial year-end.

Petroleum and gas sector

¹² Minerals Council South Africa (2024): Eskom update

- f) South Africa has a well-developed petroleum industry that imports, produces and distributes petroleum products for its domestic market and abroad. South Africa consumes more than 25 million litres of petroleum products each year, facilitated by imports and its three operational refiners. The country boasts 3,800 kilometres of pipeline for transporting crude oil and petroleum products, as well as a network of over 4,000 petrol stations (SAPIA, 2024)¹³.
- g) Between June 2023 and June 2024, petrol and diesel prices surged by 7.2% (from R22.63 to R24.25/litre) and 8.5% (from R19.31 to R20.96/litre), respectively. Meanwhile, crude oil prices in United States (US) dollars increased by 9.3% (from US\$75.90/barrel to US\$82.98/barrel), while Rand prices surged by 7.8% (from R1 420.09/barrel to R1 530.98/barrel). During this time, the Rand appreciated by 1.4% versus the US dollar, dropping from R18.71 to R18.45 (DoE, 2024).
- h) Paraffin is a widely used fuel in South African households, particularly among low-income communities. The global paraffin market has seen considerable price swings in recent years owing to a complex interaction of economic, political and environmental variables. One of the key reasons for these price swings is the volatility of crude oil prices because paraffin is a refined product of crude oil. Between June 2023 and June 2024, the price of illuminated paraffin in Gauteng increased by 8.8% (from R13.96 to 15.19) and Coastal regions increased by 8.9% (from R13.04/litre to R14.21/litre (DoE, 2024)¹⁴.
- i) Transnet Pipelines (Pipelines) is Southern Africa's largest multiproduct pipeline operator, managing a 3 114 km high-pressure petroleum and gas network for over 55 years. It is regulated by NERSA. Its core mandate is to ensure petroleum security of supply for the inland market and gas security of supply for KwaZulu-Natal using environmentally responsible methods, while maximising efficiency (Transnet Pipelines Report, 2024). The network traverses five provinces (KwaZulu-Natal, Free State, Mpumalanga, Gauteng and North West) and includes a strategic inland accumulation facility in Jameson Park, Gauteng (TM2), with a capacity of 180 million litres, ensuring security of supply to the inland economic hub and surrounding areas. It also features a 29 million litre tank farm in Tarlton for storage and distribution via rail and road.
- j) Approximately 2.6% of the country's energy requirements are met using natural gas. South Africa's energy supply is dominated by coal, which accounts for 74% of the country's capacity, nuclear accounts for 4%, whereas hydropower and pumped storage comprise 3% and 5%, respectively. Currently, South Africa remains a net importer of gas. Most of the imported gas is imported from the

¹³ South African Petroleum Association (SAPIA) (2024)

¹⁴ Department of Energy Report (2024)

Temane and Pande Gas fields in Mozambique and is utilised in Sasol's chemical and GTL facilities, with the remainder being supplied to gas traders, local gas distributors and a significant number of industrial customers.

- k) Most of South Africa's needs for natural gas are met by imports. Owing to a lack of resources at home, a sizable amount is imported, mostly via pipeline from neighbouring Mozambique. More than 90% of the 2.8 billion kilograms of natural gas that South Africa imported in 2022 came from Mozambique, compared to nearly 3.0 billion kilograms of natural gas that was imported in 2023. Imports are essential for sustaining industry and producing energy, even though South Africa produces some gas domestically and is investigating the possibility of shale gas (SARS, 2023). Despite having large deposits of coal at home, South Africa is mostly dependent on exports (coal) which account for 6% of all exports worldwide. The main export hub is the Richards Bay Coal Terminal, which mostly ships steam coal to nations in the Pacific Basin, including South Korea and India. To fill domestic demands and rectify quality variations, South Africa has been turning more and more to nations like Australia and the United States for specialised forms of coal, including coal briquettes. This shift in import sources has occurred in recent years, though. South Africa imported a total of 2.0 billion kilograms (52%) of other types of coal in 2023, from 1.2 billion kilograms (47%) in 2022, then bituminous coal with a total of 1.3 billion kilograms (32%) in 2023, from 965 million kilograms (39%) in 2022 and 627 million kilograms (16%) of anthracite in 2023 from 357 million kilograms (14%) in 2022 as reported by South African Revenue Services (2023)¹⁵.

Gas-to-power procurement programme

- l) In April 2024, the Department of Mineral Resources and Energy published the drafted Gas Master Plan (GMP2024). The draft GMP2024 is a policy instrument that seeks to ensure security of gas supply by diversifying supply options from both local and international markets. It outlines the role of natural gas in the context of the energy mix and provides policy direction to the industry in South Africa. The plan considers the complete gas topology, including demand, supply, importation, infrastructure and distribution networks. It recognises the critical role of natural gas in the country's economy and anticipates the infrastructure required for the delivery of gas at a point of consumption based on a least-cost model (DMRE, 2024).
- m) The Gas Master Plan includes four scenarios, including a base case that shows that gas demand will far exceed supply in the short term and that the gap, which has been described as an anticipated 'gas cliff', might worsen as demand grows. It has also been published against the backdrop of anticipated growth in gas-to-

¹⁵ South African Revenue Services (2023)

power generation, with a public procurement programme underway and Eskom also pursuing its own large-scale Greenfield and diesel-to-gas conversion initiatives. The draft GMP2024 recommends that South Africa should focus on the importation of liquefied natural gas (LNG) over the short- to medium-term to meet demand and pursue regional supply options to mitigate the supply shortfall anticipated between 2026 and 2030 (DMRE, 2024).

4. INTERNAL SITUATIONAL ANALYSIS

4.1. INTRODUCTION

4.1.1. NERSA's operating environment was analysed using the SWOT (Strengths, Weaknesses, Opportunities and Threats) and PERSTEL (Political, Economic, Regulatory, Social, Technology, Environment and Legal) factor analysis. The outcome of the analysis is presented as follows:

4.1.1.1. The identified external factors (threats and opportunities) are linked to the relevant PERSTEL factors and enhancing and mitigating strategies have been proposed.

4.1.1.2. The identified internal factors (strengths and weaknesses) are listed, with proposed enhancing and mitigating strategies.

4.1.2. As part of the analysis of the operating environment, key challenges were identified that could have an impact on NERSA's ability to achieve some of the planned outputs in the Annual Performance Plan for 2025/26 – 2027/28. Initiatives are proposed to mitigate the challenges and key issues that must be addressed when implementing the proposed initiatives, where applicable.

4.1.3. The last element of the internal situational analysis was the identification of key priorities to be focused on in the 2024/25- 2026/7, as well as the new planning period (2025/26 – 2027/28).

THREATS AND OPPORTUNITIES IN OPERATING ENVIRONMENT

OPPORTUNITIES	MITIGATING STRATEGIES	PERSTEL FACTOR	IMPACT IF FACTOR IS NOT ADDRESS
1. Restructuring of the Electricity Supply Industry (ESI)	a) Development of regulatory tools that enhance the effective regulation of the restructured industry b) Upskill the regulator in line with the restructured industry c) Alignment of NERSA's structure with the restructured industry	Political Legislation	Inability of the ESI to provide sustainable services
2. Amendment of all enabling legislation and policies	a) Provide inputs to the Draft Amendment Bill and Policies b) Regulatory and policy advocacy in line with the approved Regulatory Stakeholder Engagement and Policy Advocacy Strategy c) Continuously assess efficiency of legislation and policies	Legislation	- Impact on effectiveness of regulation - Impact on the orderly development of the industries - Impact on the security of supply and investments and competitiveness
3. Introduction of new technologies	a) Regulatory advocacy to influence political will towards new technologies	Technology	Stagnation of regulated industries, which

OPPORTUNITIES	MITIGATING STRATEGIES	PERSTEL FACTOR	IMPACT IF FACTOR IS NOT ADDRESS
in the regulated industries	b) Sensitise stakeholders and policy makers on the benefits of new technologies in the regulated industries c) Artificial intelligence impact on regulated industries d) NERSA to be adequately capacitated (enhance current skills) and resources (human and financial) to deal with the complexities resulting from the new technologies		has an impact on NERSA's ability for effective regulation

THREATS	MITIGATING STRATEGIES	PERSTEL FACTOR	IMPACT IF FACTOR IS NOT ADDRESS
1. Stakeholder perception on the deregulation of regulated industries	a) Improved regulatory advocacy to differentiate between deregulation and unbundling of the ESI. b) Intensify research on regulatory issues that fall within NERSA's mandate and publish papers on NERSA's website c) Stakeholder engagement to create awareness about re-regulation Intensify stakeholder engagement with a focus on value creation to emphasise the value of regulation of the industries and the role of NERSA d) Address the above in the strategy to profile NERSA appropriately – also highlight the impact of deregulation on the socio-economy of SA e) Plan and define a Multi-Multilateral Market Model f) Assess the reasons for the call for deregulation – evaluate whether NERSA contributed to this call through the way it regulates – reduce the perception that NERSA is a bottleneck/red tape g) Improve the process and frequency of conducting regulatory impact assessments. h) Clarify NERSA's role in regulating the energy industry i) Revisit the White Paper on Energy Policy (1998), and its implementation. Engage stakeholders on it to ensure relevant interventions are met	Regulatory Legal	• Job losses • Exploitation of consumers, interested and affected parties • Impact on NERSA's role
2. Vandalism of infrastructure and theft of products in regulated industries	a) Collaboration with law enforcement agencies and community structures to deal with vandalism of infrastructure and theft of products b) Education and awareness creation c) Implementation of punitive sections in governing pieces of legislation	Legal Social Economic	• Negative impact on security of supply • Raises the cost of energy due to the repairs of the damages and theft – this is passed through to the consumer

THREATS	MITIGATING STRATEGIES	PERSTEL FACTOR	IMPACT IF FACTOR IS NOT ADDRESS
			Poses safety risk to the environment and the surroundings
3. Security of supply – poor maintenance of infrastructure/system, gas supply from other countries, refineries closures	a) Implementation and monitoring of methodologies to encourage alternative supply of gas b) Regulatory advocacy to encourage government to secure gas supplies from other countries and to address the closures of the refineries c) Implementation and monitoring of performance standards for licensees in the three regulated energy industries	Political Regulator Economic	- Inadequate import infrastructure - Increase in prices - Continued lack of competition in markets where competition is possible - Collapse of the grid - Inadequate investment in energy infrastructure - Regulatory advocacy
4. Developments in international markets that have a direct impact in SA prices and may have unintended consequences – i.e. geopolitical conflicts	a) Where licensees purchase LNG from an international market at an 'arm's length' transaction, NERSA must implement methodologies that ensure licensees fully recover all their costs b) Emulating prices that would persist in competitive markets c) Facilitating the establishment of conditions for effective competition in the relevant trading markets in the gas industry.	Economic Political	- Increase in prices. - Shortage of energy products. - Increase in OCGT prices (due to increase of diesel prices) - Inadequate investment in energy infrastructure
5. Natural disasters and pandemics – impact on infrastructure, operations and affordability of energy	a) Regularly review and testing of NERSA business continuity plans b) Consider impact of natural disasters and pandemics on regulatory activities c) Adapt regulatory processes to ensure that the regulated industries can develop as normally as possible	Environmental Economic Political	- Loss of security of supply energy - Investments in infrastructure affected because projects are put on hold - Operations of regulator and licensees negatively affected - Increase in cost of energy
6. Abuse of dominance by the monopolies that NERSA regulates	a) Regulate in a manner that incentivises investment b) Approve competitive pricing and tariffs c) Enforcing third-party access	Regulatory Economic	- Lack of competition in markets where competition is possible - Excessive prices - Exclusionary conduct

THREATS	MITIGATING STRATEGIES	PERSTEL FACTOR	IMPACT IF FACTOR IS NOT ADDRESS
7. Continuous load-shedding and load reduction	a) Development of service quality incentives (SQI) related to the energy availability factor (EAF) b) Timeously develop regulatory tools to facilitate the implementation of Government's interventions to alleviate load-shedding and load reduction i.e. net billing, demand response programmes and participation by private generators c) Review demand response tariff to incentivise participation d) Improve licensing and registration processes e) Develop regulatory tools that will allow the entry of new players, especially for generation	Regulatory Economic	Increasing energy prices
8. Decline in volumes and more registrations than licences	a) Monitor implementation of the approved financial sustainability strategy and plan b) Increased deregulation (unlicensed side of business) c) Timeously develop regulatory tools to facilitate the implementation to facilitate government interventions to provide alternative gas resources d) Implement methodologies that incentivize additional investment in gas molecules e) Improve licensing and maximum price processes f) Participate in the Regional forums and other activities that bring together countries that produce and export natural gas. This platform allows member nations to discuss issues related to production levels, pricing, and market dynamics. g) Monitor gas developments activities through auditing and volume balance analysis	Economic	Decline in NERSA revenue
9. Lack of understanding of NERSA's mandate, role and regulatory decision-making processes	a) Intensify stakeholder engagements (external and internal) b) Implementation and monitoring of the Communication Strategy c) Customer education programmes d) Communicate regulatory decisions.	Regulatory Legal	Reputational risk
10. Defragmentation of regulation policies	a) Fast-track regulatory and policy advocacy in line with the approved Stakeholder Engagement and Advocacy Strategy Propose changes to legislation (pipelines)	Regulatory Environmental	- Impact on effectiveness of regulation. - Regulatory burden due to the concurrent jurisdiction as well as overlapping functions/roles between NERSA, relevant

THREATS	MITIGATING STRATEGIES	PERSTEL FACTOR	IMPACT IF FACTOR IS NOT ADDRESS
			government departments and other regulatory authorities. • Regulatory uncertainty. • Risk of legal challenges.

ANALYSIS OF STRENGTHS AND WEAKNESSES

STRENGTHS	MITIGATING STRATEGIES
1. Skilled workforce	1.1. Continuous enhancement of leadership, management skills and technical skills 1.2. Review Dual Career Path Policy 1.3. Review Secondment Policy (externally and internally) 1.4. Implementation of a succession plan 1.5. Monitoring of the implementation of skills transfer plans 1.6. Ability to share knowledge and information through NERSA capacity-building programmes and exchange programmes
2. Diversity of staff (skills, gender)	2.1. Continuous improvement of recruitment processes to address diversity 2.2. Conduct a gender mainstreaming audit
3. Professionalism	3.1. Continuous improvement of NERSA's code of conduct 3.2. Implementation of the outcomes of the NERSA Culture project
4. Research based products (policies, methodologies, guidelines, etc.) and services	4.1. Implementation and enforcement of policies, methodologies and guidelines 4.2. Improve synergy across all divisions
5. Strong stakeholder engagement	5.1. Continuous improvement of methods for stakeholder engagements 5.2. Improve areas of focus for stakeholder engagements
6. Low staff turnover	6.1. Continuous improvement of HR policies, e.g. remuneration policy (market related salary survey) and succession policy 6.2. Implement the formalised organisational culture to ensure a conducive working environment
7. Ability to execute our mandate through effective decision-making	7.1. Ensure that all decisions taken are compliant with approved procedures 7.2. Implementation of the operational model
8. Transparent processes	8.1. Continuous improvement in enhancing transparency with the public 8.2. Portal on website to indicate where application for tariffs/price and licensing/registration
9. Financial health	9.1. Monitor operating environment 9.2. Monitor and analyse the volumes of activities of the licensees relevant for NERSA's funding 9.3. Implementation of the sustainability strategy
10. Good governance	10.1. Monitor compliance with all relevant legislation and policies 10.2. Maintain an unqualified audit

STRENGTHS	MITIGATING STRATEGIES
11. Collaboration with regulators at regional and international level	11.1. Maintain and/or improve cooperation with local and international regulators 11.2. Improve partnerships with national regulators
12. Ability to adapt to changes affecting NERSA's internal operating environment	12.1. Continuously adjust policies to deal with changes 12.2. Implement ISO 9001 standards on quality management systems
WEAKNESSES	MITIGATING STRATEGIES
1. Decision-making processes are slow (licensees often provide incomplete information, operating mostly in a manual manner and lengthy stakeholder consultation processes affect the turnaround time of applications and causes a bottleneck)	1.1. Aggressive regulatory and stakeholder advocacy on regulatory processes 1.2. Review regulatory rules and processes to improve turnaround times 1.3. Review delegation matrix to improve efficiency in decision-making. 1.4. Implement the online collaboration portal between NERSA and Licensees. 1.5. Develop technologies to improve data-driven decisions 1.7 Enhancement of the SharePoint platform to improve internal effectiveness and efficiencies.
2. Inability to meet disability target	2.1. Partner with relevant organisations for persons with disabilities 2.2. Targeted and intentional shortlisting of persons with disabilities
3. Successful legal challenges on NERSA's regulatory decisions	3.1. Continuous review of all regulatory tools to ensure that it is aligned with NERSA's mandate 3.2. Continuous improvement of the quality of reasons for decisions (time management and quality assurance) 3.3. Continuous improvement of document management linked to regulatory decisions

4.2. Organisational capacity

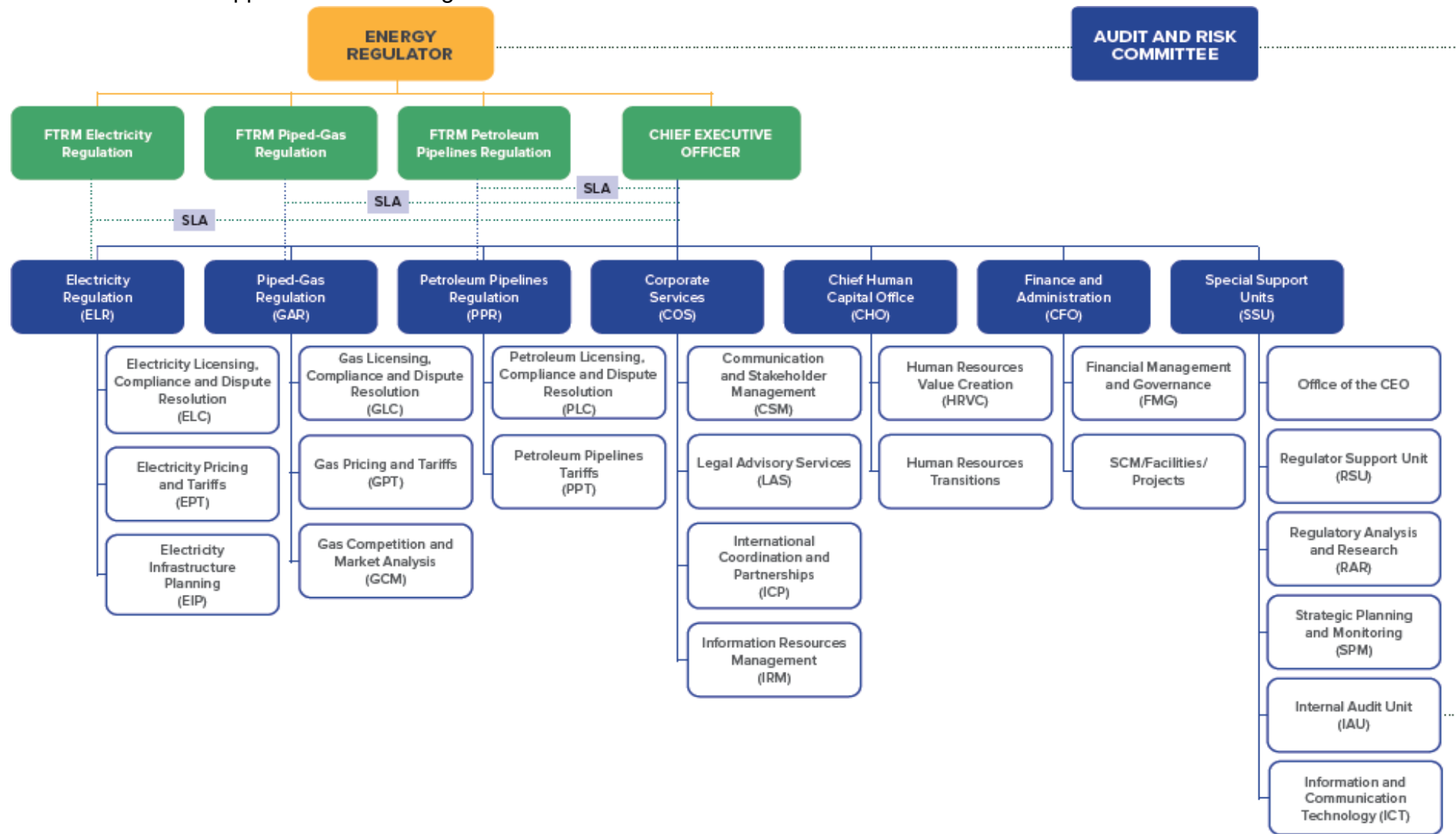
4.2.1. NERSA has an approved structure of 252 staff members. The staff complement is 237. This consists of 233 permanent employees and four Full-Time Regulator Members (FTRMs). Table 26 below summarises the staff complement of NERSA.

Table 26: NERSA Staff complement

DIVISION	DEPARTMENT	COMPLEMENT
Electricity Regulation (ELR)	FTRM	3
	Executive	3
	Electricity Pricing and Tariffs (EPT)	35
	Electricity Licensing, Compliance and Dispute Resolution (ELC)	34
	Electricity Infrastructure Planning (EIP)	13
Total		88
Piped-Gas Regulation (GAR)	FTRM	3
	Executive	5
	Gas Pricing and Tariffs (GPT)	8
	Gas Licensing, Compliance and Dispute Resolution (GLC)	11
	Gas, Competition and Market Analysis (GCM)	4
Total		31
Petroleum Pipelines Regulation (PPR)	FTRM	3
	Executive	6
	Petroleum Pipelines Tariffs (PPT)	9
	Petroleum Licensing, Compliance and Dispute Resolution (PLC)	9

Total		27
Finance and Administration (CFO)	Executive	3
	Financial Management and Governance (FMG)	7
	Supply Chain Management (SCM)	12
Total		22
Human Resources (CHO)	Executive	2
	Human Resources – Value Creation (HRV)	8
	Human Resources – Transactions (HRT)	3
Total		13
Corporate Services (COS)	Executive	3
	Legal Advisory Services (LAS)	6
	Communication and Stakeholder Management (CSM)	9
	International Coordination and Partnerships (ICP)	3
	Information Resources Management (IRM)	7
Total		28
Specialised Support Units (SSU)	Internal Audit (IAU)	7
	Strategic Planning and Monitoring (SPM)	4
	Regulator Support (RSU)	12
	CEO's Office Operations (COO)	4
	Regulatory Analysis and Research (RAR)	6
	Information and Communication Technology (ICT)	10
Total		43
Grand Total NERSA Staff Complement		252

4.2.2. Below is the approved NERSA Organisational Structure:



4.3. Status regarding compliance with the B-BBEE Act

In 2017/18, NERSA embarked on its first B-BBEE accreditation and was awarded a level eight B-BBEE contribution status level. According to the BBEE report, NERSA was accredited with a level seven B-BBEE contribution status. However, because NERSA's skills and enterprise development did not meet the minimum threshold. NERSA's B-BBEE was discounted to a level eight contribution level. However, NERSA has since improved to a level four B-BBEE contribution status.

Plans have been developed and implemented to improve NERSA's skills and enterprise development requirements. In March 2019, the Energy Regulator approved the Enterprise Development Strategy and implementation commenced in April 2019.

A Comprehensive Compliance Framework on the Broad-Based Black Economic Empowerment Act and Regulations has been developed. A compliance assessment on the Broad-Based Black Economic Empowerment Act has also been done and was noted by the Executive Committee at its meeting on 5 January 2024.

The submission of the FORM B-BBEE 1 to the B-BBEE Commission is an ongoing annual requirement, with which the Regulator is compliant.

Part C: Measuring Our Performance

5. INSTITUTIONAL PROGRAMME PERFORMANCE INFORMATION

5.1. INTRODUCTION

5.1.1. As stated in the Strategic Plan, NERSA's overall impact statement is as follows:

Secure, reliable, affordable, sustainable, competitive, and transformed energy industry, which contributes to the economic growth of South Africa.

5.1.2. NERSA adopted the following strategic objectives:

- a) Facilitate entry, setting prices, and resolving disputes through efficient regulatory tools on an annual basis
- b) Enable a stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time (annually) and to quality standards
- c) Review regulatory tools periodically to ensure that they are innovative in response to the transformation of the energy industry
- d) Review the Regulatory Framework periodically to ensure that it is relevant for effective regulation, for the benefit of customers and stakeholders, through regulatory advocacy and stakeholder engagement
- e) Enable the provision of integrated and value-added services in an equitable/a fair manner to customers.

5.1.3. The table below indicates the link between NERSA's programmes, the impact statements and outcomes stated in the Strategic Plan, as well as the Government's priorities.

Impact Statements	Outcomes	Link to MTDP Priority	Link to Energy Sector priorities	Programme
- A stable, accessible, efficient, effective, sustainable and competitive Electricity Industry that supports an improved quality of life and economic activity - Efficient, safe, effective, sustainable, accessible, competitive and transformed piped-gas industry - Efficient, safe, effective, sustainable, competitive and transformed petroleum pipelines industry	- Efficiency in facilitating entry, setting prices and resolving disputes - A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards - Innovation drives NERSA's response to the transition of the industry	- MTDP Priority 1: Drive inclusive growth and job creation - MTDP Priority 2: Reduce Poverty and tackle the high cost of living	- Achieve Universal Access, Availability, Affordability and Quality. - South Africa's Continental and Global Energy Leadership. - Energy demographic transformation	Programme 1: Regulatory Service Delivery
NERSA established and perceived as an efficient, effective and credible regulator	- Energy industry regulatory framework is relevant for effective regulation, for the benefit of the customers and stakeholders. - Integrated and value-added services to customers	- MTDP Priority 2: Reduce Poverty and tackle the high cost of living - MTDP Priority 3: Build a Capable, Ethical and Developmental State Retained	- Achieve Universal Access, Availability, Affordability and Quality. - South Africa's Continental and Global Energy Leadership. - Energy demographic transformation	Programme 2: Advocacy and Engagement
NERSA established and perceived as an efficient, effective and credible regulator	Innovation drives NERSA's response to the transition of the industry	MTDP Priority 3: Build a Capable, Ethical and Developmental State Retained		Programme 3: Innovation
NERSA established and perceived as an efficient, effective and credible regulator	Integrated and value-added services to customers	MTDP Priority 3: Build a Capable, Ethical and Developmental State Retained		Programme 4: Operational Efficiency and Quality Management

Impact Statements	Outcomes	Link to MTDP Priority	Link to Energy Sector priorities	Programme
• NERSA established and perceived as an efficient, effective and credible regulator	• Integrated and value-added services to customers	• MTDP Priority 3: Build Capable, Ethical and Developmental State • MTDP Priority 2: Reduce Poverty and tackle the high cost of living • MTDP Priority 1: Drive inclusive growth and job creation	• Achieve Universal Access, Availability, Affordability and Quality. • South Africa's Continental and Global Energy Leadership. • Energy demographic transformation	Programme 5: People and • Organisational Culture

5.2. PLANNED PERFORMANCE

5.2.1. PROGRAMME 1: REGULATORY SERVICE DELIVERY

a) The programme's purpose is to:

- set and/or approve tariffs and prices in order to ensure a fair balance between the needs of the customer and the regulated entity;
- ensure the orderly development of the energy industry and ensure that all activities related to all operations are licensed and registered as required by the Electricity Regulation Act, 2006 (Act No. 4 of 2006), Gas Act, 2001 (Act No. 48 of 2001) and the Petroleum Pipelines Act, 2003 (Act No. 60 of 2003);
- ensure that all licensees in the three regulated industries fully comply with their licence conditions, including those relating to health, safety, security and environmental standards and requirements, as well as any other standards and requirements prescribed by the relevant industry-specific legislation;
- ensure compliance with directives to govern relations between a licensee and its end users;
- ensure that disputes and complaints between licensees or between licensees and customers or end-users are managed effectively and settled in a manner that is appropriate; and that when needed, any mediation or arbitration required will be done within prescribed procedures; and
- ensure the setting of appropriate rules, guidelines and codes of best practices in the quest to promote uniformity and standardise practices in the regulation of the three energy industries.

b) This programme will therefore contribute to the following:

- A fair balance between the needs of the customer and the regulated entity. While the customer must be protected against misuse of monopolistic powers and unnecessary price hikes, the regulated entities must have sufficient income to ensure that they can continue operating as a going concern and have enough revenue for the maintenance and refurbishment of infrastructure.
- The creation of investor confidence and lessening the regulatory burden on licensees. In order to achieve orderly investor confidence in the energy industries, there must be standardised practices that are the same for all participants, and NERSA must maintain and safeguard these standards. This will facilitate investment in the energy industries, as investors and developers need a sound regulatory framework to ensure that they receive the expected returns for their investment.

5.2.1.1. Sub-Programme: Electricity Industry Regulation

The purpose of this subprogramme is to carry out the following functions for the Electricity industry:

1. Setting and/or approval of tariffs and prices
2. Licensing and registration
3. Compliance monitoring and enforcement
4. Dispute resolution, including mediation, arbitration and handling of complaints
5. Setting of rules, guidelines and codes for regulation.

NERSA embarked on a process to develop a strategy for the regulation of the Electricity Industry. This process will be continued for the regulation of the Piped-Gas Industry and Petroleum Pipeline Industry. Therefore, the planned performance for this sub- programme looks different from the sub-programmes for the other two regulated industries

i. Setting and/or approval of tariffs and prices

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOMES	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa's Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
Efficiency in promoting and facilitating entry, setting prices and resolving disputes	1. Electricity pricing for Eskom	Energy Regulator decision on Eskom electricity prices within the stated time frame	New target	New target	Regulator decision by 14 February 2024	Regulator decision by 31 March 2025	Regulator decision by 31 March	Regulator decision by 31 March	Regulator decision by 31 March
	2. Electricity pricing for municipalities	Percentage of complete application for municipal electricity price/tariffs considered by the relevant subcommittee or the Energy Regulator within the stated time frame	New target	New target	Regulator decision by 14 February 2024	Regulator decision by 30 June 2024	100% complete tariff/Price Applications considered by the regulator within 150 days from receipt	100% complete tariff/Price Applications considered by the regulator within 150 days from receipt	100% complete tariff/Price Applications considered by the regulator within 150 days from receipt
	4. Reviewed Pricing Rule for the Electricity Industry	Energy Regulator Decision on the revised Electricity Pricing Rule	New target	New target	New target	New target		Regulator decision by 31 March	-

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. Electricity pricing for Eskom	Energy Regulator decision on Eskom's electricity prices within the stated time frame	Regulator decision by 31 March 2026	-	-	-	Regulator decision by 31 March 2026
2. Electricity pricing for municipalities	Percentage of complete application for municipal electricity price/tariffs considered by the relevant subcommittee or the Energy Regulator within the stated time frame	100% complete tariff/Price Applications considered by the regulator within 150 days from receipt	-	-	-	100% complete tariff/Price Applications considered by the regulator within 150 days from receipt
3. Reviewed Pricing Rule for the Electricity Industry	Energy Regulator Decision on the revised Electricity Pricing Rule	Regulator decision by 31 March 2026	-	-	-	Regulator decision by 31 March 2026

ii. Licensing and Registration

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS							
			Audited performance			Estimated performance	MTEF Period			
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28	
MTDP Priority 1: Drive inclusive growth and job creation										
MTDP Priority 2: Reduce Poverty and tackle the high cost of living										
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.										
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership										
Energy Sector Priority: Energy demographic transformation										
Efficiency in promoting and facilitating entry, setting prices and resolving disputes	1.	Licensing generation, transmission, distribution, trading, import & export, market and system operator applications to facilitate entry	Percentage of complete licence applications considered by the relevant subcommittee or the Energy Regulator within the prescribed time frame	New target	New target	100% 120 working days	90% within 110 working days	100% within 60 days after the expiry of objection Period	100% within 60 days after the expiry of objection Period	100% within 60 days after the expiry of objection Period
	2.	Registration of Generation, and Distribution facilities to facilitate entry	Percentage of complete applications for the registration of electricity generation facilities considered by the relevant subcommittee or the Energy Regulator within the stated time frame	New target	New target	100% within 45 working days	90% within 45 working days	100% within 35 calendar days	100% within 35 calendar days	100% within 35 calendar days

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. Licensing generation, transmission, distribution, trading, import & export, market and system operator applications to facilitate entry	Percentage of complete licence applications considered by the relevant subcommittee or the Energy Regulator within the prescribed time frame	100% within 60 days after the expiry of objection Period	100% within 60 days after the expiry of objection Period	100% within 60 days after the expiry of objection Period	100% within 60 days after the expiry of objection Period	100% within 60 days after the expiry of objection Period
2. Registration of Generation and Distribution facilities to facilitate entry	Percentage of complete applications for the registration of electricity generation facilities considered by the relevant subcommittee or the Energy Regulator within the stated time frame	100% within 35 calendar days	100% within 35 calendar days	100% within 35 calendar days	100% within 35 calendar days	90% within 35 calendar days

iii. Compliance Monitoring and Enforcement

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
Efficiency in promoting and facilitating entry, setting prices and resolving disputes	1. One compliance audit report per quarter for Generation, Distribution and Transmission	Number of analysis reports on audits conducted (for transmission, generation and distribution) within the stated time frame	New target	New target	New target	Regulator decision by 31 March 2025	12	12	12
	2.Compliance audit plans executed for Generation, Distribution, and Transmission in line with the approved plan	Percentage of actual versus planned compliance audit plans executed	New target	New target	109%	80%	100%	100%	100%
	3. Monitoring of the implementation of notices on non-compliance issued by the tribunal to non-compliant licensees in the Generation, Transmissions and Distribution industries to achieve license conditions in terms of Section of the Electricity Regulation Act (ERA)	Number of analysis reports on the compliance status against the notices issued by the tribunal.	New target	New target	97%	80%	1	1	1

Adjusted Annual Performance Plan 2025/26 – 2027/28

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
	5.One audit report on the review of the annual performance of Integrated Demand Management (IDM)	Number of reports on audit findings on the review of the annual performance of IDM to be considered by the relevant subcommittee or the Energy Regulator, subject to all information being available	New target	New target	New target	1 considered by the ELS/REC/ER by 31 March	1 considered by the ELS/REC/ER by 31 March	1 considered by the ELS/REC/ER by 31 March	1 considered by the ELS/REC/ER by 31 March
	6. One audit report on the Transmission Network Development projects for compliance with the South African Grid Code	One report on audit findings on the Transmission Network Development projects for compliance with the South African Grid Code considered annually by the relevant subcommittee or the Energy Regulator, subject to all information being available	New target	New target	New target	1 considered by the ELS/REC/ER by 31 March	1 considered by the ELS/REC by 31 March	1 considered by the ELS/REC by 31 March	1 considered by the ELS/REC by 31 March
	7. One audit report on the Distribution Network Development projects for compliance with the South African Grid code	Number of reports on the Distribution Network Development projects for compliance with the South African Grid Code considered annually by the relevant subcommittee or the Energy Regulator, subject to all information being available	New target	New target	New target	New target	1 considered by the ELS/REC by 31 March	1 considered by the ELS/REC by 31 March	1 considered by the ELS/REC by 31 March

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
	8.Two monitoring reports on the performance and progress of Renewable Energy projects annually	Number of reports on the performance and progress of Renewable Energy projects for consideration bi-annually by the relevant subcommittee or the Energy Regulator	New target	New target	New target	New target	2 considered by the ELS/REC by 30 September and 31 March respectively	2 considered by the ELS/REC by 30 September and 31 March respectively	2 considered by the ELS/REC by 30 September and 31 March respectively

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. Compliance audit plans executed with quarterly reports in place	Percentage of actual versus planned compliance audit plans executed	100%	10%	45%	45%	Audit plan for 2025/26
	Number of analysis reports on audits conducted for transmissions, generation, and distribution within the stated timeframe	12	3	3	3	3
2. Monitoring of the implementation of notices on non-compliance issued by the tribunal to non-compliant licensees in the Generation, Transmissions and Distribution industries to achieve license conditions in terms of Section of the Electricity	Report on the status of non-compliance notices issued by the tribunal (for transmission, generation, distribution) within the stated time frame	1	-	-	-	1
3. One audit report on the review of the annual performance of IDM	Number of reports on audit findings on the review of the annual performance of IDM to be considered by the relevant subcommittee or the Energy Regulator, subject to all information being available	1 considered by the ELS/REC/ER by 31 March	-	-	-	1 considered by the ELS/REC/ER by 31 March
4. One audit report on the Transmission network Development projects for compliance with the South African Grid Code	One report on audit findings on the Transmission Network Development projects for compliance with the South African Grid Code considered annually by the relevant subcommittee or the Energy Regulator, subject to all information being available	1 considered by the ELS/REC/ER by 31 March	-	-	-	1 considered by the ELS/REC/ER by 31 March
5. One audit report on the Distribution Network Development projects for compliance with the South African Grid	Number of reports on the Distribution Network Development projects for compliance with the South African Grid considered annually by the relevant subcommittee or the Energy Regulator, subject to all information being available	1 considered by the ELS/REC/ER by 31 March	-	-	-	1 considered by the ELS/REC/ER by 31 March
6. Two monitoring reports on the performance and progress of Renewable Energy projects annually	Number of reports on the performance and progress of Renewable Energy projects for considered bi-annually by the relevant subcommittee or the Energy Regulator	2 considered by the ELS/REC/ER by 30 September	-	1 considered by the ELS/REC 1 by	-	1 considered by the ELS/REC/ER by 31 March

		and 31 March respectively		30 September		
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iv. Dispute resolution, including mediation, arbitration and handling of complaints

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
Efficiency in promoting and facilitating entry, setting prices and resolving disputes	1. Categorised disputes/complaints closed in line with the prevailing Dispute Resolution Rule	% of categorised disputes/complaints closed in line with the prevailing Dispute Resolution Procedures	New target	New target	99%	90% completed as per categorised by procedures/rules Less complex: 30 days Medium Complex: 60 days More Complex: 120 days	90%completed as per categorised by procedures/rules Less complex: 30 days Medium Complex: 60 days More Complex: 120 days	90% completed as per categorised by procedures/rules Less complex: 30 days Medium Complex: 60 days More Complex: 120 days	90% completed as per categorised by procedures/rules Less complex: 30 days Medium Complex: 60 days More Complex: 120 days

b) Indicators, Annual and Quarterly Targets

Adjusted Annual Performance Plan 2025/26 – 2027/28

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
2. Categorised disputes/complaints closed in line with the prevailing Dispute Resolution Rule	% of categorised disputes/complaints closed in line with the prevailing Dispute Resolution Procedures	100% completed as per Rule 90% completed as per categorised by procedures/rules Less complex: 30 days Medium Complex: 60 days More Complex: 120 days	-	-	-	100% completed as per Rule 90% completed as per categorised by procedures/rules Less complex: 30 days Medium Complex: 60 days More Complex: 120 days

v. Setting of rules, guidelines and codes for regulation

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS							
			Audited performance			Estimated performance	MTEF Period			
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28	
MTDP Priority 1: Drive inclusive growth and job creation										
MTDP Priority 2: Reduce Poverty and tackle the high cost of living										
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.										
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership										
Energy Sector Priority: Energy demographic transformation										
Innovation drives NERSA's response to the transition of the industry	1.	Process Draft Section 34 Determinations from the Minister of Electricity and Energy (MOEE)	Comments on the draft Section 34 Determinations considered by the relevant subcommittee or the Energy Regulator within the stated time frame	New target	New target	New target	New target	100% as per approved procedure	100% as per approved procedure	100% as per approved procedure
	2.	Complete applications from the ESI <u>requiring exemption</u> from the South African Grid Code	Percentage of complete applications <u>requiring exemption</u> from the South African Grid Code considered by the relevant subcommittee or the Energy Regulator within the stated time frame	New target	New target	New target	New target	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months
	3.	Complete applications from the ESI <u>requiring amendment</u> to the South African Grid Code	Percentage of complete applications <u>requiring amendment</u> to the South African Grid Code considered by the relevant subcommittee or the Energy Regulator within the stated time frame	New target	New target	New target	New target	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. Process Draft Section 34 Determinations from the Minister of Electricity and Energy (MOEE)	Comments on the draft Section 34 determinations considered by the relevant subcommittee or the Energy Regulator within the stated time frame	100% as per approved procedure	100% as per approved procedure	100% as per approved procedure	100% as per approved procedure	100% as per approved procedure
2. Complete applications from the ESI requiring exemption from the South African Grid Code	Percentage of complete applications requiring exemption from the South African Grid Code considered by the relevant subcommittee or the Energy Regulator within the stated time frame	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months
3. Complete applications from the ESI requiring amendment to the South African Grid Code	Percentage of complete applications requiring amendment to the South African Grid Code considered by the relevant subcommittee or the Energy Regulator within the stated time frame	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months

5.2.1.2. Sub-Programme 2: Piped-Gas Industry Regulation

The purpose of this subprogramme is to carry out the following functions for the Piped-Gas industry:

- i. Setting and/or approval of tariffs and prices
- ii. Licensing and registration
- iii. Compliance monitoring and enforcement
- iv. Dispute resolution, including mediation, arbitration and handling of complaints
- v. Setting of rules, guidelines and codes for regulation.

i. *Setting and/or approval of tariffs and prices*

a) Outcomes, Outputs, Performance Indicators and Targets

Outcome	Outputs	Output Indicators	Annual Targets						
			Audited Performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa's Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
A stable and diverse energy sector system and pricing regime that supports access through	1. 100% of complete maximum price applications considered by the ER within 120 working days after date of publication of the preliminary assessment of the maximum price applications	Percentage of complete maximum price applications considered by the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%	100%	100%

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited Performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
regulatory services that are delivered on time and to quality standards	2. 100% of complete applications on distinguishing features considered by the ER within 120 working days after the date of the publication of preliminary assessment of the applications	Percentage of complete applications on distinguishing features considered by the Energy Regulator within the stated time frame	New target	100%	0%	100%	100%	100%	100%
	3. 100% of complete transmission tariff applications considered by the ER within 120 working days after the date of publication of preliminary assessment of tariff applications	Percentage of complete transmission tariff applications considered by the Energy Regulator within the stated time frame	No applications received	100%	100%	100%	100%	100%	100%
	4. Four quarterly calculations of the ROMPCO tariff for gas volumes below 120 million Gigajoules	Number of calculations of the ROMPCO tariff for gas volumes below 120 million Gigajoule considered by the PGS within the stated time frame	4 considered quarterly by the PGS	4 considered quarterly by the PGS	4 considered quarterly by the PGS	4 considered quarterly by the PGS	4 considered quarterly by the PGS	4 considered quarterly by the PGS	4 considered quarterly by the PGS

Adjusted Annual Performance Plan 2025/26 – 2027/28

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited Performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
	5. One report on the assessment of the adequacy of competition	Number of reports on the assessment of the adequacy of competition considered by the Energy Regulator within the stated time frame	1 considered by the PGS by 31 March 2025	-	-	1 considered by the ER by 31 March	-	-	1 considered by the ER by 31 March

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. 100% of complete maximum price applications considered by the ER within 120 working days after date of publication of the preliminary assessment of the maximum price applications	Percentage of complete maximum price applications considered by the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%
2. 100% of complete applications on distinguishing features considered by the ER within 120 working days after the date of the publication of the preliminary assessment of the applications	Percentage of complete applications on distinguishing features considered by the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%
3. 100% of complete transmission tariff applications considered by the ER within 120 working days after the date of the publication of preliminary assessment of the tariff applications	Percentage of complete transmission tariff applications considered by the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%
4. Four quarterly calculations of the ROMPCO tariff for gas volumes below 120 million Gigajoules	Number of calculations of the ROMPCO tariff for gas volumes below 120 million Gigajoule considered by the Energy Regulator within the stated time frame	4 considered quarterly by the PGS	1 considered by the PGS	1 considered by the PGS	1 considered by the PGS	1 considered by the PGS

ii. Licensing and Registration

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards	1. 100% of complete licence applications considered by the relevant committee or Energy Regulator within 60 working days from the closing date of the public comment period or period of applicant’s response to objections received	Percentage of complete licence applications considered by the relevant committee or the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%	100%	100%
	2. 100% of complete applications for licence amendments/revocations/ conversions considered by the PGS/REC within 60 working days from the closing date of the public comment period or period of applicant’s response to objections received	Percentage of complete applications for licence amendments/revocations/ conversions considered by the relevant committee or the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%	100%	100%

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24		2024/25	2025/26	2026/27
MTDP Priority 1: Inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
	3. 100% of complete applications for the registration of gas activities considered by the PGS within 60 working days from the closing date of the public comment period	Percentage of complete applications for the registration of gas activities considered by the relevant committee or the Energy Regulator within the stated time frame	100%	100%	0%	100%	100%	100%	100%

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. 100% of complete licence applications considered by the relevant committee or Energy Regulator within 60 working days from the closing date of the public comment period or period of applicant's response to objections received	Percentage of complete licence applications considered by the relevant committee or the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%
2. 100% of complete applications for licence amendments/revocations/conversions considered by the PGS/REC within 60 working days from the closing date of the public comment period or period of applicant's response to objections received	Percentage of complete applications for licence amendments/revocations/conversions considered by the relevant committee or the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%
3. 100% of complete applications for the registration of gas activities considered by the PGS within 60 working days from the closing date of the public comment period	Percentage of complete applications for the registration of gas activities considered by the relevant committee or the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%

iii. Compliance Monitoring and Enforcement

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa's Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards	1. One audit report on the compliance of ROMPCO pipeline	Number of audit reports on compliance of the ROMPCO pipeline considered by the relevant subcommittee within the stated time frame	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March
	2. One report on licensees' compliance with licence conditions	Number of reports on licensees' compliance with licence conditions considered by the relevant subcommittee within the stated time frame	45 inspected facilities	1 considered annually by the PGS by 31 March	3 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March
	3. Monitoring reports on the implementation of transmission tariffs, after one year, following the approval of the transmission tariff	Percentage of monitoring reports on the implementation of transmission tariffs considered by the relevant subcommittee within the stated time frame	3	3	100% considered annually by the PGS by 31 March	100% considered annually by the PGS by 31 March	100% considered annually by the PGS by 31 March	100% considered annually by the PGS by 31 March	100% considered annually by the PGS by 31 March

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
	4. Four reports (one for each licensee – Sasol, ROMPCO, Transnet and SLG) on the implementation of the RRM for the preceding financial year	Number of reports on the implementation of the RRM for the preceding financial year considered by the relevant subcommittee or the REC within the stated time frame	4 considered annually by the PGS/REC by 31 March	4 considered annually by the PGS/REC by 31 March	4 considered annually by the PGS/REC by 31 March	4 considered annually by the PGS/REC by 31 March	4 considered annually by the PGS/REC by 31 March	4 considered annually by the PGS/REC by 31 March	4 considered annually by the PGS/REC by 31 March
	5. Monitoring reports per licensee on the implementation of Maximum Prices, after one year, following the approval of the maximum price	Percentage of monitoring reports per licensee on the implementation of Maximum Prices considered by the relevant subcommittee within the stated time frame	1 report for each of the 8 licensees	1 Report for each of the 7 licensees	100% considered annually by the PGS by 31 March	100% considered annually by the PGS by 31 March	100% considered annually by the PGS by 31 March	100% considered annually by the PGS by 31 March	100% considered annually by the PGS by 31 March
	6. One report on the assessment of the maximum gas price’s competitiveness	Number of reports on the assessment of the maximum gas price’s competitiveness considered by the relevant subcommittee within the stated time frame	New target	New target	New target	New target	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March
	7. One report on the applicability of third-party access to new mobile gas infrastructure	Number of reports on applicability of third-party access to new mobile gas infrastructure considered by the relevant subcommittee within the stated time frame	New target	New target	New target	New target	-	1 considered by the PGS by 31 March	-

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. Twelve monthly volume balance reports assessed	Number of monthly volume balance reports considered by the relevant subcommittee within the stated time frame	12 considered annually by the PGS	3 considered by the PGS	3 considered by the PGS	3 considered by the PGS	3 considered by the PGS
2. One audit report on the compliance of ROMPCO pipeline	Number of audit reports on compliance of the ROMPCO pipeline considered by the relevant subcommittee within the stated time frame	1 considered annually by the PGS by 31 March	-	-	-	1 considered by the PGS by 31 March
3. One report on compliance with licence conditions	Number of reports on licensees' compliance with licence conditions considered by the relevant subcommittee within the stated time frame	1 considered annually by the PGS by 31 March	-	-	-	1 considered by the PGS by 31 March
4. Monitoring reports on the implementation of transmission tariffs, after one year, following the approval of the transmission tariff	Percentage of monitoring reports on the implementation of transmission tariffs considered by the relevant subcommittee within the stated time frame	100% considered annually by the PGS by 31 March	-	-	-	100% considered by the PGS by 31 March
5. Four reports (one for each licensee – SASOL, ROMPCO, Transnet and SLG) on the implementation of the Regulatory Reporting Manuals (RRM) for the preceding financial year	Number of reports on the implementation of the RRM for the preceding financial year considered by the relevant subcommittee or the Energy Regulator within the stated time frame	4 considered annually by the PGS/REC by 31 March	-	-	-	4 considered by the PGS/REC by 31 March
6. Monitoring reports per licensee on the implementation of maximum prices, after one year, following the approval of the maximum price	Percentage of monitoring reports per licensee on the implementation of maximum prices considered by the relevant subcommittee within the stated time frame	100% considered annually by the PGS by 31 March	-	-	-	100% considered by the PGS by 31 March
7. One report on the assessment of the maximum gas price's competitiveness	Number of reports on the assessment of the maximum gas price's competitiveness considered by the relevant subcommittee within the stated time frame	1 Considered annually by the PGS by 31 March	-	-	-	1 considered by the PGS by 31 March

iv. Dispute resolution, including mediation, arbitration and handling of complaints

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards	1. 70% of complaint investigations completed within 12 months and a report on findings considered by the PGS	Percentage of complaint investigations completed and a report on findings considered by the relevant subcommittee or the Energy Regulator within the stated time frame	50%	50%	0%	60%	70%	80%	80%
	2. 70% of initiated investigations and inquiries completed within 12 months and a report on findings considered by the PGS	Percentage of initiated investigations and inquiries completed and a report on findings considered by the relevant subcommittee or the Energy Regulator within the stated time frame	50%	50%	100%	60%	70%	80%	80%

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. 70% of complaint investigations completed within 12 months and a report on findings considered by the PGS	Percentage of complaint investigations completed and a report on findings considered by the relevant subcommittee or the Energy Regulator within the stated time frame	70%	70%	70%	70%	70%
2. 70% of initiated investigations and inquiries completed within 12 months and a report on findings considered by the PGS	Percentage of initiated investigations and inquiries completed and a report on findings considered by the relevant subcommittee or the Energy Regulator within the stated time frame	70%	70%	70%	70%	70%

v. Setting of rules, guidelines and codes for regulation

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards	1. Two reports on new developments in the gas industry	Number of reports on new developments in the gas industry considered by the relevant committee or the Energy Regulator within the stated time frame	2 considered bi-annually by the PGS by 30 September and 31 March	2 considered bi-annually by the PGS by 30 September and 31 March	3 considered bi-annually by the PGS by 30 September and 31 March	2 considered bi-annually by the PGS by 31 March	2 considered bi-annually by the PGS by 31 March	2 considered bi-annually by the PGS by 31 March	2 considered bi-annually by the PGS by 31 March
	2. One report on the impact of developments on competition in the gas industry	Number of reports on the impact of developments on competition in the gas industry considered by the relevant committee within the stated time frame	New target	1 considered annually by the PGS by 31 March	1 considered d annually by the PGS by 31 March	-	1 considered annually by the PGS by 31 March	1 considered annually by the PGS by 31 March	-
	3. One report on progress made in the implementation of the measures to improve competition and investment in the gas industry	Number of reports on the progress made in the implementation of the measures to improve competition and investment in the gas industry considered by the relevant committee or the Energy Regulator within the stated time	New target	New target	New target	1 considered annually by the PGS by 31 March	1 considered annually by the ER by 31 March	1 considered annually by the ER by 31 March	1 considered annually by the ER by 31 March

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
		frame							
	4. One report on the monitoring of the implications of the lack of supply of methane-rich gas by Sasol Gas	Number of reports on the monitoring of the implications of the lack of supply of methane-rich gas by Sasol Gas considered by the relevant committee or the Energy Regulator within the stated time frame	New target	New target	New target	New target	1 considered annually by the PGS by 31 March	-	-
	5. One report on the assessment of the impact of the new maximum price methodology	Number of reports on the assessment of the impact of the new maximum price methodology considered by the relevant committee or the Energy Regulator within the stated time frame	New target	New target	New target	New target	1 considered by the ER by 31 March	-	-
	6. One report on the network code guidelines considered by the Energy Regulator within the stated timeframe	Number of reports on the network code guidelines considered by the Energy Regulator within the stated timeframe	New target	New target	New target	New target	-	-1 Considered by ER by 31 March	-

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa's Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
	7. Reviewed Gas Tariff Guidelines	Energy Regulator decision on reviewed gas tariff guidelines within the stated time frame	New target	New target	New target	New target	Energy Regulator decision by 31 March 2026	-	-
A regulatory environment that facilitates investment in piped-gas infrastructure	8. One report on the engagements on harmonised requirements/ processes for regulation of cross-border assets between SA and Mozambique	Number of reports on the engagements on harmonised requirements/processes for regulation of cross-border assets between SA and Mozambique considered by the relevant committee or the Energy Regulator within the stated timeframe	New target	New target	New target	New target	1 considered by the ER by 31 March	-	-

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. Two reports on new developments in the gas industry	Number of reports on new developments in the gas industry considered by the relevant subcommittee or the Energy Regulator within the stated time frame	2 considered bi-annually by the PGS by 31 March	-	-	-	2 considered by the PGS 31 March
2. One report on the impact of developments on competition in the gas industry	Number of reports on the impact of developments on competition in the gas industry considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the PGS by 31 March	-	-	-	1 considered by the PGS by 31 March
3. One report on progress made in the implementation of the measures to improve competition and investment in the gas industry	Number of reports on the progress made in the implementation of the measures to improve competition and investment in the gas industry considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the PGS by 31 March	-	-	-	1 considered by the PGS by 31 March
4. One report on the monitoring of the implications of the lack of supply of methane-rich gas by Sasol Gas	Number of reports on the monitoring of the implications of the lack of supply of methane-rich gas by Sasol Gas considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the PGS by 31 March	-	-	-	1 considered by the PGS by 31 March
5. One report on the assessment of the impact of the new maximum price methodology	Number of reports on the assessment of the impact of the new maximum price methodology considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the PGS by 31 March	-	-	-	1 considered by the PGS by 31 March
6. Reviewed Gas Tariff Guidelines	Energy Regulator decision on reviewed gas tariff guidelines within the stated time frame	Energy Regulator decision by 31 March	-	-	-	Energy Regulator decision 31 March 2026
7. One report on the engagements on harmonised requirements/processes for regulation of cross-border assets between SA and Mozambique	Number of reports on the engagements on harmonised requirements/processes for regulation of cross-border assets between SA and Mozambique considered by the relevant committee or the Energy Regulator within the stated timeframe	1 considered annually by the PGS by 31 March	-	-	-	1 considered annually by the PGS by 31 March

6.2.1.3. Sub-programme 3: Petroleum Pipeline Industry Regulation

The purpose of this subprogramme is to carry out the following functions for the Petroleum Pipeline industry:

- i. Setting and/or approval of tariffs and prices
- ii. Licensing and registration
- iii. Compliance monitoring and enforcement
- iv. Dispute resolution, including mediation, arbitration and handling of complaints
- v. Setting of rules, guidelines and codes for regulation.

i. Setting and/or approval of tariffs and prices

a) Outcomes, Outputs, Performance Indicators and Targets

1005

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards	1. 85% of complete pipeline, storage and loading facility tariff applications considered by the REC/PPS/ER within 6 months from receipt of complete/adequate application	Percentage of complete pipeline, storage and loading facility tariff applications considered by the relevant committee or the Energy Regulator within the stated time frame	97%	93%	100	85%	85%	85%	85%

Adjusted Annual Performance Plan 2025/26 – 2027/28

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. 85% of complete pipeline, storage and loading facility tariff applications considered by the REC/PPS/ER within 6 months from receipt of complete/adequate application	Percentage of complete pipeline, storage and loading facility tariff applications considered by the relevant committee or the Energy Regulator within the stated time frame	85%	85%	85%	85%	85%

ii. Licensing and Registration

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards	1. 100% of complete licence applications considered by the PPS/REC/ER within 60 working days under the conditions as prescribed in section 19(1) of the Petroleum Pipelines Act	Percentage of complete licence applications considered by the relevant committee or the Energy Regulator within the stated time frame	75%	100%	100%	100%	100%	100%	100%
	2. 100% of complete applications for licence amendments/revocations considered by the PPS/REC/ER within 60 working days from the closing date of the public comment period or period of applicant’s response to objections received	Percentage of complete applications for licence amendments/revocations considered by the relevant committee or the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%	100%	100%
	3. One report on investigations into suspected unlicensed activities	Number of report on investigations done into suspected unlicensed activities considered by the relevant committee or the Energy Regulator within the stated time frame	1 ³ considered annually by the REC by 31 March	1 considered annually by the REC by 31 March	1 considered annually by the REC by 31 March	1 considered annually by the REC by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
	4. One report on the geographic spread of licences issued for petroleum pipelines infrastructure and new entrants	Number of reports on the geographic spread of licences issued for petroleum pipelines infrastructure and new entrants considered by the relevant committee or the Energy Regulator within the stated time frame	New target	New target	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March
	5. Two reports on the inland security of supply	Number of reports on the inland security of supply considered by relevant committee or the Energy Regulator within the stated time frame	2 considered bi-annually by the PPS by 30 September and 31 March	2 considered bi-annually by the PPS by 30 September and 31 March	2 considered bi-annually by the PPS by 30 September and 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March
	6. Report on prudency review of identified licensees	Number of reports on prudency reviews of identified licensees considered by relevant committee or the Energy Regulator within the stated time frame	New target	New target	New target	1 considered by ER by 31 March 2024	1 considered by ER by 31 March	1 considered by ER by 31 March	2 considered by ER by 31 March

³ It was determined that 4 quarterly reports are too many. It was therefore decided that one consolidated report on all the investigations would be done.

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. 100% of complete licence applications considered by the PPS/REC/ER within 60 working days under the conditions as prescribed in section 19(1) of the Petroleum Pipelines Act	Percentage of complete licence applications considered by the relevant committee or the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%
2. 100% of complete applications for licence amendments/revocations considered by the PPS/REC/ER within 60 working days from the closing date of the public comment period or period of applicant's response to objections received	Percentage of complete applications for licence amendments/revocations considered by the relevant committee or the Energy Regulator within the stated time frame	100%	100%	100%	100%	100%
3. One report on investigations into suspected unlicensed activities	Number of reports on investigations done into suspected unlicensed activities considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the REC by 31 March	-	-	-	1 considered by the REC by 31 March
4. One report on the geographic spread of the licences issued for petroleum pipelines infrastructure and new entrants	Number of reports on the geographic spread of licences issued for petroleum pipelines infrastructure and new entrants considered by the relevant committee or the Energy Regulator	1 considered annually by the PPS by 31 March	-	-	-	1 considered by the PPS by 31 March
5. Two reports on the inland security of supply	Number of reports on the inland security of supply considered by relevant committee or the Energy Regulator within the stated time frame	2 considered bi-annually by the PPS by 31 March	-	-	-	2 considered by the PPS by 31 March
6. One report on prudency review of identified licensees	Number of reports on prudency reviews of identified licensees considered by relevant committee or the Energy Regulator within the stated time frame	1 considered by ER by 31 March 2024	-	-	-	1 considered by ER by 31 March 2024

iii. **Compliance Monitoring and Enforcement**

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards	1. Two reports on trends regarding utilisation of storage facilities and third-party access	Number of reports on trends regarding utilisation of storage facilities and third-party access, considered by the relevant committee or the Energy Regulator within the stated time frame	2 considered bi-annually by the PPS by 30 September and 31 March	2 considered bi-annually by the PPS by 30 September and 31 March	2 considered bi-annually by the PPS by 30 September and 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March
	2. One report on the implementation of the methodology to determine uncommitted capacity	Number of reports on the implementation of the methodology to determine uncommitted capacity considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March
	3. Two reports on the construction of new facilities	Number of reports on the construction of new facilities considered by the relevant committee or the Energy Regulator within the stated time frame	4 considered quarterly by the PPS	2 considered bi-annually by the PPS by 30 September and 31 March	2 considered bi-annually by the PPS by 30 September and 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
	4. Two reports on licensees' compliance with statutory reporting requirements	Number of reports on licensees' compliance with statutory reporting requirements considered by the relevant committee or the Energy Regulator within the stated time frame	4 considered quarterly by the PPS	2 considered bi-annually by the PPS by 30 September and 31 March	2 considered bi-annually by the PPS by 30 September and 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March	2 considered bi-annually by the PPS by 31 March

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. Two reports on trends regarding utilisation of storage facilities and third-party access	Number of reports on trends regarding utilisation of storage facilities and third-party access considered by the relevant committee or the Energy Regulator within the stated time frame	2 considered bi-annually by the PPS by 31 March		-		2 Considered bi-annually by the PPS by 31 March
2. One report on the implementation of the methodology to determine uncommitted capacity	Number of reports on the implementation of the methodology to determine uncommitted capacity considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the PPS by 31 March	-	-	-	1 considered by the PPS by 31 March
3. Two reports on the construction of new facilities	Number of reports on the construction of new facilities considered by the relevant committee or the Energy Regulator within the stated time frame	2 considered bi-annually by the PPS by 31 March	-	-	-	2 Considered bi-annually by the PPS by 31 March
4. Two reports on licensees' compliance with statutory reporting requirements	Number of reports on licensees' compliance with statutory reporting requirements considered by the relevant committee or the Energy Regulator within the stated time frame	2 considered bi-annually by the PPS by 31 March	-	-	-	2 Considered bi-annually by the PPS by 31 March

iv. Dispute resolution, including mediation, arbitration and handling of complaints

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards	1. 100% of complaints investigated and report considered by the PPS within 12 months of receipt of adequate information from relevant parties	Percentage of complaints investigated and report considered by the relevant committee or the Energy Regulator within the stated time frame of receipt of adequate information from relevant parties	100%	100%	100%	100%	100%	100%	100%

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. 100% of complaints investigated and report considered by the PPS within 12 months of receipt of adequate information from relevant parties	Percentage of complaints investigated and report considered by the relevant committee or the Energy Regulator within the stated time frame of receipt of complete information from relevant parties	100%	100%	100%	100%	100%

v. Setting of rules, guidelines and codes for regulation

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS							
			Audited performance			Estimated performance	MTEF Period			
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28	
MTDP Priority 1: Drive inclusive growth and job creation										
MTDP Priority 2: Reduce Poverty and tackle the high cost of living										
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.										
Energy Sector Priority: South Africa's Continental and Global Energy Leadership										
Energy Sector Priority: Energy demographic transformation										
A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards	1.	One report on the monitoring of the implementation of the revised tariff methodology	Number of reports on the monitoring of the implementation of the tariff methodology considered by the relevant subcommittee or the Energy Regulator within the stated time frame	1 considered annually by the PPS by 31 March	1	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March	1 considered annually by the PPS by 31 March
	2.	Reviewed storage and loading facilities tariff methodology	Energy Regulator decision on the Reviewed storage and loading facilities tariff methodology within the stated time frame	Regulator decision by 31 March 2022	New target	-	Energy Regulator decision by 31 March 2025	-	-	Energy Regulator decision by 31 March

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. One report on the monitoring of the implementation of the revised methodology	Number of reports on the monitoring of the implementation of the tariff methodology considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the PPS by 31 March	-	-	-	1 considered annually by the PPS by 31 March

5.2.1.3. Explanation of Planned Performance

The planned outputs are in line with the regulatory functions of NERSA, as contained in yje relevant legislation.

5.2.1.4. Programme Resource Considerations

The budget for activities relating to the regulation of the energy industry is based on a ring-fencing methodology that was approved to comply with section 13 of the National Energy Regulator Act, 2004 (Act No. 40 of 2004). The methodology is based on direct employment cost as a basis of common cost apportionment. Direct costs are allocated directly to the respective industry.

The table below indicates the approved staff complement and the approved budget for 2025/26 for Programme 1: Regulatory Service Delivery.

DIVISIONS	RELEVANT STRUCTURES	STAFF COMPLEMENT	BUDGET (R)	% ALLOCATION
Electricity Regulation (ELR)	Executive Manager	4	R 10 933 738	80%
	Electricity Pricing and Tariffs (EPT)	28	R 33 047 115	80%
	Electricity Licensing, Compliance and Dispute Resolution (ELC)	27	R 31 953 263	80%
	Electricity Infrastructure Planning (EIP)	10	R 16 595 967	80%
Piped-Gas Regulation (GAR)	Executive Manager	7	R 14 216 227	90%
	Gas Pricing and Tariffs (GPT)	8	R 11 367 764	95%
	Gas Licensing, Compliance and Dispute Resolution (GLC)	11	R 13 919 837	100%
	Gas Competition and Market Analysis (GCM)	4	R 6 181 529	95%
Petroleum Pipelines Regulation (PPR)	Executive Manager	8	R 14 176 191	90%
	Petroleum Pipelines Tariffs (PPT)	9	R 10 466 244	95%
	Petroleum Licensing, Compliance and Dispute Resolution (PLC)	8	R 10 895 546	90%

Note: The % allocation is based on the staff complement of the Organisation in line with the ring-fencing methodology.

Please refer to *Part D: Funding for NERSA* for the detailed budget.

5.2.1.5. Key Risks

Please refer to section 6.2.6 below for NERSA's detailed Strategic Risk Register.

5.2.2. PROGRAMME 2: ADVOCACY AND ENGAGEMENT

The programme's purpose is to contribute towards relevant legislation and policies; government's transformation as well as to inform customers and stakeholders.

6.2.2.1 *Sub-programme: Regulatory and Policy Advocacy*

The purpose of this sub-programme is to coordinate advocacy with the shareholders and stakeholders regarding regulatory and policy matters.

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 3: Build a Capable, Ethical and Developmental State									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
Energy industry regulatory framework is relevant for the effective regulation for the benefit of the customers and stakeholders	1. Two reports on regulatory advocacy, one each for the piped- gas and petroleum pipelines regulated industries, aimed at the improvement of the regulatory framework provided through legislation, regulation and government policies	Number of reports on regulatory advocacy considered by the relevant committee or the Energy Regulator within stated time frame	New target	4 considered annually by the PGS (2) and PPS (2) by 31 March	3 considered annually by the PGS (2) and PPS (1) by 31 March	2 considered annually by the PGS (1) and PPS (1) by 31 March	2 considered annually by the PGS (1) and PPS (1) by 31 March	2 considered annually by the PGS (1) and PPS (1) by 31 March	2 considered annually by the PGS (1) and PPS (1) by 31 March

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 3:Build aCapable, Ethical and Developmental State									
MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa’s Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
Innovation drives NERSA's response to the transition of the industry	2. Regulatory Advocacy and stakeholder engagement in line with the approved annual ESI Advocacy and Stakeholder Engagement Plan aimed at influencing the effective functioning of the electricity industry	Percentage of actual versus planned annual ESI Advocacy and Stakeholder Engagement activities executed	New target	65%	78%	65%	65%	65%	65%

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. Two reports on regulatory advocacy, one each for the piped-gas and petroleum pipelines regulated industries, aimed at the improvement of the regulatory framework provided through legislation, regulation and government policies	Number of reports on regulatory advocacy considered by the relevant committee or the Energy Regulator within stated time frame	2 considered annually by the PGS (1) and PPS (1) by 31 March	-	-	-	2 considered annually by the PGS (1) and PPS (1) by 31 March
2. ESI Regulatory Advocacy and stakeholder engagement in line with the approved annual ESI Advocacy and Stakeholder Engagement Plan aimed at influencing legislative and policy changes	Percentage of actual versus planned annual ESI Advocacy and Stakeholder Engagement activities executed	65%	Advocacy and Stakeholder Engagement Plan	10%	25%	30%

Adjusted Annual Performance Plan 2025/26 – 2027/28

6.2.2.2 ***Sub-programme: Customer and Stakeholder Engagement***

The purpose of this sub-programme is to coordinate customer and stakeholder engagements regarding regulatory matters.

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 3: Build a Capable, Ethical and Developmental State MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality. Energy Sector Priority: South Africa’s Continental and Global Energy Leadership Energy Sector Priority: Energy demographic transformation									
Integrated and value-added services to customers	1. Two reports on stakeholder engagements for the piped-gas and petroleum pipelines regulated industries	Number of reports on stakeholder workshops/ meetings for the piped-gas and petroleum pipelines regulated industries considered by the relevant committee or the Energy Regulator within the stated time frame	New target	New target	2 considered annually by the PGS (1) and PPR (1) by 31 March	2 considered annually by the PGS (1) and PPR (1) by 31 March	2 considered annually by the PGS (1) and PPR (1) by 31 March	2 considered annually by the PGS (1) and PPR (1) by 31 March	2 considered annually by the PGS (1) and PPR (1) by 31 March
	2. Seventy-five ESI customer education programmes undertaken	Number of ESI customer education programmes undertaken within the stated time frame	30	50	85	75	75	75	75
	3. Two reports on partnership creation to position NERSA as a recognised regulator nationally, regionally and internationally	Number of reports on partnership creation considered by the relevant committee or the Energy Regulator within	2 considered biannually by the REC by 30 September and 31	2 considered biannually by the REC by 30	2 considered biannually by the REC by 30	2 considered biannually by the REC by 31	2 considere d biannually by the	2 considere d biannually by the	2 considere d biannually by the

Adjusted Annual Performance Plan 2025/26 – 2027/28

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF Period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 3: Build a Capable, Ethical and Developmental State MTDP Priority 2: Reduce Poverty and tackle the high cost of living									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality. Energy Sector Priority: South Africa’s Continental and Global Energy Leadership Energy Sector Priority: Energy demographic transformation									
		the stated time frame	March	September and 31 March	September and 31 March	March	REC by 31 March	REC by 31 March	REC by 31 March
	4. One report on the implementation of the stakeholder engagement plan	Number of reports on the implementation of the stakeholder engagement plan considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the REC by 31 March	1 considered annually by the REC by 31 March	1 considered annually by the REC by 31 March	1 considered annually by the REC by 31 March	1 considered annually by the REC by 31 March	1 considered annually by the REC by 31 March	1 considered annually by the REC by 31 March
	5. One report on communication and reputation management	Number of reports on communication and reputation management considered by the relevant committee or the Energy Regulator within the stated time frame	New target	New target	New target	New target	1 considered annually by the REC by 31 March	1 considered annually by the REC by 31 March	1 considered annually by the REC by 31 March

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. Two reports on stakeholder engagements for the piped-gas and petroleum pipelines regulated industries	Number of reports on stakeholder workshops/meetings for the piped-gas and petroleum pipelines regulated industries considered by the relevant committee or the Energy Regulator within the stated time frame	2 considered annually by the PGS (1) and PPR (1) by 31 March	-	-	-	2 considered by the PGS (1) and PPR (1) by 31 March
2. Seventy-five ESI customer education programmes undertaken annually	Number of ESI customer education programmes undertaken within the stated time frame	75	Annual ESI customer education programme plan 20	25	15	15
3. Two reports on partnership creation to position NERSA as a recognised regulator nationally, regionally and internationally	Number of reports on partnership creation considered by the relevant committee or the Energy Regulator within the stated time frame	2 considered biannually by the REC by 31 March	-	-	-	2 considered by the REC by 31 March
4. One report on the implementation of the stakeholder perception plan	Number of reports on the implementation of the stakeholder engagement plan considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the REC by 31 March	-	-	-	1 considered annually by the REC by 31 March
5. One report on communication and reputation management	Number of reports on communication and reputation management considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the REC by 31 March	-	-	-	1 considered annually by the REC by 31 March

6.2.2.3 Explanation of Planned Performance

The planned output is in support of NERSA's regulatory functions, as contained in the relevant legislation.

6.2.2.4 Programme Resource Considerations

The budget for the activities relating to the regulation of the energy industry is based on a ring-fencing methodology that was approved to comply with section 13 of the National Energy Regulator Act, 2004 (Act No. 40 of 2004). The methodology is based on direct employment cost as a basis for common costs apportionment. Direct costs are allocated directly to the respective industry.

The table below indicates the approved staff complement and the approved budget for 2025/26 for Programme 2: Advocacy and Engagement.

DIVISIONS	RELEVANT STRUCTURES	STAFF COMPLEMENT	BUDGET (R)	% ALLOCATION
Electricity Regulation (ELR)	Executive Manager	1	R 2 733 435	20%
	Electricity Pricing and Tariffs (EPT)	7	R 8 261 779	20%
	Electricity Licensing, Compliance and Dispute Resolution (ELC)	7	R 7 988 316	20%
	Electricity Infrastructure Planning (EIP)	3	R 4 126 492	20%
Piped-Gas Regulation (GAR)	Executive Manager	1	R 1 579 581	10%
	Gas Pricing and Tariffs (GPT)	0	R 598 356	5%
	Gas Licensing, Compliance and Dispute Resolution (GLC)	0	R -	0%
	Gas Competition and Markets (GCM)	0	R 325 344	5%
Petroleum Pipelines Regulation(PPR)	Executive Manager	1	R 1575 132	10%
	Petroleum Pipelines Tariffs (PPT)	0	R 550 855	5%
	Petroleum Licensing, Compliance and Dispute Resolution (PLC)	1	R 1210 616	10%
Corporate Services	Executive Manager	0	R 214 320	5%
	Communication and Stakeholder Management (CSM)	9	R 10 356 322	100%
	International Co-ordination and Partnerships (ICP)	3	R 5 055 210	100%

Note: The % allocation is based on the staff complement of the Organisation in line with the ring-fencing methodology.

Please refer to *Part D: Funding for NERSA* for the detailed budget.

5.2.3. PROGRAMME 3: INNOVATION

The programme aims to ensure a technology solution that supports the business in delivering integrated and value-added services to customers internally and externally.

6.2.3.1 *Subprogramme: Integrated and Value-Added Services*

The purpose of this sub-programme is to facilitate integrated and value-added services aimed at improving NERSA's service delivery.

a) Outcomes, Outputs, Performance Indicators and Targets

Outcome	Outputs	Output Indicators	Annual Targets						
			Audited performance			Estimated performance	MTEF period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 3: Build a Capable, Ethical and Developmental State									
Innovation drives our response to the transition of the industry	1. Two reports on the implementation of the approved ICT Strategy	Number of reports on the implementation of the approved ICT Strategy considered by the relevant committee or the Energy Regulator within the stated time frame	2 considered bi-annually by the ITGC by 30 September and 31 March	2 considered bi-annually by the ITGC by 30 and September and 31 March	4 considered bi-annually by the ITGC by 31 March	2 considered bi-annually by the ITGC by 31 March	2 considered bi-annually by the ITGC by 31 March	2 considered bi-annually by the ITGC by 31 March	2 considered bi-annually by the ITGC by 31 March
	2. Business processes are automated and efficient	Percentage of business processes are automated and efficient considered by the relevant committee or the Energy Regulator within the stated time frame	New target	New target	New target	New target	30 by 31 March	40% by 31 March	40% by 31 March

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4

Adjusted Annual Performance Plan 2025/26 – 2027/28

1. Two reports on the implementation of the approved ICT Strategy	Number of reports on the implementation of the approved ICT Strategy considered by the relevant committee or the Energy Regulator within the stated time frame	2 considered bi-annually by the ITGC by 31 March	-	-	-	2 considered bi-annually by the ITGC by 31 March
2. Business processes are automated and efficient	Percentage of business processes that are automated and efficiency considered by the relevant committee or the Energy Regulator within the stated time frame	30% by 31 March 2025	-	10%	10%	10%

6.2.3.2 Explanation of Planned Performance

The planned output is in support of the regulatory functions of NERSA, as contained in the relevant legislation.

6.2.3.3 Programme Resource Considerations

The budget for activities relating to the regulation of the energy industry is based on a ring-fencing methodology that was approved to comply with section 13 of the National Energy Regulator Act, 2004 (Act No. 40 of 2004). The methodology is based on direct employment costs as a basis of common costs apportionment. Direct costs are allocated directly to the respective industry.

The table below indicates the approved staff complement and the approved budget for 2025/26 for Programme 3: Innovation.

DIVISIONS	RELEVANT STRUCTURES	STAFF COMPLEMENT	BUDGET (R)	% ALLOCATION
Specialised Support Units (SSU)	Information and Communication Technology (ICT)	2	R 2 757 117	20%
Corporate Services	Information Resources Management (IRM)	0	R 413 119	5%

Note: The percentage allocation is based on the staff complement of the organisation in line with the ring-fencing methodology.

5.2.4. PROGRAMME 4: OPERATIONAL EFFICIENCY AND QUALITY MANAGEMENT

The programme aims to ensure that NERSA's integrated operational processes, improved planning and project management remain relevant in supporting the core business.

6.2.4.1 Subprogramme: Integrated Operations and Research and Analysis

The purpose of this sub programme is to ensure that:

- a) relevant research and information analysis are conducted; and
- b) organisational and operational processes contribute to improved service delivery

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 3: Build a Capable, Ethical and Developmental State									
Integrated and value-added services to customers	1. One report on the environmental scanning	Number of reports on the environmental scanning considered by the relevant subcommittee or the Energy Regulator within the stated time frame	1 considered annually by the REC by 30 June	1 considered annually by the REC by 30 June	1 considered annually by the REC by 28 June	1 considered annually by the REC by 30 April	1 considered annually by the REC by 30 June	1 considered annually by the REC by 30 June	1 considered annually by the REC by 30 June

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF period		
			2021/22	2022/23	2023/24		2024/25	2025/26	2026/27
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 3: Build a Capable, Ethical and Developmental State									
	2. Reviewed Regulatory Reporting Manuals for Non-Financial and Financial Information	Energy Regulator's decision on the Reviewed Regulatory Reporting Manuals for Non-Financial and Financial Information	New target	New target	New target	Energy Regulator's decision on Reviewed Regulatory Reporting Manuals for Non-Financial and Financial Information (Vol 1) by 31 March 2025	Energy Regulator's decision on Reviewed Regulatory Reporting Manuals for Non-Financial and Financial Information (Vol 4)	Energy Regulator's decision on Reviewed Regulatory Reporting Manuals for Non-Financial and Financial information (Vol 3)	Energy Regulator's decision on Reviewed Regulatory Reporting Manuals for Non-Financial and Financial information (Vol 2)
	3. Audit opinion that is not qualified	Unqualified audit opinion	Unqualified audit opinion	Clean audit opinion	Unqualified audit opinion	Unqualified audit opinion	Unqualified audit opinion	Unqualified audit opinion	Unqualified audit opinion
	4. One report on the implementation of the measures to improve NERSA's B-BBEE rating per financial year	Number of reports on the implementation of the measures to improve NERSA's B-BBEE rating per financial year considered by the relevant subcommittee or the Energy Regulator within the stated time frame	New target	New target	New target	1 considered annually by the ER by 31 March	1 considered annually by the ER by 31 March	1 considered annually by the ER by 31 March	1 considered annually by the ER by 31 March
	5. Four reports on the implementation of gender mainstreaming initiatives	Number of reports on the implementation of the gender mainstreaming plan considered by the relevant subcommittee within the stated time frame	New target	New target	1 considered annually by the REC by 18 March	1 considered annually by the HRRC by 31 March	4 considered annually by the HRRC by 31 March	4 considered annually by the HRRC by 31 March	4 considered annually by the HRRC by 31 March

Adjusted Annual Performance Plan 2025/26 – 2027/28

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 1: Drive inclusive growth and job creation									
MTDP Priority 3: Build a Capable, Ethical and Developmental State									
	6. One report on the implementation of the Hybrid Working Strategy	Number of reports on the implementation of the Hybrid Working Strategy considered by the relevant subcommittee within the stated time frame	New target	New target	New target	1 considered by the HRRC by 31 March	1 considered by the HRRC by 31 March	1 considered by the HRRC by 31 March	1 considered by the HRRC by 31 March
	7. Four reports on legislation, policy and case law developments that have an impact on the Regulator	Number of reports on legislation, policy and case law developments that have an impact on the Regulator, considered by the relevant subcommittee or the Energy Regulator within the stated timeframe	4 considered by the REC by 31 March	4 considered by the REC by 31 March	4 considered by the REC by 31 March	New target	4 considered by the REC by 31 March	4 considered by the REC by 31 March	4 considered by the REC by 31 March
	8. Four quarterly litigation reports	Number of litigation reports considered by the relevant subcommittee or the Energy Regulator within the stated timeframe	New target	New target	New target	New target	4 considered by the REC by 31 March	4 considered by the REC by 31 March	4 considered by the REC by 31 March

b) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. One report on the environmental scanning	Number of reports on environmental scanning considered by the relevant subcommittee or the Energy Regulator within the stated time frame	1 considered annually by the REC by 30 April	-	1 considered annually by the REC by 30 June	-	-
2. Reviewed Regulatory Reporting Manuals for Non-Financial and Financial Information	Energy Regulator decision on the Reviewed Regulatory Reporting Manuals for Non-Financial and Financial Information	Energy Regulator's decision on Reviewed Regulatory Reporting Manuals for Non-Financial and Financial Information (Vol 4)	-	-	-	Energy Regulator's decision on Reviewed Regulatory Reporting Manuals for Non-Financial and Financial Information (Vol 4)
3. Audit opinion that is not qualified	Unqualified audit opinion	Unqualified audit opinion	-	Unqualified audit opinion	-	-
4. One report on the implementation of the measures to improve NERSA's B-BBEE rating per financial year	Number of reports on the implementation of the measures to improve NERSA's B-BBEE rating per financial year considered by the relevant subcommittee or the Energy Regulator within the stated time frame	1 considered annually by the ER by 31 March	-	-	-	1 considered annually by the ER by 31 March
Four reports on the implementation of gender mainstreaming initiatives	Number of reports on the implementation of the gender mainstreaming plan considered by the relevant subcommittee within the stated time frame	4 considered annually by the HRRC by 31 March	1 considered annually by the HRRC	1 considered annually by the HRRC	1 considered annually by the HRRC	1 considered annually by the HRRC

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
5. One report on the implementation of the Hybrid Working Strategy	Number of reports on the implementation of the Hybrid Working Strategy considered by the relevant subcommittee within the stated time frame	1 considered by the HRRC by 31 March	-	-	-	1 considered by the HRRC by 31 March
6. Four reports on legislation, policy and case law developments that have an impact on the Regulator	Number of reports on legislation, policy and case law developments that have an impact on the Regulator, considered by the relevant subcommittee or the Energy Regulator within the stated timeframe	4 considered by the REC by 31 March	1 considered by the REC by 31 March	1 considered by the REC by 31 March	1 considered by the REC by 31 March	1 considered by the REC by 31 March
7. Four quarterly litigation reports	Number of litigation reports considered by the relevant subcommittee or the Energy Regulator within the stated timeframe	4 considered by the REC by 31 March	1 considered by the REC by 31 March	1 considered by the REC by 31 March	1 considered by the REC by 31 March	1 considered by the REC by 31 March

6.2.4.1 Explanation of Planned Performance

The planned outputs are in support of NERSA's regulatory functions, as contained in relevant legislation.

6.2.4.2 Programme Resource Considerations

The budget for activities relating to the regulation of the energy industry is based on a ring-fencing methodology that was approved to comply with section 13 of the National Energy Regulator Act, 2004 (Act No. 40 of 2004). The methodology is based on direct employment cost as a basis of common costs apportionment. Direct costs are allocated directly to the respective industry.

The table below indicates the approved staff complement and the approved budget for 2025/26 for Programme 4: Operational Efficiency and Quality Management.

REGULATED INDUSTRY	RELEVANT STRUCTURES	STAFF COMPLEMENT	BUDGET	% ALLOCATION
Finance and Administration (CFO)	Chief Financial Officer	3	R 4 602 271	100%
	Financial Management and Governance (FMG)	7	R 10 769 146	100%
	Supply Chain Management, Facilities and Projects	12	R 13 843 357	100%
Corporate Services (COS)	Executive Manager	4	R 4 072 078	95%
	Legal Advisory Services (LAS)	6	R 10 948 590	100%
	Information Resources Management (IRM)	7	R 8 609 264	95%
Specialised Support Units (SSU)	Internal Audit (IAU)	7	R 11 161 727	100%
	Strategic Planning and Monitoring (SPM)	4	R 6 736 400	100%
	Regulator Support (RSU)	12	R 16 644 088	100%
	CEO's Office Operations (COO)	4	R 6 860 191	100%
	Regulatory Analysis and Research (RAR)	6	R 11 012 641	100%
	Information and Communication Technology (ICT)	8	R 11 028 468	80%

Note: The percentage allocation is based on the staff complement of the Organisation in line with the ring-fencing methodology.

6.2.5. PROGRAMME 5: PEOPLE AND ORGANISATIONAL CULTURE

The programme aims to ensure a conducive work culture and human capacity balanced between specialised skills and generic skill requirements, as well as system development, to deliver value to customer and stakeholder expectations.

6.2.5.1 Sub-programme: Human Resources and Capacity

The purpose of this sub-programme is to facilitate the availability of appropriate skills, organisational culture and human capacity.

a) Outcomes, Outputs, Performance Indicators and Targets

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS							
			Audited performance			Estimated performance	MTEF period			
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28	
MTDP Priority 3: Build capable, ethical and developmental state										
MTDP Priority 2: Reduce poverty and tackle the high cost of living										
MTDP Priority 1: Drive inclusive growth and job creation										
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.										
Energy Sector Priority: South Africa's Continental and Global Energy Leadership										
Energy Sector Priority: Energy demographic transformation										
Integrated and value-added services to customers	1.	One report on Organisational Culture Assessment	Number of implementation reports on the Organisational Culture Assessment submitted and considered by the relevant committee or the Energy Regulator within the stated time frame	New Target	New Target	1 considered annually by the HRRC by 31 March	1 considered annually by the HRRC by 31 March	1 considered annually by the HRRC by 31 March	1 considered annually by the HRRC by 31 March	1 considered annually by the HRRC by 31 March
	2.	Two reports on the implementation of the Employment Equity Plan	Number of reports on the implementation of the Employment Equity Plan considered by the	2 considered bi-annually by the HRRC by 30 September	2 considered bi-annually by the HRRC by 30 September and 31 March	2 considered bi-annually by the HRRC by 30 September	2 considered bi-annually by the HRRC by 31 March	2 considered bi-annually by the HRRC by	2 considered bi-annually by the HRRC by	2 considered bi-annually by the HRRC by
			relevant committee or the							

Adjusted Annual Performance Plan 2025/26 – 2027/28

OUTCOME	OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS						
			Audited performance			Estimated performance	MTEF period		
			2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28
MTDP Priority 3: Build capable, ethical and developmental state									
MTDP Priority 2: Reduce poverty and tackle the high cost of living									
MTDP Priority 1: Drive inclusive growth and job creation									
Energy Sector Priority: Achieve Universal Access, Availability, Affordability and Quality.									
Energy Sector Priority: South Africa's Continental and Global Energy Leadership									
Energy Sector Priority: Energy demographic transformation									
		Energy Regulator within the stated time frame	and 31 March		and 31 March		31 July and 30 January	31 July and 30 January	31 July and 30 January
3.	50% of management positions filled by women	Percentage of management positions filled by women	50%	50%	50%	50%	50%	50%	50%
4.	2% of people with disabilities employed	Percentage of people with disabilities employed	2%	2%	2%	2%	2%	2%	2%
5.	Four reports on the implementation of the Youth Employment Accord	Number of reports on the implementation of the Youth Employment Accord considered by the relevant committee or the Energy Regulator within the stated time frame	4 considered quarterly by the HRRC	4 considered quarterly by the HRRC	4 considered quarterly by the HRRC	4 considered quarterly by the HRRC	4 considered quarterly by the HRRC	4 considered quarterly by the HRRC	4 considered quarterly by the HRRC
6.	Four reports on the implementation of the bursary programme for qualifying external applicants	Number of reports on the implementation of the bursary programme for qualifying external applicants considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered quarterly by the HRRC	1 considered quarterly by the HRRC	2 considered quarterly by the HRRC	1 considered quarterly by the HRRC	1 considered quarterly by the HRRC	1 considered quarterly by the HRRC	1 considered quarterly by the HRRC

Adjusted Annual Performance Plan 2025/26 – 2027/28

a) Indicators, Annual and Quarterly Targets

OUTPUTS	OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
			Q1	Q2	Q3	Q4
1. One report on Organisational Culture Assessment	Number of implementation reports on the Organisational Culture Assessment submitted and considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered annually by the HRRC by 31 March	-	Presentation of culture survey results to management and other stakeholders	Presentation of implementation report and recommendations to HRRC	1 Progress report on the implementation results presented to the HRRC
2. Two reports on the implementation of the Employment Equity Plan considered	Number of reports on the implementation of the Employment Equity Plan considered by the relevant committee or the Energy Regulator within the stated time frame	2 considered bi-annually by the HRRC by 31 March	-	-	-	2 considered by the HRRC by 31 March

OUTPUTS		OUTPUT INDICATORS	ANNUAL TARGETS	QUARTERLY TARGETS			
3.	50% of management positions filled by women.	Percentage of management positions filled by women	50%	-	-	-	50%
4.	2% of people with disabilities employed	Percentage of people with disabilities employed	2%	-	-	-	2%
5.	Four reports on the implementation of the Youth Employment Accord	Number of reports on the implementation of the Youth Employment Accord considered by the relevant committee or the Energy Regulator within the stated time frame	4 considered quarterly by the HRRC	1 considered by the HRRC	1 considered by the HRRC	1 considered by the HRRC	1 considered by the HRRC
6.	Four reports on the implementation of the bursary programme for qualifying external applicants	Number of reports on the implementation of the bursary programme for qualifying external applicants considered by the relevant committee or the Energy Regulator within the stated time frame	1 considered quarterly by the HRRC	1 considered quarterly by the HRRC	1 considered quarterly by the HRRC	1 considered quarterly by the HRRC	1 considered quarterly by the HRRC

6.2.5.2 Explanation of Planned Performance

The planned outputs are in support of NERSA's regulatory functions, as contained in the relevant legislation.

6.2.5.3 Programme Resource Considerations

The budget for activities relating to the regulation of the energy industry is based on a ring-fencing methodology that was approved to comply with section 13 of the National Energy Regulator Act, 2004 (Act No. 40 of 2004). The methodology is based on direct employment costs as a basis of common cost apportionment. Direct costs are allocated directly to the respective industry.

The table below indicates the approved staff complement and the approved 2025/26 budget for Programme 5: People and Organisational Culture.

DIVISIONS	RELEVANT STRUCTURES	BUDGET (R)	% ALLOCATION
Human Resources (CHO)	Chief Human Capital Officer	R 3 734 215	100%
	Human Resources – Value Creation	R 14 499 419	100%
	Human Resources -Transactions	R 4 128 757	100%

Note: The % allocation is based on the staff complement of the organisation in line with the ring-fencing methodology.

120

Please refer to *Part D: Funding for NERSA* for the detailed budget.

6.2.5.4 Key Risks

Please refer to section 6.2.6 below for NERSA's detailed Strategic Risk Register.

6.2.6. 2025/26 Strategic Risks

6.2.6.1. PFMA Section 51(1) (a) (i) states that:

“The Accounting Officer must ensure that the public entity has and maintains effective, efficient and transparent systems of financial, risk management and internal controls.”

6.2.6.2. National Treasury Regulations (par 27.2.1) states that:

“The accounting authority must ensure that a risk assessment is conducted regularly so as to identify emerging risks of the public entity. A risk management strategy, which must include a fraud prevention plan, must be used to direct internal audit efforts and priority and to determine the skills required of managers and staff to improve controls and to manage these risks. The strategy must be clearly communicated to all employees to ensure that the risk management strategy is incorporated into the language and culture of the public entity.”

6.2.6.3. In complying with the requirements as set out by the regulatory prescripts on risk management, NERSA identified strategic risks following the outcome-based approach as required by the Department of Planning, Monitoring and Evaluation. The following outcomes were considered/adopted for risk identification:

- a) Efficiency in facilitating entry, setting prices and resolving disputes.
- b) A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards.
- c) Innovation drives our response to the transition of the industry.
- d) Integrated and value-added services to customers.

6.2.6.4. NERSA's Strategic Risks for 2025.25 financial year

The following is the list of strategic risks identified which might have a¹²¹ negative impact on the achievement of NERSA strategy:

1. Perceived regulatory irrelevance
2. Rising energy costs - high energy prices and tariffs
3. Damage to NERSA's reputation as perceived by its stakeholders
4. Lack of growth, sustainability and transformation of energy industry
5. Possible disruption of the NERSA operations due to unforeseen events (force majeure such as attacks and/or ICT system failure, pandemic, etc.).
6. Energy supply instability

7. Exposure to cyber-attacks (phishing, ransomware, data breaches) that could disrupt operations, cause financial losses, etc.
8. Limitation to implement NERSA's governing legislation
9. Declining revenue and revenue sources/or streams
10. Inadequate maturity level of the structure, culture, human resources, skills, capacity and system/ to match new technically inclined developments.

6.2.6.5 The detailed strategic risk register is provided below.

RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
1.	The energy industry regulatory framework is relevant for effective regulation, for the benefit of the customers and stakeholders	Perceived regulatory irrelevance	Effective application/Implementation of the methodology and compliance with the law. Quality assurance on compliance with the methodology and legislation (documents reviewed and signed off by the legal service). Implementation of the communication strategy and stakeholder engagement. Provide inputs to draft amendment bills and policies to address ambiguity. Enhancement of the SharePoint document management system. Collaboration between regulatory divisions and ICT to develop an Online Portal between NERSA and Licensees to automate application processes. Improve document management linked to regulatory decisions. Regulatory advocacy on measures to influence the executive (DMRE) to amend the existing legislation. Implementation of the recommendation from the independent peer review of all regulatory tools to ensure that it is aligned with our mandate. Regular review (Environmental scan) of developments in the gas, petroleum pipeline and electricity industries, and the impact of those developments on the structure of and competition within the industry. Implementation of the recommendation from the independent peer review of all regulatory tools to ensure that it is aligned with our mandate.

RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
			Improved regulatory advocacy to deal with regulatory overlaps (fragmentation of regulations, non-alignment of regulatory activities). Improve MOAs with relevant authorities. Engage the Competition Commission to align decision making processes. Amend the MoA between NERSA and TNPA for improved cooperation. Advocacy for finalisation of the Gas Masterplan to serve as the blueprint for gas infrastructure development Conduct policy briefs. Collaboration with ICT to develop an Online Portal between NERSA and Licensees to automate application processes Independent peer review of all regulatory tools to ensure that it is aligned with our mandate.

			Implementation of the standard operating procedures on improvement of quality of reasons for decisions (time management and quality assurance).
			Implementation plan for a formal approach to collaboration with licensees and law enforcement agencies.
			Implementation of stakeholder perception and reputation survey.
			Implementation of the reputation management service provider inputs and initiatives to improve NERSA's reputation.
RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
2.	A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards	Rising energy costs - high energy prices and tariffs.	Conduct review of Guidelines for Prudency Assessment.
			Implementation of the revised Guidelines for Prudency Assessment.
			Conduct research on possible additional gas supply.
			Competitive tariffs for pipelines
			Implementation of the reviewed tariff methodologies which incorporate efficiency adjustment factors through volume rules and volume risk sharing mechanism.
			Procurement process for the data in line with the recommendations from Electricity and Supply Chain Management.
			Ensure price of electricity is cost reflective as per the provisions of section 15 of the Act
			Collaboration with law enforcement agencies and community structures – on vandalism.
			Imposition of a fine by Tribunal if a violation/breach/non-compliance.
			Implement and monitoring the impact of the reviewed petroleum tariff methodologies.
			Implementation of the reviewed tariff methodologies which incorporate efficiency adjustment factors through volume rules and volume risk sharing mechanism.
			Improved regulatory advocacy to deal with regulatory overlaps (Fragmentation of regulations, non-alignment of regulatory activities).
			Publish list of facilities with uncommitted capacity.
			Continuous studies on sufficiency of capacity, security of supply and product flow logistics.
			Continuous assessment of volumes from Mozambique.

RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
3.	Integrated and value-added services to customers		Implementation of the reputation management service provider inputs and initiatives to improve NERSA's reputation.

		Damage to NERSA's reputation as perceived by its stakeholders	Implementation of stakeholder perception and reputation surveys. Development of non-digital platforms to cover rural areas. Review of developments in the electricity, gas industries and the petroleum pipeline, and the impact of those developments on the structure of, and competition within the industry. – Environmental scan.
RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
4.	Efficiency in promoting and facilitating entry, setting prices, and resolving disputes	Lack of growth, transformation, and sustainability	Research on industry developments (awareness of where supplies are available to address shortages). Develop TDP rules that define plans for new transmission infrastructure. Continue with the effective and efficient implementation of the following existing controls: Enforcing third-party access to infrastructure to improve growth, competition and transformation in the energy industries, regulatory advocacy, licencing and registration of energy facilities. Enforcing third-party access to infrastructure to improve growth, competition, and transformation in the energy industries. Regulatory advocacy. Publish a list of facilities with uncommitted capacity. Intensify stakeholder engagement with a focus on value creation to emphasise the value of regulation of the industries and the role of NERSA. Continuously conduct environmental scan. Implementation of bulk storage determination decision.
RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
5	Integrated and value-added services to customers	Possible disruption of the NERSA operations due to unforeseen events (force majeure such as attacks and/or ICT system failure, pandemic, etc.).	Implementation of the business continuity management, emergency and crisis management plan. Review of policy documentation and align with the hybrid strategy. Piloting of the hybrid strategy. Implement new ICT solutions as proposed in cyber security strategy. Replacement of outdated hardware and ensure warrant and service level agreement with service providers.
RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
6.	A stable and diverse energy sector system and pricing regime that supports access through regulatory services that are delivered on time and to quality standards	Energy supply instability	Interaction with neighbouring countries to explore opportunities for supply. Schedule 2 to attract private generating capacity. Introduction of the multi market through the Amendment Act. Proper regulation of independent transmission projects. EDI reforms to address issues of lack of distribution infrastructure. Monitor and enforce licence conditions.

			The MYPD5 issued with a condition to improve performance (EAF) to at least 65%.
			Enforcement of the licence conditions.
			Supply logistics project to identify gaps and vulnerabilities in infrastructure.
			Increased engagement with the demand side of the ESI.
			Develop methodologies to encourage alternative supply of gas.
			Regulatory advocacy to encourage the government to secure gas supplies from other countries and to address the closure of the refineries.
			Develop performance standards for licensees in the three regulated energy industries.
			Where licensees purchase LNG from an international market at an 'arm's length' transaction, NERSA to implement methodologies which ensures the licensee fully recovers all its costs.
			Emulating prices that would persist in competitive markets.
			Facilitating the establishment of conditions for effective competition in the relevant trading markets in the gas industry.
			Conduct regulatory advocacy and utilise methodologies that will encourage the development of national supplies.
			Development of service quality incentives (SQI) related to the energy availability factor (EAF)
			Timeously develop regulatory tools to facilitate the implementation of Government's interventions to alleviate load shedding i.e. Net billing, Demand Response Programmes and Participation by private generators.
			Review demand response tariff to incentivise participation.
			Improve licensing and registration processes.
			Develop regulatory tools which will allow the entry of new players especially for the generation.
			Emulating prices that would persist in competitive markets.
			Facilitating the establishment of conditions for effective competition in the relevant trading markets in the gas industry.
			Conduct regulatory advocacy and amendment of legislation.

RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
			Timeously develop regulatory tools to facilitate the implementation of Government's interventions to alleviate load shedding i.e. Net billing, Demand Response Programmes and Participation by private generators.
			Review Demand response tariff to incentivise participation.
			Improve licensing and registration processes.

			Develop regulatory tools which will allow the entry of new players especially for the generation. Implementation plan for formal approach on collaboration with licensees and law. Enforcement regarding vandalism to infrastructure. Implementation of the ERA Act. Development of service quality incentives for municipalities. Review pricing methodologies and adapt regulatory processes to ensure that the regulated industries can develop as normal as possible. Continue with current platforms such as RERA and Gas Commission are used to interact with neighbouring countries within SA. Coordination between NERSA and other government institution/departments. Conducting compliance audits
RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
7.	Integrated and value-added services to customers	Exposure to cyber-attacks (phishing, ransomware, data breaches) that could disrupt operations, cause financial losses, etc.	Approval of cyber strategy. Implementation of new solutions as proposed in cyber security strategy. Deploy a data classification solution. Implement new user awareness solutions. Implementation of multi-factor authentication. Implementation of encryption for data at rest NERSA to be insured against cybersecurity.
RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
8.	Energy industry regulatory framework is relevant for effective regulation, for the benefit of the customers and stakeholders.	Limitation to implement NERSA's governing legislation	Quality assurance on compliance with the methodology and legislation. Analysing the impact of NERSA's decisions in the energy industries on competition to ensure that NERSA's mandate to improve competition and transformation in the industries are considered in its decision-making processes. Advocacy with the DMRE on measures to improve competition, including filling regulatory gaps. Enforcement of Licencing Conditions (to submit annual reports on the transformation that has happened). Submit transformation plan to NERSA. Licencing of new entrants. Develop performance standards for licensees in the three regulated energy industries. Advocacy with the MOEE on measures on amendment of governing legislation/policy.

			Development of service quality incentives (SQI) related to the energy availability factor (EAF). Develop regulatory tools to facilitate the implementation of Government's interventions to alleviate load shedding i.e. Net billing, Demand Response Programmes and Participation by private generators. Review the demand response tariff to incentivise participation. Implementation of the reviewed regulatory tools. Continuous conducting of inquiries to identify bottlenecks (which may include regulatory gaps) in competition, growth, and transformation in the gas industry. Implementation of the recommendation from the Ex-post regulatory impact assessment of NERSA decisions.
RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
9.	Innovation drives our response to the transition of the industry	Declining revenue and revenue sources/or streams	Implementation of the financial sustainability strategy and implementation plan. Monitoring of actual spending to remain within budget and ensure revenue collection. Partnerships with international entities and regulators. Capacity building workshop with relevant stakeholders Implementation of a regulatory training programme to ensure continued training on new developments in the industry.
RANKING	OUTCOME	RISK DESCRIPTION	RISK RESPONSE STRATEGIES (ACTION PLANS)
10.	Integrated and value-added services to customers	Inadequate maturity level of culture, human resources, skills, capacity, and system.	Continuous implementation of effective and efficient existing internal controls i.e. Workplace skills plan, training plan (for staff and regulator members), dual career path policy, training and development policy and Internal and external bursary programme. Partnerships with international entities and regulators. Capacity building workshop with relevant stakeholders. Implementation of a regulatory training programme to ensure continued training on new developments in the industry. Automation of some of the business processes – Online Portal

7. Part D: Funding for NERSA

NERSA's approved budget is attached as Annexure D.

Budget 2025/26 and Forecast 2026/27 – 2027/28

Item no.	Description	Page Number
1	Funding for NERSA	3
2	Budget Basis	6
3	Executive Budget Summary	7
4	Consolidated Budget Summary	16
5	Consolidated Budget Detail	18
6	Notes to the Budget 2023/24	19
7	Budget per Industry – Electricity	35
8	Budget per Industry – Piped-Gas	37
9	Budget per Industry – Petroleum Pipelines	39
10	Budget per Industry – Support Services	41
11	Levy Calculation	42
11	Levy Calculation forecast years 2026/27 and 2027/28	44
13	Budget per Programme	47
14	Budget Timelines	49
15	Budget Assumptions and Parameters	51

FUNDING FOR THE NATIONAL ENERGY REGULATOR OF SOUTH AFRICA

1. FUNDING FOR THE NATIONAL ENERGY REGULATOR OF SOUTH AFRICA

1.1. NERSA Mandate and Applicable Funding Legislation

- 1.1.1. The National Energy Regulator of South Africa (NERSA) is the regulatory authority established in terms of the National Energy Regulator Act, 2004 (Act No. 40 of 2004). According to Section 4 of this Act NERSA's mandate is to regulate the electricity industry in terms of the Electricity Regulation Act, 2006 (Act No. 4 of 2006), regulate the piped-gas industry in terms of the Gas Act, 2001 (Act No. 48 of 2001), and regulate the petroleum pipelines industry in terms of the Petroleum Pipelines Act, 2003 (Act No. 60 of 2003).
- 1.1.2. In terms of the National Energy Regulator Act, 2004 (Act No. 40 of 2004), the National Energy Regulator of South Africa (NERSA) will be funded through money appropriated by Parliament; levies and licence fees imposed by or under separate legislation; charges for dispute resolution and other services rendered in terms of the National Energy Regulator Act. However, it suffices to say that the most prudent form of funding for all three industries is through levies and license fees.
- 1.1.3. For the electricity industry regulation, it is further provided that its funding will include donations or contributions received from any person or entity, as provided for in section 5B of the Electricity Act, 1987 (Act No. 47 of 1987).
- 1.1.4. Levies from the petroleum pipelines and piped-gas industries are imposed in terms of the Petroleum Pipelines Levies Act, 2004 (Act No. 28 of 2004) and the Gas Regulator Levies Act, 2002 (Act No. 75 of 2002) respectively.
- 1.1.5. Under section 5B of the Electricity Act [which has not been repealed with the operationalisation of the Electricity Regulation Act, 2006 (Act No. 4 of 2006)], the Minister of Mineral Resources and Energy prescribes the electricity licence fees by Notice in the Government Gazette.
- 1.1.6. Under the Petroleum Pipeline Levies Act and the Gas Regulator Levies Act, the Energy Regulator first publishes the intended levies for the public to make representations, considers the representation and submits a report to the Minister of Mineral Resources and Energy on the representations and how the representations affected the levies. After the approval by the Minister of Mineral Resources and Energy in concurrence with the Minister of Finance, the Energy Regulator publishes a Notice in the Government Gazette of the approved levies for at least thirty days before the piped-gas and petroleum pipelines industries start paying the levies.

1.2. Method of calculating levies and license fees

- 1.2.1. In order to calculate the licence fees, the estimated energy production figures for the previous calendar year for the Electricity Industry are used. From the energy production figures, the net energy that has been sent out by every electricity generator is calculated (i.e. the difference between the gross energy produced and the amount of energy used during the generation process). The unit for this figure is kilowatt-hour. The licence fees are determined by dividing the leviable amount for the electricity industry by the total amount of energy sent out. This provides a figure measured in cents per kilowatt-hour.
- 1.2.2. With regard to the piped-gas industry, the levies imposed are based on the amount of gas, measured in gigajoules, delivered by importers and producers to inlet flanges of transmission or distribution pipelines. The levy is determined by dividing the leviable amount for piped gas regulation by the total gigajoules amount. This provides a figure measured in cents per gigajoules.
- 1.2.3. With regard to the petroleum pipelines industry, the levies imposed are based on the amount of petroleum, measured in litres, delivered by importers, refiners and producers to inlet flanges of petroleum pipelines. The levy is determined by dividing the leviable amount for petroleum pipelines regulation by the total litres amount. This provides a figure measured in cents per litre.

1.3. Method for Ring-fencing of funds and refunds to industry

- 1.3.1. In terms of section 13 (2) and (3) of the National Energy Regulator Act 2004 (Act No. 40 of 2004), NERSA must keep separate accounts for each of the three industries regulated. Section 13 (3) (a) also states that the costs of the Energy regulator must be shared between the electricity, piped-gas and petroleum pipeline regulatory functions in proportion to the costs incurred by the Energy Regulator in respect of each of those regulatory functions. NERSA has over the years determined a ring fencing methodology to give effect to the accounting of funds of the regulator.
- 1.3.2. The primary accounting principles upon which the ring-fencing methodology is based are the following:
 - a) all direct costs attributable to an industry are allocated to that industry using the time based method of allocation;
 - b) the ratio of employment costs allocated to the three industries is used to allocate the remaining (common) costs to the respective industries; and
 - c) the common costs allocation for the next three years for the electricity, petroleum pipelines and piped-gas industries is 58%:21%:21%.
- 1.3.3. Section 13(1)(c) of the National Energy Regulator Act (Act No 30 of 2004) state that Money received by the Energy Regulator other than money appropriated by Parliament must be paid into the account that is kept in terms of subsection (2) for the industry from which such money was received, and must be used for the sole benefit of that industry.
- 1.3.4. Through section 13 (1) (c) of the NER Act, previously accumulated surpluses are used to reduce the leviable amount to be charged to licensees as refunds to industries. The refunds to industry are maintained per industry and are normally allocated over a three-year period to minimise drastic changes in the license fee/levy rate thus refunding the accumulated surplus to industry.
- 1.3.5. NERSA will be budgeting for a deficit over the 2025 MTEF period to minimise increases in the license fee/levy rate and access accumulated surpluses.

- 1.3.6. As prescribed by The Public Finance Management Act, a public entity must submit a budget in terms of Section 53 and subsection (1), may not budget for a deficit and may not accumulate surpluses unless the prior written approval of the National Treasury has been obtained. This approval will be sought once the Energy Regulator has approved the proposed budget. NERSA has budgeted for a deficit in the previous three financial years. Refer to **Annexure C** for previous approval of budgeting for deficit.

2. BASIS OF PREPARATION FOR THE BUDGET (BUDGETARY BASIS)

- 2.1. In terms of the accounting standard on the Presentation of Budget Information in Financial Statements (GRAP 24). This Standard requires a comparison of budget amounts and the actual amounts arising from execution of the budget to be included in the financial statements of entities. Compliance with the requirements of this Standard will also ensure that entities discharge their accountability obligations and enhance the transparency of their financial statements by demonstrating compliance with the approved budget(s) for which they are held publicly accountable.
- 2.2. The standard also defines a Budgetary basis which means the accrual, cash or other basis of accounting adopted in the budget approved by the legislative body.
- 2.3. NERSA elects to prepare its Budget on the Cash basis. This is a basis of accounting that recognises transactions and other events only when cash is received or paid. This means non-cash items such as depreciation, impairments, accruals etc. are not budgeted for. These items are not budgeted for as they are excluded when determining the leviable amounts. Funding requirements also include capital expenditure at full cost, and therefore exclude, depreciation.

BUDGET 2025/26

Executive Summary

3. EXECUTIVE SUMMARY

3.1. Organisational factors

Although NERSA is funded from levies and license fees to perform its regulatory functions, it is not immune to the current constrained economic environment. The National Treasury has outlined the principles for the 2025 MTEF with an emphasis that due to slow economic growth, the national budget is again formulated within a tight fiscal environment. Funding pressures will be need to be funded through reprioritisation within the public entity's budget its expenditure patterns as well as the need to align to government's economic reconstruction and recovery efforts.

In formulating the 2025 Budget, the following pertinent areas were identified as matters that require attention in the budget and also subject to the finalisation of the NERSA new five year term Strategic Plan and the Annual Performance Plan for the 2025/26 financial year.

NERSA's financial sustainability

In the past three financial years, NERSA has experienced revenue decline, mainly due to actual volumes reported by licensees coming in below estimates. Projections are also indicating further decline, mainly in the electricity generation capacity that is licensed and piped gas volumes. Petroleum pipeline volumes are remaining at same levels. This has an undesired impact of significantly increasing levy rates and license fees in order to maintain NERSA funding requirements even without significant increases. There is a necessity to update all the NERSA money bills or levies acts in the long term to align to changes in the energy sector movement of volumes, transacting and licensing regimes. Thus far, National Treasury has been approached to guide on the process on updating the NERSA money bills in light of the recently assented ERA amendment bill as well as the process for the Gas amendment bill.

Organisational-wide HR Needs Analysis

The Human Resource Value Creation Department is currently conducting an organisation-wide Human Resource needs assessment. The process is currently underway and consultations with the Human Resources and Remuneration Committee (HRRC) and the Energy Regulator (ER) were conducted. The recommendation was that further consultations should be embarked on taking into consideration the strategic planning process and the Electricity Regulation Amendment Bill, as upon promulgation of the Bill, the amended law will become applicable and NERSA will be obliged to ensure that it is duly implemented without delay. The Bill contains added functions and powers to NERSA and some requires the development of rules to be appropriately implemented and part of the implementation could require additional resources.

The possible staff requirements will be considered in the budget once the Energy Regulator has approved the new requirements (additional positions). The current draft budget does not include the additional positions as the process is not yet concluded. Once approved the implementation can only be considered in phases with funds permitting as this will certainly have carry through costs and permanently affect future budgets.

The Hybrid working strategy

The Hybrid Working Strategy was approved by ER on 27 June 2024. The proposed strategy, addresses options of how best the hybrid model will be implemented by NERSA. The impact on the budget will be assessed during the pilot phase which will commence on 01 August 2024 for a

period of six months. To avoid added cost pressures on the budget, cost savings should be identified in this process rather than add to budget requirements.

Current Budget cost pressures on operating budget

NERSA's current regulatory cost structure is mainly on Employment costs which average 67% of total expenditure, followed by Professional Fees at 10% and closely by Travel, Accommodation and Training costs at 7%. Capital Expenditure is event based and not indicative of a consistent renewal or replacement focus. Current cost pressures which require significant budget reprioritisation are on Legal costs due to ongoing litigation against NERSA. With current revenue shortfalls, NERSA cannot sustain legal costs at current levels. The operating budget is further eroded. Measures to reduce litigation against NERSA are necessary.

Strategic Focus Areas

During the Energy Regulator strategic planning sessions, there were strategic improvement areas identified with an aim of continuing to focus on the value add of NERSA in regulating the Electricity, Piped-Gas and Petroleum Pipeline energy sectors. The Energy Regulator identified key projects that are critical in performing regulatory functions, continuous innovation through the ICT projects, intensify advocacy in the transitioning energy sector and introduce efficiencies in regulation. These strategic focus areas will be incorporated in the Annual Performance Plan and while others will be included in Annual Operational plans for 2025/26. Further refinement may be required should other priority areas be identified in alignment to government priorities.

Key Projects

NERSA funding requirements for 2025/26 take into account the following key projects that should advance NERSA towards improving efficiencies and adding value in the sectors it regulates:

- a) Finalisation of implementation of the online collaboration portal between NERSA and licensees – (R 2 million)
- b) Implementation of the data warehouse as a business intelligence tool – (R3 million)
- c) Acquisition of online energy markets data for benchmarking studies and data informed decision making – (R2 million)
- d) Develop of uniform network code to regulate third party access to gas transmission and storage facilities in South Africa-(R2.5 million)
- e) Review of MYPD methodology-(R2 million)

These projects are being implemented in a phased manner where in some areas implementation commenced in 2024/25 and additional budget requirements to complete the projects are catered for also in the 2025/26 financial year budget and some in forecast years.

3.2. Funding Requirements

The total funding requirement for the 2025/26 budget is R510 million which is 5.2% higher than the 2024/25 funding requirement. The forecast requirements are projected to increase by 4,9% in the 2026/27 financial year and by 5.7% for the 2027/28 financial year.

The funding requirements will be obtained by charging levies/licence fees to the regulated electricity, piped gas and petroleum pipelines industries. In order to limit increases in the levy/ license fee rate as well as manage surplus funds, accumulated surplus funds from previous financial years have been allocated and deducted from the leviable amount as refunds to the regulated industries.

Total available surpluses for refund are R126.1 million as at 31 March 2024. Planned refunds to industries are allocated over a three-year period, with R70.0 million to be allocated in 2025/26, R28,0 million both in 2026/27 and 2027/28.

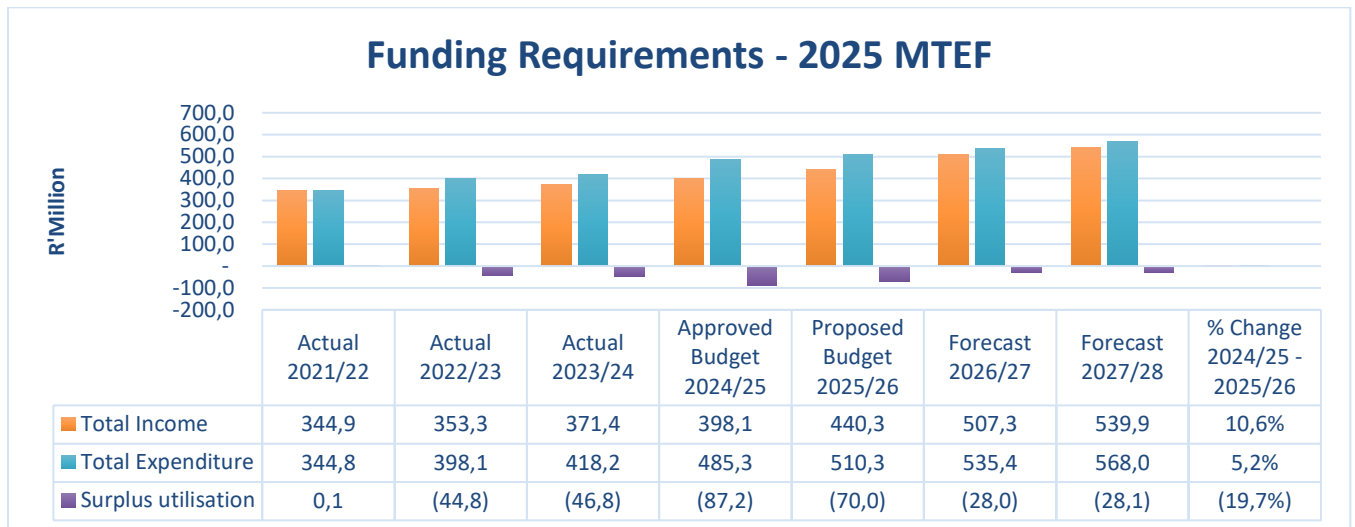


Figure 1: 2025/26 MTEF Revenue and funding requirements

3.3. Industry Volume Estimates

The volume estimates for the 2025/26 budget period indicate a slight recovery compared to the 2024/25 budget, except for the Piped Gas Volumes. The electricity generation volumes are projected to increase by 3.07%, the piped gas volumes are decreasing by a marginal 1.06% and the petroleum pipelines are increasing by 1.08%. Figure 2 outlines a historical, current and projected view of volumes. There are challenges with the Piped Gas volumes from estimates 2026/27 financial year. The state of affairs on gas volumes from Mozambique is being closely monitored by the Piped Gas division.

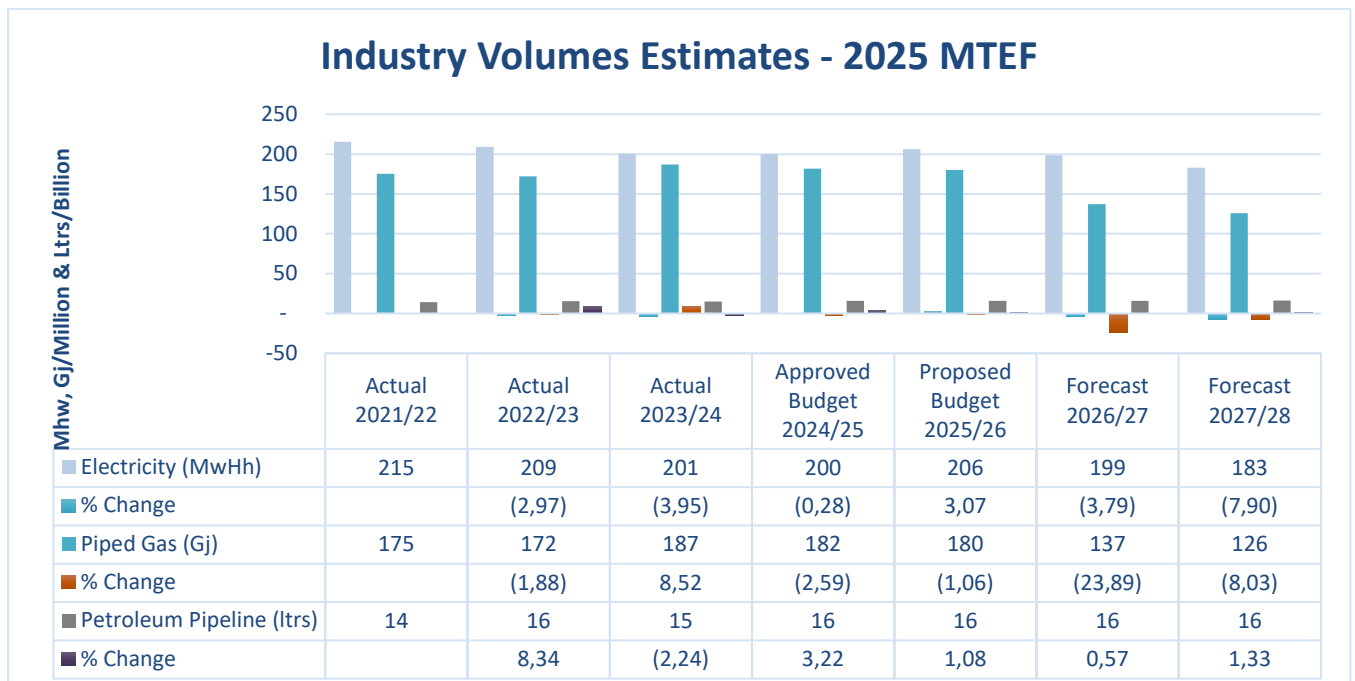


Figure 2: Projected Volumes for 2025 MTEF

3.4. Revenue

Revenue for the 2025/26 financial year amounts to R440 million, which is **10.6%** higher than the 2024/25 budgeted amount of R398 million. Interest income is projected to decrease significantly due to a decline in cash reserves. Figure 3 provides a breakdown of the NERSA sources of revenue historically and the projected values over the 2025 MTEF.

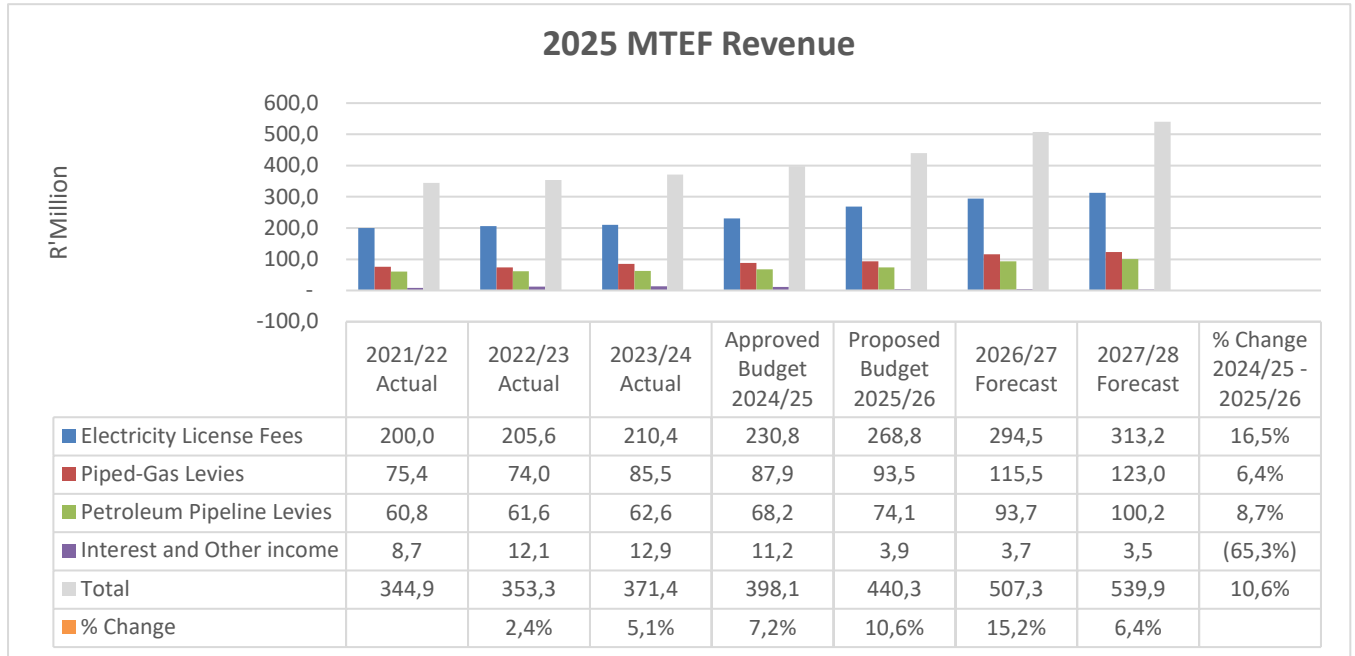


Figure 3: Projected Revenue for 2025/26 MTEF

3.5. Levies and License Fees Rates

The levies/licence fees for 2025/26 will change as follows compared to the 2024/25 financial year budget:

Table 1 – License Fees and Levy Rates Changes

Industry	Volumes	Division Operating Expenditure	Support Service Allocation	Capital Expenditure	Interest and Other Income	Refunds to Industry	TOTAL
Electricity*	(3.47%)	5.57%	(0.06%)	(1.53%)	1.84%	10.66%	13.00%
Piped-Gas**	1.14%	13.99%	(0.06%)	(1.46%)	1.76%	(7.87%)	7.50%
Petroleum Pipelines***	(1.16%)	9.13%	(0.08%)	(1.88%)	2.26%	(0.78%)	7.5%

Table 1: License fees and levy rate changes

Table 1 shows the impact of volumes, expenditure, other income and refunds on the change in levy rate compared to prior year. The expenditure relating to Full Time Regulator Members has been now been reallocated to the Divisions from Support service allocation.

3.5.1. Electricity License Fee

Electricity generated volumes are increasing by 3.07% from 200.34 GWh in 2024/25 to 206.38 GWh in the 2025/26 budget. The increase in volumes has contributed **3.47%** towards the decrease

in the license fees rate.

Operating expenditure directly attributable to the division increases from R122.0 million in 2024/25 to R134.9 million in 2025/26, this has contributed **5.57%** towards the increase in the license fees.

Support Service allocation decreases from R151.9 million in 2024/25 to R151.7 million in 2025/26, this has contributed **0.06%** to the decrease in the license fees rate.

Capital Expenditure allocation decreases from R9.9 in 2024/25 to R6.4 million in 2025/26 and this contributes **1.53%** to the decrease in the license fees rate.

Interest and Other income decreases from R6.5 million in 2024/25 to R2.3 million in 2025/26 and this has contributed **1.84%** towards the increase in the license fee rate.

Refunds to industry decrease from R46.5 million in 2024/25 to R21.9 million in 2025/26 and this contributes **10.66%** towards the decline in the license fee rate.

3.5.2. Piped Gas Levy

Piped-Gas volumes decreased by 1.06% from 181 931 198 GJ in 2024/25 to 180 000 000 GJ in the 2025/26 budget. The decrease in volumes has contributed **1.14%** towards the increase in the levy rate.

Operating expenditure directly attributable to division increases from R46.6 million in 2024/25 to R58.9 million in 2025/26, this has contributed **13.99%** towards the increase in the levy rate.

Support Service allocation decreases from R55.0 million in 2024/25 to R54.9 million in 2025/26, this has contributed **0.06%** towards the decrease in the levy rate.

Capital Expenditure allocation decreases from R3.6 million in 2024/25 to R2.3 million in 2025/26 and this contributes **1.46%** to the decrease in the levy rate.

Interest and Other income decreases from R2.34 million in 2024/25 to R0.8 million in 2024/25 and this has contributed **1.76%** towards the increase in the levy rate.

Refunds to industry increase from R15.0 million in 2024/25 to R21.9 million in 2025/26 and this contributes **7.87%** towards the decline in the levy rate.

3.5.3. Petroleum Pipelines Levy

Petroleum Pipelines volumes increased by 1.08% from 15.647 billion litres to 15.816 billion litres. The increase in volumes has contributed **1.16%** towards the decrease in the levy rate.

Operating expenditure directly attributable to division increases from R37.7 million in 2024/25 to R43.9 million in 2025/26, this has contributed **9.13%** towards the increase in the levy rate.

Support Service allocation decreases from R55.0 million in 2024/25 to R54.9 million in 2025/26, this has contributed **0.08%** towards the decrease in the levy rate.

Capital Expenditure allocation decreases from R3.6 million in 2024/25 to R2.3 million in 2025/26 and this contributes **1.88%** to the decrease in the levy rate.

Interest and Other income decreases from R2.34 million in 2024/25 to R0.8 million in 2025/26 and this has contributed **2.26%** towards the increase in the levy rate.

Refunds to industry increase from R25.7 million in 2024/25 to R26.2 million in 2025/26 and this contributes **0.78%** towards the increase in the levy rate.

3.6. Refund of levies and license fees to industry

The required revenue is also supplemented by the utilisation of previously accumulated surpluses as a form of refund of levies to the regulated industries. Total available refunds at 31 March 2024 amount to R126.1 million. Table 2 below provides a breakdown of accumulated surpluses available as refunds per industry and the proposed refund of R70 million for the 2025/26 financial year.

Regulated Industry	Accumulated Surplus as at 31 March 2024	Approved Commitments as at 31 March 2024	Cash Flow Mitigation Reserve for the 2024/25 FY	Refunds Available as at 31 March 2024	Refunds for 2025/26	Refunds Balance	% Refunds allocated
Electricity Regulation	R 89 928 385	(R 455 531)	(R 46 418 327)	R 43 054 527	(R 21 898 286)	R 21 156 241	50.86
Piped-Gas Regulation	R 50 265 576	(R 164 934)	(R 17 622 428)	R 32 478 214	(R 21 871 790)	R 10 606 424	67.34
Petroleum Pipelines Regulation	R 66 433 102	(R 164 934)	(R 15 709 419)	R 50 558 749	(R 26 246 295)	R 24 312 454	51.91
	R 206 627 062	(R 785 398)	(R 79 750 175)	R 126 091 490	(R 70 016 371)	R 56 075 119	55.53

Table 2: Refunds to Industry

Refund to Industries is after the cash-flow risk mitigation reserve held by the Energy Regulator to overcome timing differences between the start of the financial year and the start of levy payment by the industries and possible delay in the approval of the budget by the Minister. The reserve is based on 3 months' employment cost and 4.5% of the annual operating expenditure.

3.7. Operating Expenditure

Operating expenditure for the 2025/26 financial year amounts to R499 million, which is **6.6%** higher than the R468 million of 2024/25.

Figure 4 provides a year on year view of operating costs per the aggregated expenditure categories.

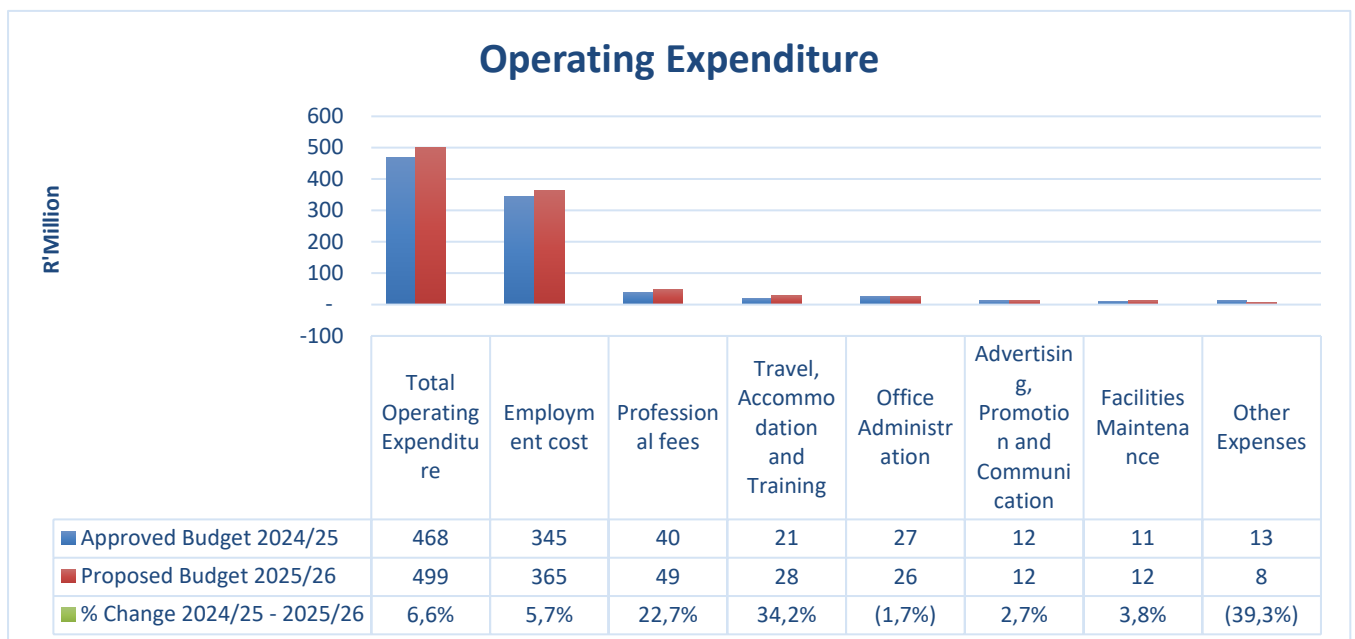


Figure 3: Operating Expenditure

The variance per category of operating expenditure can be summarised as follows

- Employment cost will be increasing by **5.7%** due to the projected salary adjustment of 6.1% and a 1% pay progression on gross salaries. In addition, there was a reduction in the temporary staff budget as well as the remote work data allowance.
- Professional fees will be increasing by **22.7%** due additional planned consulting projects in the Piped Gas regulation and Support Services. Professional fees also include provision for on-going legal defense costs for various litigations against NERSA.
- Travel, Accommodation and Training will be increasing by **34.2%** due to make provision for international. International travel budget was reduced during from 2021/22 and been has been brought back in phases in light of invitations and training requirements that are offered only internationally.
- Office Administration will be decreasing by **1.7%** due to less expenditure on information communication and technology related expenditure.
- Facilities Maintenance will be increasing by **3.8** due to facility management operations, mainly as a result of correct allocation.
- Advertising, Promotion and Communication will be increasing by **2.7%** due to expenditure related to publication and communication.
- Other expenses will be decreasing by **39.3%** due to less expenditure on knowledge center.

3.8. Capital Expenditure

Capital expenditure for the 2025/26 financial year amounts to R11.0 million, which is **35.7%** lower than the R17.1 million for 2024/25.

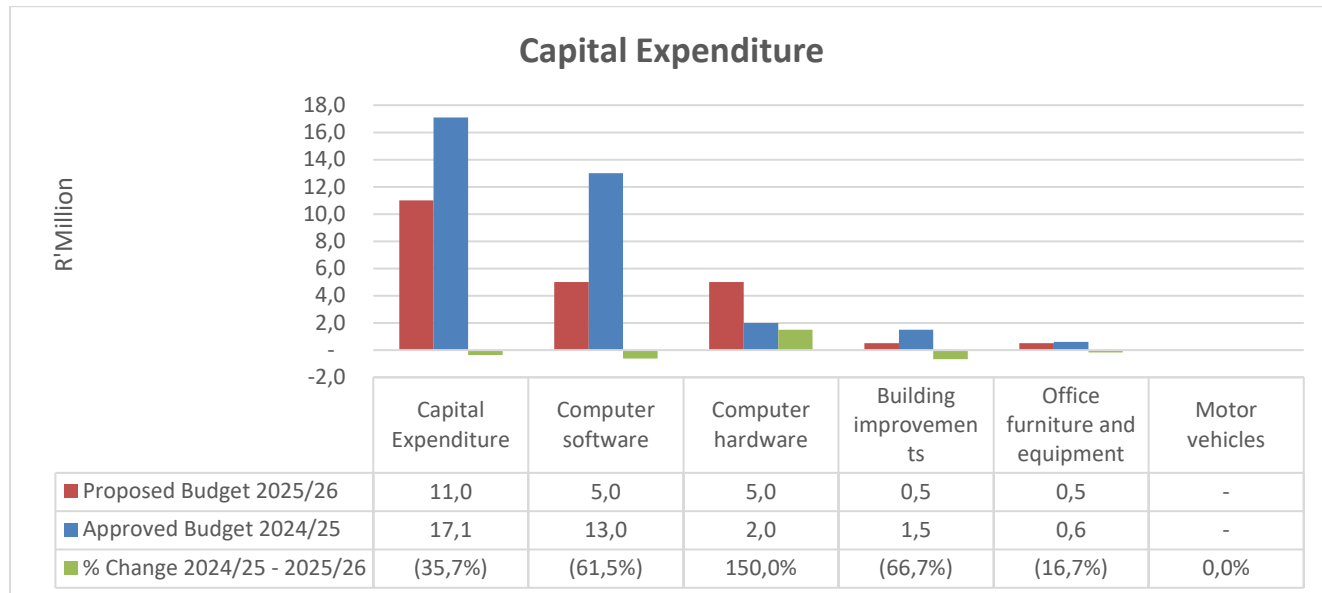


Figure 4: Capital Expenditure

BUDGET 2025/26
Income and Expenditure

CONSOLIDATED
Summary

**NATIONAL ENERGY REGULATOR OF SOUTH AFRICA
ANNUAL BUDGET FOR THE YEAR 2025/26**

**CONSOLIDATED
INCOME AND EXPENDITURE BUDGET 2025/26 AND FORECAST FOR THE PERIOD 2026/27 AND 2027/28**

		A	B		C	E	1	F	H
		BUDGET	ACTUAL	% Variance	APPROVED	CONSOLIDATED	% Variance	FORECAST	FORECAST
DESCRIPTION	NOTES	2023/24	2023/24	(A / B)	2024/25	2025/26	(C E)	2026/27	2027/28
TOTAL INCOME		375 809 260	371 429 673	(1.2%)	398 085 195	440 253 989	10.6%	507 344 743	539 873 599
License fees from Electricity Industry	1	219 911 150	210 366 680	(4.3%)	230 760 934	268 763 962	16.5%	294 485 214	313 217 108
Levies from Piped-Gas Industry	2	76 849 794	85 520 870	11.3%	87 887 092	93 475 734	6.4%	115 478 224	122 954 520
Levies from Petroleum Pipeline Industry	3	67 344 007	62 642 084	(7.0%)	68 214 207	74 122 297	8.7%	93 669 552	100 166 967
Registration fees	4	70 000	83 600	19.4%	70 000	94 000	34.3%	100 000	100 000
Interest received	5	11 601 149	12 200 658	5.2%	11 118 145	3 761 437	(66.2%)	3 573 366	3 394 697
Rental Income	6	33 160	33 160	(0.0%)	34 818	36 559	5.0%	38 387	40 306
Other Income		-	582 621	0.0%	-	-	0.0%	-	-
TOTAL OPERATING EXPENDITURE		436 333 927	408 104 711	6.5%	468 154 460	499 270 360	6.6%	530 376 303	563 003 858
Advertising, Promotion and Communication	7	12 290 000	9 859 762	19.8%	11 885 000	12 210 000	2.7%	12 881 550	13 551 391
Employment cost	8	320 150 819	302 062 470	5.6%	344 979 062	364 607 285	5.7%	388 306 758	413 546 697
Facilities Maintenance	9	11 382 655	9 017 740	20.8%	11 160 310	11 581 990	3.8%	12 218 999	12 854 387
Office Administration	10	19 049 644	17 161 365	9.9%	26 539 485	26 076 670	(1.7%)	27 510 886	28 941 452
Professional fees	11	42 374 553	43 853 601	(3.5%)	39 947 967	49 033 797	22.7%	51 730 656	54 420 650
Travel, Accommodation and Training	12	24 541 256	20 019 318	18.4%	20 865 135	28 003 271	34.2%	29 543 451	31 079 710
Other Expenses	13	6 545 000	6 130 456	6.3%	12 777 500	7 757 348	(39.3%)	8 184 002	8 609 570
NET SURPLUS/ (DEFICIT) before Depreciation		(60 524 666)	(36 675 039)	39.4%	(70 069 265)	(59 016 371)	(15.8%)	(23 031 559)	(23 130 259)
Depreciation		-	6 662 828	0.0%	-	-	0.0%	-	-
NET SURPLUS/ (DEFICIT) for the period		(60 524 666)	(43 337 866)	28.4%	(70 069 265)	(59 016 371)	15.8%	(23 031 559)	(23 130 259)
TOTAL CAPITAL EXPENDITURE	14	9 702 000	10 118 965	(4.3%)	17 100 000	11 000 000	(35.7%)	5 000 000	5 000 000
Motor vehicles	14.1	80 000	78 936	1.3%	-	-	0.0%	500 000	500 000
Computer software	14.2	-	-	0.0%	13 000 000	5 000 000	(61.5%)	2 000 000	2 000 000
Office furniture and equipment	14.3	2 122 000	2 504 678	(18.0%)	600 000	500 000	(16.7%)	500 000	500 000
Building improvements	14.4	-	-	0.0%	1 500 000	500 000	(66.7%)	500 000	500 000
Computer hardware	0	7 500 000	7 535 351	(0.5%)	2 000 000	5 000 000	150.0%	1 500 000	1 500 000
Funding Requirement (Opex excl Dep + Capex)		446 035 927	418 223 676	(6.2%)	485 254 460	510 270 360	5.2%	535 376 303	568 003 858
Cash Flow Mitigating Reserve		74 213 336	69 746 196	6.0%	79 750 175	84 934 672	6.5%	90 394 828	96 187 381

BUDGET 2025/26
Income and Expenditure

CONSOLIDATED
Detail

NATIONAL ENERGY REGULATOR OF SOUTH AFRICA									
ANNUAL BUDGET FOR THE YEAR 2025/26									
CONSOLIDATED									
INCOME AND EXPENDITURE BUDGET 2025/26 AND FORECAST FOR THE PERIOD 2026/27 AND 2027/28									
DESCRIPTION	NOTES	A	B		C	E	1	F	H
		BUDGET	ACTUAL	% Variance	APPROVED	CONSOLIDATED	% Variance	FORECAST	FORECAST
		2023/24	2023/24	(A /B)	2024/25	2025/26	(C E)	2026/27	2027/28
TOTAL INCOME		375 809 260	371 429 673	(1.2%)	398 085 195	440 253 989	10.6%	507 344 743	539 873 599
License fees from Electricity Industry	1	219 911 150	210 366 680	(4.3%)	230 760 934	268 763 962	16.5%	294 485 214	313 217 108
Levies from Piped-Gas Industry	2	76 849 794	85 520 870	11.3%	87 887 092	93 475 734	6.4%	115 478 224	122 954 520
Levies from Petroleum Pipeline Industry	3	67 344 007	62 642 084	(7.0%)	68 214 207	74 122 297	8.7%	93 669 552	100 166 967
Registration fees	4	70 000	83 600	19.4%	70 000	94 000	34.3%	100 000	100 000
Interest received	5	11 601 149	12 200 658	5.2%	11 118 145	3 761 437	(66.2%)	3 573 366	3 394 697
Rental Income	6	33 160	33 160	(0.0%)	34 818	36 559	5.0%	38 387	40 306
Other Income		-	582 621	0.0%	-	-	0.0%	-	-
TOTAL OPERATING EXPENDITURE		436 333 927	408 104 711	6.5%	468 154 460	499 270 360	6.6%	530 376 303	563 003 858
Publications and Communications	7.1	2 925 000	3 257 065	(11.4%)	1 800 000	2 500 000	38.9%	2 637 500	2 774 650
Sponsorships		100 000	45 943	54.1%	200 000	200 000	0.0%	211 000	221 972
Advertising		7 365 000	5 981 669	18.8%	7 965 000	7 590 000	(4.7%)	8 007 450	8 423 837
Stakeholder Meetings		890 000	575 085	35.4%	890 000	890 000	0.0%	938 950	987 775
Tribunals and Hearings		1 010 000	-	100.0%	1 030 000	1 030 000	0.0%	1 086 650	1 143 156
Advertising, Promotion and Communication	7	12 290 000	9 859 762	19.8%	11 885 000	12 210 000	2.7%	12 881 550	13 551 391
Gross Salaries	8.1	256 636 488	240 988 452	6.1%	276 020 719	293 937 657	6.5%	313 043 605	333 391 439
Learnership Allowance	8.2	1 638 636	753 966	54.0%	1 638 636	2 253 125	37.5%	2 399 578	2 555 550
Internship Allowance	8.2	1 638 636	1 160 405	29.2%	1 638 636	2 253 125	37.5%	2 399 578	2 555 550
Leave Pay: Staff		811 277	1 179 071	(45.3%)	811 277	867 255	6.9%	923 627	983 662
Leave pay: Regulator Members		140 087	(22 391)	116.0%	140 087	140 087	0.0%	149 193	158 890
Performance Bonus: FTRM		1 343 883	951 660	29.2%	1 299 113	1 390 907	7.1%	1 481 316	1 577 601
Performance Bonus: Staff		41 061 838	42 443 059	(3.4%)	44 448 645	47 836 164	7.6%	50 945 515	54 256 973
Cellphone and data allowance Staff	8.3	4 320 840	4 030 284	6.7%	4 320 840	3 511 680	(18.7%)	3 739 939	3 983 035
Cellphone and data allowance FTRM		247 200	260 400	(5.3%)	247 200	260 400	5.3%	277 326	295 352
Remuneration: FTRM		9 599 166	9 652 933	(0.6%)	10 238 910	10 781 885	5.3%	11 482 708	12 229 084
Publication Incentives		75 000	-	100.0%	75 000	75 000	0.0%	79 875	85 067
Salaries Temporary Staff	8.4	2 637 768	664 632	74.8%	4 100 000	1 300 000	(68.3%)	1 384 500	1 474 493
Employment cost	8	320 150 819	302 062 470	5.6%	344 979 062	364 607 285	5.7%	388 306 758	413 546 697
Maintenance	9.1	3 014 926	1 736 986	42.4%	3 800 000	2 500 000	(34.2%)	2 637 500	2 774 650
Office Rental	9.2	750 000	615 681	17.9%	600 000	750 000	25.0%	791 250	832 395
Motor Vehicle Expenses		400 000	358 567	10.4%	450 000	450 000	0.0%	474 750	499 437
Building Security		-	-	0.0%	1 073 644	1 073 644	0.0%	1 132 694	1 191 595
Facility Management Operating expenses	9.3	2 772 729	2 091 654	0.0%	1 016 666	2 020 000	98.7%	2 131 100	2 241 917
Municipal Charges	9.4	3 060 000	2 989 405	2.3%	2 820 000	3 288 346	16.6%	3 469 205	3 649 603
Insurance		1 385 000	1 225 446	11.5%	1 400 000	1 500 000	7.1%	1 582 500	1 664 790
Facilities Maintenance	9	11 382 655	9 017 740	20.8%	11 160 310	11 581 990	3.8%	12 218 999	12 854 387
Office operational expenses-Lease Payments	10.1	503 554	237 654	52.8%	1 159 723	950 616	(18.0%)	1 002 900	1 055 051
Postage & Courier Services	10.2	265 500	251 523	5.3%	67 500	263 478	290.3%	277 969	292 424
Personal Protective Equipment	10.3	477 500	366 787	23.2%	475 000	595 000	25.3%	627 725	660 367
Information Technology Operations	10.4	6 308 000	5 923 833	6.1%	13 383 576	9 366 182	(30.0%)	9 881 321	10 395 150
Software License Fees	10.5	8 139 597	8 249 448	(1.3%)	8 389 385	12 615 000	50.4%	13 308 825	14 000 884
Stationery and Printing		768 250	209 367	72.7%	289 000	283 500	(1.9%)	299 093	314 645
Organizational Membership Subscriptions	10.6	1 674 244	1 492 168	10.9%	1 884 274	1 114 765	(40.8%)	1 176 077	1 237 233
Professional Membership Subscriptions	10.7	143 091	112 671	21.3%	131 027	139 302	6.3%	146 964	154 606
Telephone and fax		769 908	317 914	58.7%	760 000	748 827	(1.5%)	790 013	831 093
Office Administration	10	19 049 644	17 161 365	9.9%	26 539 485	26 076 670	(1.7%)	27 510 886	28 941 452
Consultants' Fees	11.1	8 407 414	5 818 718	30.8%	11 820 358	16 418 693	38.9%	17 321 721	18 222 451
External Auditors	11.2	3 209 390	3 506 686	(9.3%)	3 369 860	3 857 355	14.5%	4 069 509	4 281 124
Remuneration - PTRM and External Members		3 957 749	2 520 963	36.3%	3 957 749	3 957 749	0.0%	4 175 426	4 392 548
Recruitment costs		600 000	479 401	20.1%	600 000	600 000	0.0%	633 000	665 916
Legal fees	11.3	24 000 000	29 502 843	(22.9%)	18 000 000	22 000 000	22.2%	23 210 000	24 416 920
Co-sourced internal audit function		2 200 000	2 024 990	8.0%	2 200 000	2 200 000	0.0%	2 321 000	2 441 692
Professional fees	11	42 374 553	43 853 601	(3.5%)	39 947 967	49 033 797	22.7%	51 730 656	54 420 650
Learnership programme		650 760	560 000	13.9%	1 250 760	1 250 760	0.0%	1 319 552	1 388 168
Study fees		1 307 000	1 289 657	1.3%	1 307 000	1 305 000	(0.2%)	1 376 775	1 448 367
External Bursaries		551 000	319 265	42.1%	551 000	551 000	0.0%	581 305	611 533
Training WEGE		250 000	-	100.0%	400 000	400 000	0.0%	422 000	443 944
Train. & Dev. Full Time Regulator Members		400 000	77 173	80.7%	400 000	400 000	0.0%	422 000	443 944
Train. & Dev. Part Time Regulator Members		500 000	371 139	25.8%	500 000	500 000	0.0%	527 500	554 930
Train.& Dev. Staff		3 747 190	3 398 578	9.3%	4 140 311	4 140 311	0.0%	4 368 028	4 595 165
Travel Costs Regulator Local	12.1	3 370 000	2 548 360	24.4%	1 932 182	689 913	(64.3%)	727 858	765 707
Travel Cost Regulator International	12.2	-	-	0.0%	-	4 088 161	100.0%	4 313 009	4 537 286
Travel Costs Staff Local	12.3	13 765 306	11 455 146	16.8%	10 383 882	9 737 968	(6.2%)	10 273 557	10 807 782
Travel Costs Staff International	12.4	-	-	0.0%	-	4 940 158	100.0%	5 211 867	5 482 884
Travel, Accommodation and Training	12	24 541 256	20 019 318	18.4%	20 865 135	28 003 271	34.2%	29 543 451	31 079 710
Bank charges and Forex	13.1	80 000	81 680	(2.1%)	80 000	89 848	12.3%	94 790	99 719
Catering		465 000	317 335	31.8%	497 500	467 500	(6.0%)	493 213	518 860
Employees Wellness		800 000	448 607	43.9%	500 000	500 000	0.0%	527 500	554 930
Health and Safety		600 000	218 040	63.7%	700 000	700 000	0.0%	738 500	776 902
Provision for bad debts		-	36 131	0.0%	-	-	0.0%	-	-
Knowledge Centre	13.2	4 600 000	4 638 201	(0.8%)	11 000 000	6 000 000	(45.5%)	6 330 000	6 659 160
Loss on disposal of assets		-	390 461	0.0%	-	-	0.0%	-	-
Other Expenses	13	6 545 000	6 130 456	6.3%	12 777 500	7 757 348	(39.3%)	8 184 002	8 609 570
NET SURPLUS/ (DEFICIT) before Depreciation		(60 524 666)	(36 675 039)	39.4%	(70 069 265)	(59 016 371)	(15.8%)	(23 031 559)	(23 130 259)
Depreciation Building		-	1 983 952	0.0%	-	-	0.0%	-	-
Depreciation Hardware		-	2 733 072	0.0%	-	-	0.0%	-	-
Depreciation Motor Vehicles		-	138 495	0.0%	-	-	0.0%	-	-
Depreciation Office Equipment		-	1 375 397	0.0%	-	-	0.0%	-	-
Depreciation Software		-	431 912	0.0%	-	-	0.0%	-	-
Depreciation		-	6 662 828	0.0%	-	-	0.0%	-	-
NET SURPLUS/ (DEFICIT) for the period		(60 524 666)	(43 337 866)	28.4%	(70 069 265)	(59 016 371)	15.8%	(23 031 559)	(23 130 259)
TOTAL CAPITAL EXPENDITURE	14	9 702 000	10 118 965	(4.3%)	17 100 000	11 000 000	(35.7%)	5 000 000	5 000 000
Motor vehicles	14.1	80 000	78 936	1.3%	-	-	0.0%	500 000	500 000
Computer software	14.2	-	-	0.0%	13 000 000	5 000 000	(61.5%)	2 000 000	2 000 000
Office furniture and equipment	14.3	2 122 000	2 504 678	(18.0%)	600 000	500 000	(16.7%)	500 000	500 000
Building improvements	14.4	-	-	0.0%	1 500 000	500 000	(66.7%)	500 000	500 000
Computer hardware	0	7 500 000	7 535 351	(0.5%)	2 000 000	5 000 000	150.0%	1 500 000	1 500 000
Funding Requirement (Opex excl Dep + Capex)		446 035 927	418 223 676	(6.2%)	485 254 460	510 270 360	5.2%	535 376 303	568 003 858
Cash Flow Mitigating Reserve		74 213 336	69 746 196	6.0%	79 750 175	84 934 672	6.5%	90 394 828	96 187 381

BUDGET 2025/26

Notes to the Budget

NOTES TO THE BUDGET

REVENUE

1. Licence fees from Electricity Industry

The licence fees from the electricity Industry increased by **16.5%** from R230 million in 2024/25 to R274 million in 2025/26. This is predominantly due to increase in volumes.

The electricity licence fee rate increases by **13.00%** and the changes in the component of the licence fee rate are as follows:

Industry	Volumes	Division Operating Expenditure	Support Service Allocation	Capital Expenditure	Interest and Other Income	Refunds to Industry	TOTAL
Electricity	(3.47%)	5.57%	(0.06%)	(1.53%)	1.84%	10.66%	13.00%

Table 3: Changes in the electricity licence fee rate

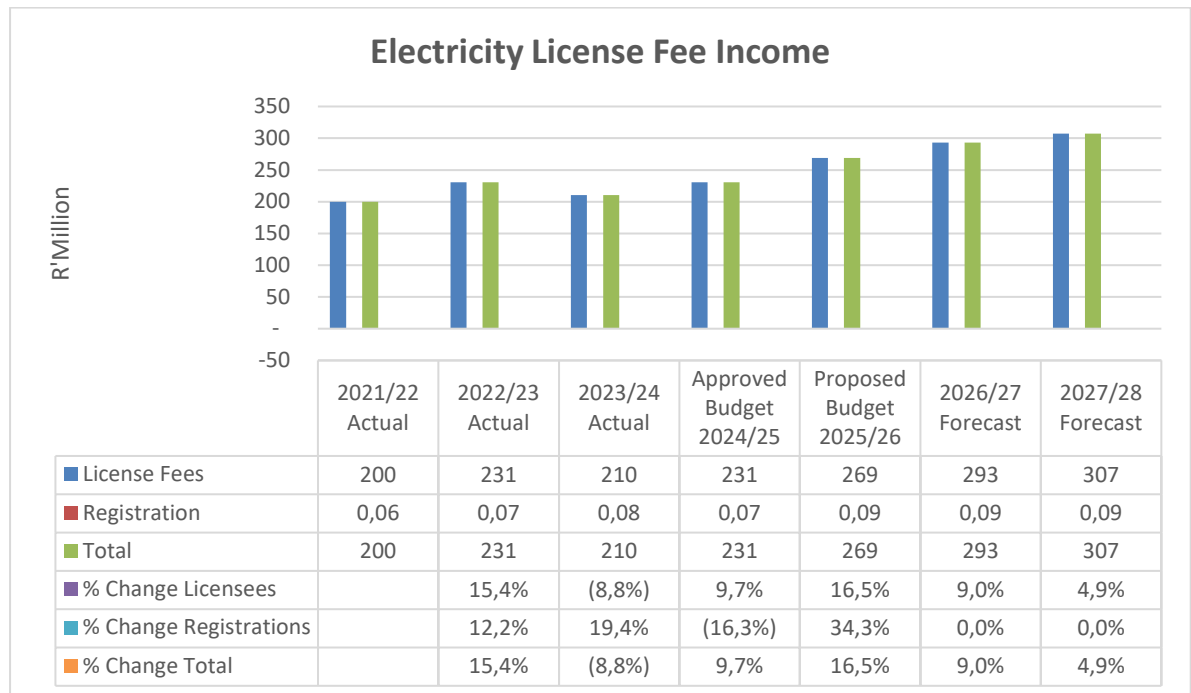


Figure 6: Electricity license fees

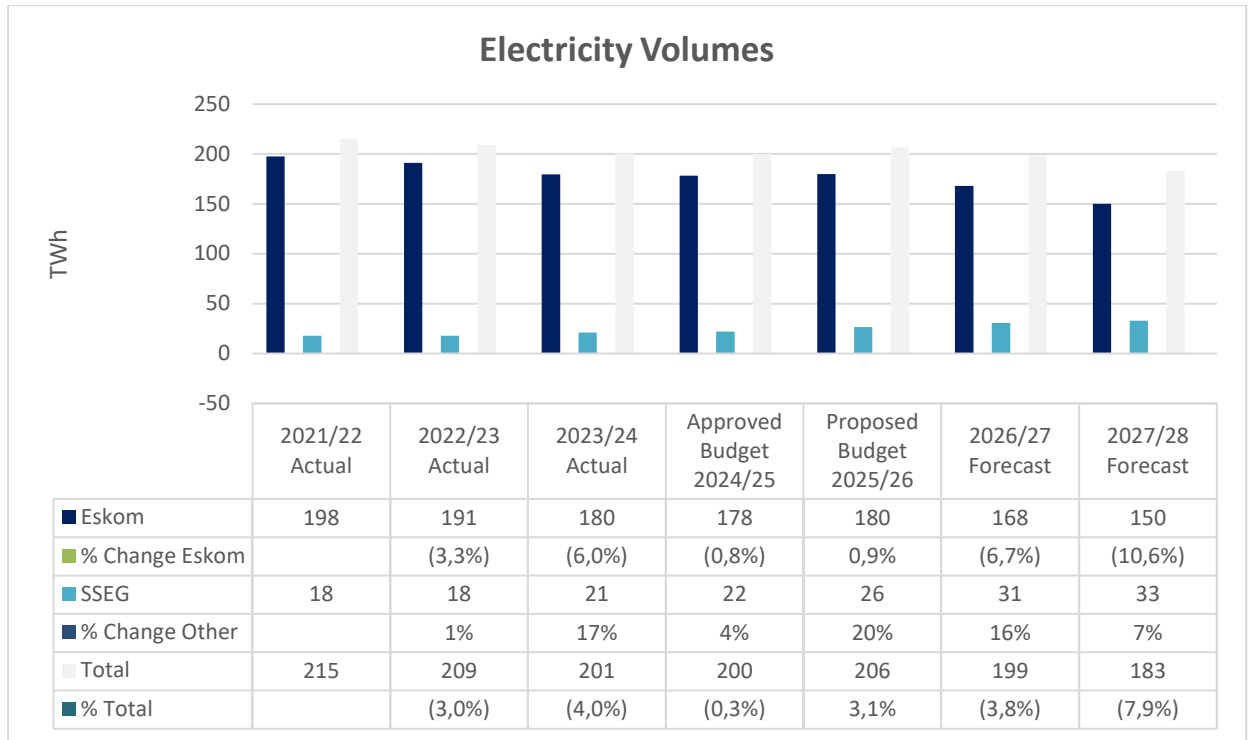


Figure 7: Electricity volumes for the 2025 MTEF

2. Levies from Piped-Gas Industry

The piped-gas levies are increased by **6.4%** from R93.5 million in 2024/25 to R95.6 million in 2025/26. This is predominantly due to the increase in the division's operating expenditure and the reduction in the refunds to industry.

The Piped-Gas levy increases by **7.50%** and the changes in the component of the licence fee rate are as follows:

Industry	Volumes	Division Operating Expenditure	Support Service Allocation	Capital Expenditure	Interest and Other Income	Refunds to Industry	TOTAL
Piped-Gas	1.14%	13.99%	(0.06%)	(1.46%)	1.76%	(7.87%)	7.50%

Table 4: Changes in the Piped Gas levy

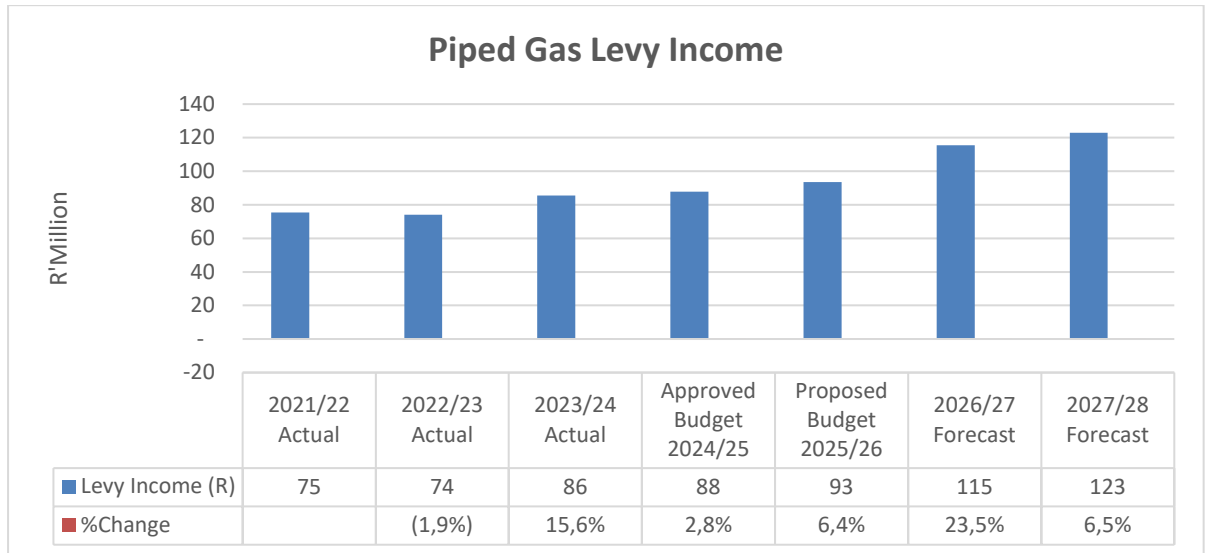


Figure 8: Piped-Gas levy income

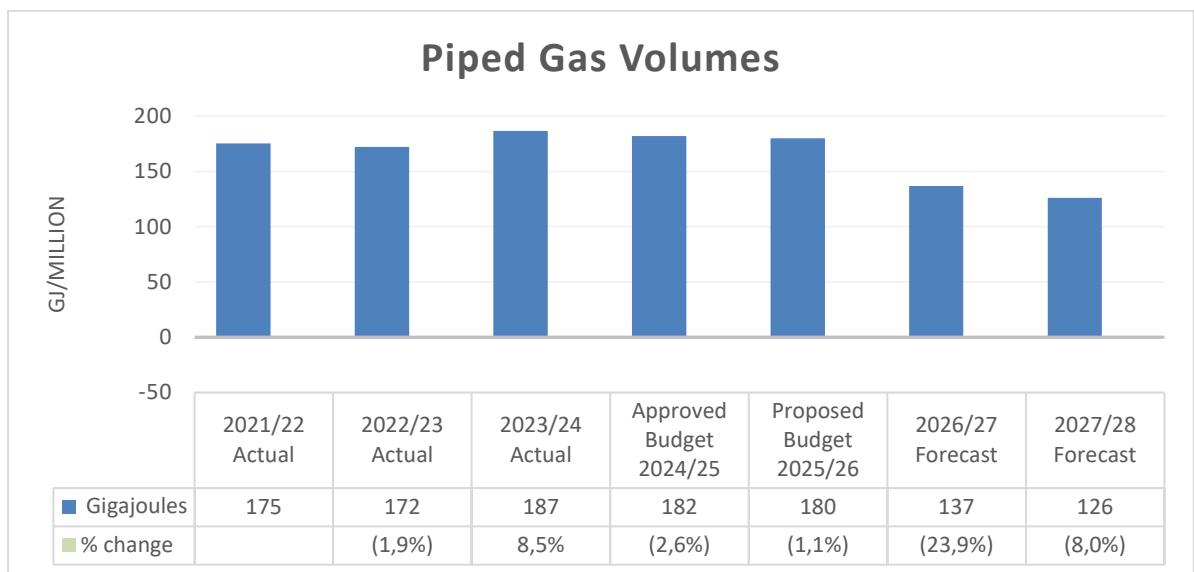


Figure 9: Piped Gas Volumes

3. Levies from the Petroleum Pipelines Industry

The petroleum pipelines levies are increased by **8.7%** from R68.2 million in 2024/25 to R74.1 million in 2025/26. This is predominantly due to the increase in the division's operating expenditure.

The Petroleum Pipelines levy increases by **7.50%** and the changes in the component of the licence fee rate are as follows:

Industry	Volumes	Division Operating Expenditure	Support Service Allocation	Capital Expenditure	Interest and Other Income	Refunds to Industry	TOTAL
Petroleum Pipelines	(1.16%)	9.13%	(0.08%)	(1.88%)	2.26%	(0.78%)	7.50%

Table 5: Changes in the Petroleum Pipelines levy

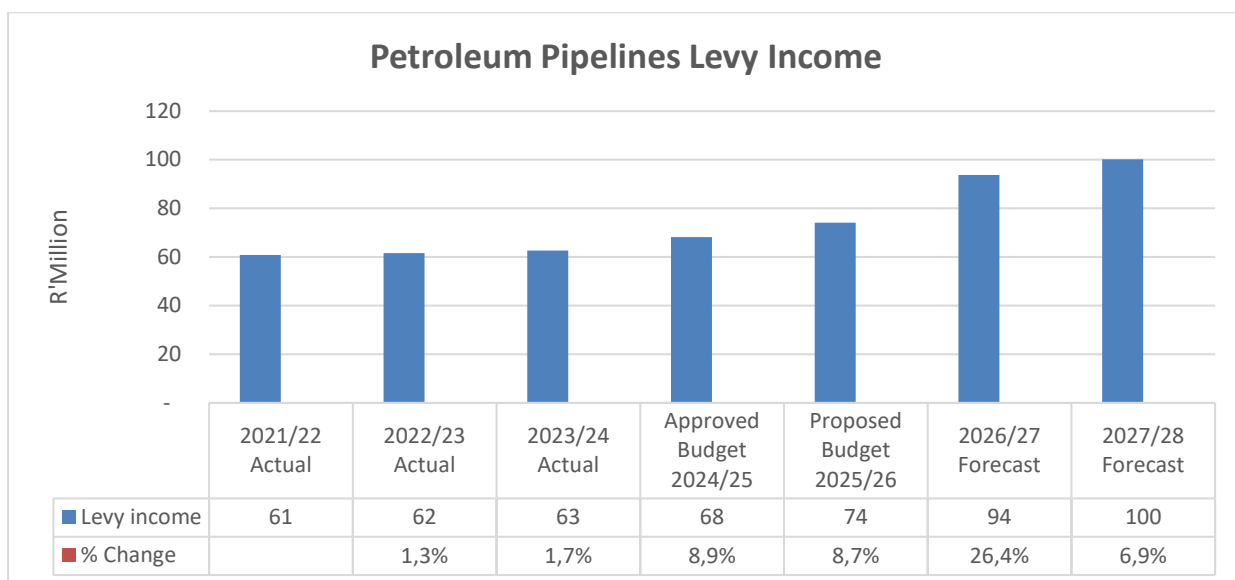


Figure 10: Petroleum Pipelines levy income

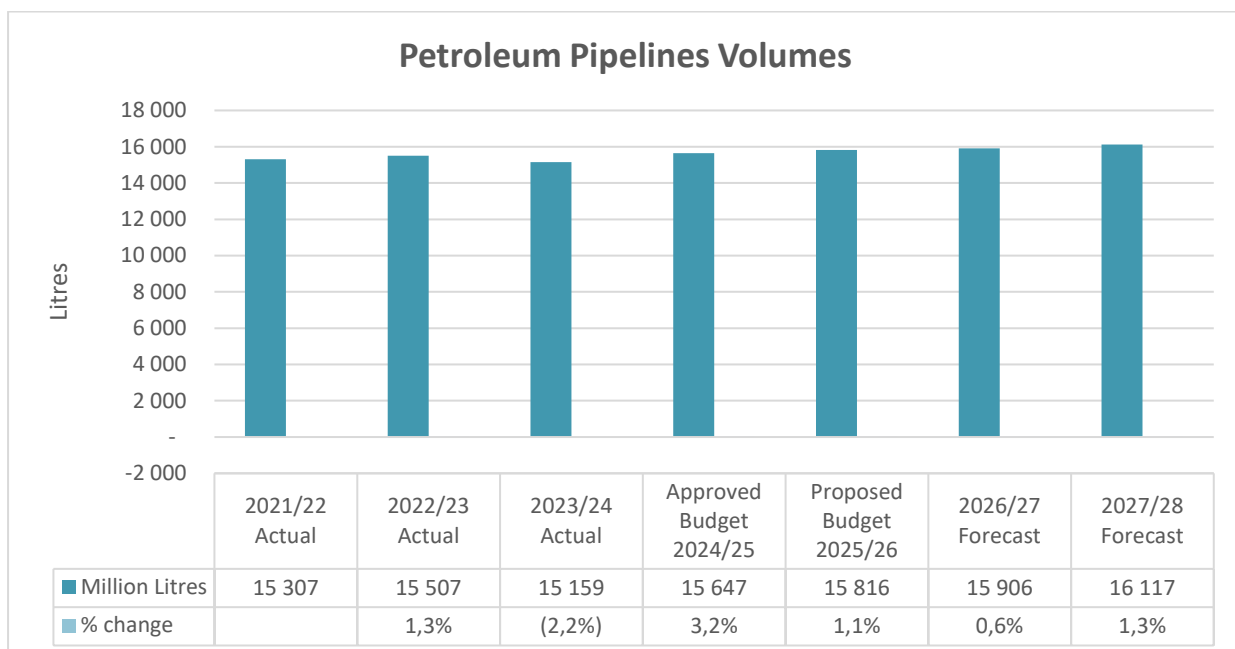


Figure 11: Petroleum Pipelines volumes

4. Registration fee

Registration fee is for small scale embedded generators of electricity and payable upon the applicants meeting minimum requirements. The registration fees amounts R 200 per application and NERSA expects to process approximately 470 applications per year.

5. Interest received

The Interest received budget is based at an average cash level of R49 million at 7.65% interest rate which is based on 3-Month Negotiable Certificate Deposit (NCD) Rate projected rate for the 2026 year by the South African Reserve Bank.

6. Rental income

The rental income is for the leasing of office space by African Forum for Utilities. The 5% increase is the annual escalation clause.

OPERATING EXPENDITURE

The total operating expenditure budget for 2025/26 is **R499 million**, which is **6.6%** increase compared to the 2024/25 budget.

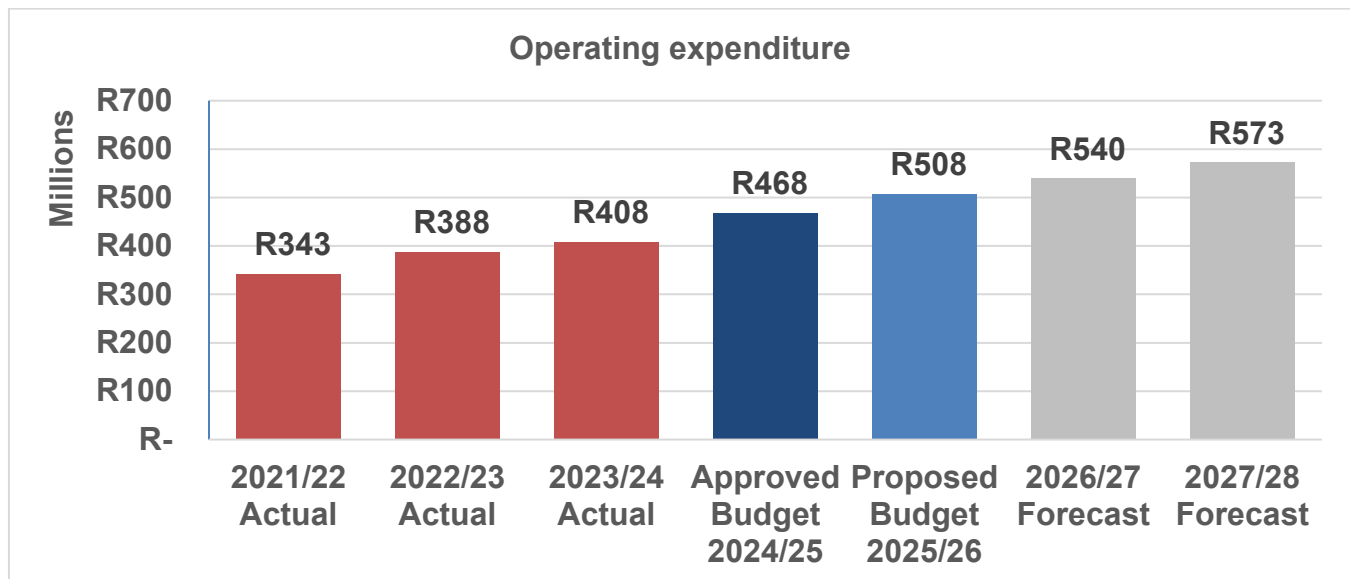


Figure12: Operational expenditure trends

The variances of 10% or more are explained in the notes.

7. ADVERTISING, PROMOTION AND COMMUNICATION

There is an overall increase of **2.7%** in the budget and this is attributable to publication and communication.

7.1 PUBLICATION AND COMMUNICATION

This line item is used for the publication of NERSA materials (annual report, joint strategic and performance plans and customer education), corporate gifts and promotional materials, and exhibition space for hire and stands.

The budget is increasing by **38.9%** mainly due to exhibitions. There has been additional invitations for NERSA to exhibit its work and profile at government and non-governmental events.

8. EMPLOYMENT COST

There is an overall increase of **5.7 %** in the budget and this is attributable to Gross Salaries.

8.1 GROSS SALARIES

Gross salaries are increasing by of **6.5%** due to the following:

- NERSA staff and members of management are budgeted to receive 6.1% cost of living adjustment (5.1% for CPI + 1% betterment).
- 1% pay progression after the above adjustment.

The staff complement remains unchanged at 248 (28 management and 220 staff members).

8.2 LEARNERSHIP AND INTERNSHIP ALLOWANCE

The increase in the budget by **37.5%** (for both learners and interns) is due to the increase in the number learners and interns and the adjustment of learnership and allowances. The number of learners and interns increases from 24 to 30 learners and interns.

8.3 CELLPHONE AND DATA ALLOWANCE STAFF

The decrease in the budget by **18.7%** is due to the planned termination of remote working data allowance that was granted at the beginning of the work from home mode of working.

8.4 SALARIES TEMPORARY STAFF

The decrease in the budget by **68.3%** is due to the decrease number of temporary positions. The gender mainstream and project management office positions are planned to be included on a permanent basis (pending the necessary approvals) in the next financial year.

9. FACILITIES MAINTENANCE

There is an overall increase of **3.8%** in the budget and this is attributable to Facility Management Operations and Municipal charges.

9.1 MAINTENANCE

The decrease in the budget by **34.2%** is based on the history of less maintenance expenditure since the implementation of the hybrid mode of working. The budget also takes into account the adjustment of the mode of working and increases from the actual expenditure of R 1.7 million for 2023/24 to R 2.5 million for 2025/26.

9.2 RENTAL PARKING BAYS

This line item is used for the leasing of the additional parking space in some of the buildings around Kulawula House (The NERSA Building) as the parking space inside Kulawula house is not sufficient. The leasing is necessary pending the final decision on the mode of working and to secure the parking space for NERSA, should staff return to the office.

The increase in the budget by **25.0%** is to make provision for a planned adjustment on the hybrid mode of working. The adjustment might require additional parking.

9.3 FACILITY MANAGEMENT OPERATING EXPENSES

This line item is used for services rendered by the facility management services provider and includes the management fees, cleaning services, office plants and water coolers. The line items also include office consumables such as tea and coffee.

The increase in the budget by **98.7** mainly due to the correct allocation of services provided by the services provider from maintenance to facility management. The increase also aligns the budget to the actual expenditure for the 2023/25 of R 2.1 million.

9.4 MUNICIPAL CHARGES

The increase in the budget by **16.6%** is to align the budget to the actual expenditure of R 3.0 million for the 2023/24 financial year.

10. OFFICE ADMINISTRATION

There is an overall decrease of **1.7%** in the budget and this is attributable to information technology operations..

10.1 OFFICE OPERATIONAL EXPENSES LEASE PAYMENTS

This line item is used for leasing of the office-multifunctional machines for printing and scanning.

The decrease in the budget by **18.0%** is based on the new contract that was entered into from January 2024 for a period of three years as a reduced number of machines were procured than previously.

10.2 POSTAGE AND COURIER SERVICE

The increase in budget by **290.3%** is due to the planned additional exhibitions and customer education workshops. When exhibition events are held at places, where NERSA staff are required to travel by flights it is financially efficient to courier the materials to the venue.

The budget also takes into account the actual expenditure of R 0.25 million for 2023/24 and adjusts the budget to R 0.26 million for 2025/26.

10.3 PERSONAL PROTECTIVE EQUIPMENT

This line item is for PPE (protective gear and boots) compulsory when NERSA staff are visiting the facilities of the licensees for compliance audits.

The increase in budget by **25.3%** is to make provision for new appointments which includes additional learners and interns and the replacement of PPE for existing staff members.

10.4 INFORMATION TECHNOLOGY OPERATIONS

This line item is for external assistance (consultancy) services, specifically for Information and Communication Technology services.

The decrease of **30.0%** is due to later stages or phases of the online collaboration portal and the data warehouse projects requiring less budget. These projects were introduced in the 2024/25 financial.

10.5 SOFTWARE LICENSE FEES

The increase in budget by **50.4%** is mainly due to the upgrade of some of the licenses such as Microsoft Enterprise and Cyber security. The budget includes the following major licenses:

- Microsoft Enterprise Software (R 5.2 million)
- Cyber Security Solution (R1.0 million)

10.6 ORGANISATIONAL SUBSCRIPTIONS

The line item is for NERSA membership subscriptions as an organisation to associations or affiliation bodies such the Regional Electricity Regulators Association and the Africa Forum for Utility Regulators.

The decrease in budget by **40.8%** is due to the decline in the membership fees for NERSA based on the equal and fair contribution of membership fees for all affiliated organizations.

11. PROFESSIONAL FEES

There is an overall increase of **22.7%** in the budget and this is attributable to an increase in the number of planned projects and legal fees.

11.1 CONSULTING FEES

There is an increase in budget by **38.9** due to new projects.

The detailed on the consulting fees budget is based on the number of planned projects as indicated in the table 4 below.

TABLE 4 - PLANNED PROJECT

Department	Short Project Name	Detail Description for Project	Planned Amount
EPT	Review of MYPD methodology	To be assisted with the review of the MYPD methodology as directed by the board	2 000 000
ELC	Electricity Technical Audits	Electricity Technical Audits For: • Emfuleni Local Municipality • Madibeng Local Municipality; and • uMsunduzi Local Municipality.	1 500 000
ELECTRICITY REGULATION			3 500 000
GLC	Generic Network Code	Develop of uniform network code to regulate third party access to gas transmission and storage facilities in South Africa	2 500 000
GPT	Review of the Tariff Guidelines	Periodic review of the Tariff Guidelines to be conducted by consultant	1 000 000
GPT	Review of the Methodology	Annual review of the methodologies in line with PGS decision of 4 July 2024	1 000 000
PIPED GAS DIVISION			4 500 000
CSM	Translation services	Translation of NERSA documents and publications in line with the approved NERSA Language Policy	600 000
CSM	Media monitoring and analysis services	Monitoring media coverage: print, electronic and social media platforms	320 000
CSM	Reputation Management Consultants	Provide reputation management services and to complement the work of CSM	850 000
CORPORATE SERVICE DIVISION			1 770 000

Department	Short Project Name	Detail Description for Project	Planned Amount
COO	BEE Online	3-Year Contract in place for the provision of the BBBEE Verification services. Contract commenced in 2024/25 and will still be in place in 2025/26.	60 000
RSU	Training of ER on Tribunal Hearings	conducting tribunal hearing training for ER members	300 000
RSU	Annual Assessment of ER	ER & Committees annual evaluation	300 000
IAU	Fraud Hotline	Fraud Hotline	33 693
RAR	Exisitng Project: Economic Impact Assessment Models	Ex-ante Economic Impact Assessments (Price and Macroeconomic Models) of Tariff/Price increase applications received from Electricity, Piped-Gas and Petroleum Pipelines licensees for 5 years.	700 000
SPM	NERSA ISO Certification readiness	NERSA ISO Certification readiness and application process	430 000
SPM	TBNS review and updating	Assess and review the operational environment with the intention of implementing project management matric	300 000
SPM	Strategic planning facilitation	Facilitators for the Annual NERSA planning process for a 3-year period with the aim to develop a new Annual Performance Plan - and if needed the review of the approved Strategic Plan (ER planning sessions and divisional planning sessions)	300 000
SPM	Strategic risk assessment	Suitable and qualified service provider to facilitate the Strategic Risk Assessment for NERSA during the 2023 planning cycle (ER session and management session-EXCO)	250 000
DIRECT SUPPORT			2 673 693

Department	Short Project Name	Detail Description for Project	Planned Amount
FMG	GRAP and SCM assistance	Altimax Appointed to provide technischal oponion on SCM and GRAP,GRAP Training and also AFS review	75 000
FMG	Accpacc	Maintatance and support for Sage 300 and Implementation of new modules	700 000
SCM	ESD Project	Enterprise Supplier Development Programme for 3 years	1 200 000
SCM	Building Consultants	Advice to NERSA on all aspects of maintenance, alterations and improvements in order to maintain compliant working environment for all employees	250 000
SCM	SCM System	Development of User Requirements for the SCM System	250 000
FINANCE AND ADMINISTRATION			2 475 000
HRV	Organisational Culture Re-alignment Implementation	Culture re-alignment programmes such as appointment of service provider to render services such as team effectiveness, culture coaching and development, change rewards, communication strategies; and tools, mindsets shifts adaptability strategies.	R 550 000
HRV	Competency Management System (Competency Personas of individuals' growth and development)	The system manages competency development of individuals and builds employee personas of individuals towards career development. The system will assist not only the employees and managers towards competency mastery but also assist in the identification of talent identification and mapping for succession planning.	R 600 000
HRT	Sage 300 system implementation	Support to the HR team on the new Sage 300 system for implementation and new modules implementation	R 350 000
HUMAN RESOURCES DIVISION			1 500 000
TOTAL NERSA			16 418 693

11.2 EXTERNAL AUDITORS

The budget is increasing by **14.5%** to align the budget with the actual expenditure for the 2023/24 financial year audit. Actual expenditure for 2023/24 amounted to R 3.5 million.

11.3 LEGAL FEES COSTS

This line item caters for external legal assistance where litigation for and against NERSA, legal opinions, dispute resolution and other legal matters, including Labour Relations matters.

The increase in budget by **(22.2%)** is due to the increase in the number of NERSA decisions being challenged at courts and other matters where NERSA is cited as an interested party.

The Legal Advisory Services is looking into a framework on the management of legal fees.

12. TRAVEL, ACCOMMODATION AND TRAINING

There is an overall increase of **34.2%** in the budget and this is attributable to international travel and accommodation for staff and regulators.

12.1 TRAVEL COST REGULATORS MEMBERS LOCAL

This line item is for the local travel and accommodation for regulator members and includes local travel and accommodation for courses, workshops and parliamentary visits.

The budget is decreasing by **64.3%** which is due to the introduction of the new expense account for international travel and accommodation for Energy Regulators members. For the 204/25 financial year, the budget for international travel was included in this account (see note 12.2).

12.2 TRAVEL REGULATOR MEMBERS INTERNATIONAL

This line item is for the international travel and accommodation for regulator members and includes international travel and accommodation for courses, workshop.

The budget **amounts to R 4.1 million** and for full time regulators, part time regulators and external members. The budget is meant to cater to the following types of international travel

- At the invitation of the department of Energy and Electricity (Executive Authority, previously the department of mineral resources and energy)
- International training as part of the induction process.
- Meetings organized by international associations or affiliation bodies such as RERA and AFUR.
- Attendance of international conferences.

12.3 TRAVEL COST STAFF LOCAL

This line item is for the local travel and accommodation for NERSA staff is mainly by the regulator departments to perform audits and also includes local travel and accommodation for courses, workshops and parliamentary visits.

The budget is decreasing by **6.2%** is due to the introduction of the new account for international travel and accommodation for Staff. For the 204/25 financial year, the budget for international travel was included in this account (see note 12.4).

The budget per division can be summarised as follows:

TRAVEL COST STAFF							
Description	Actual 2023/24	Budget 2023/24	YTD Variance	% Variance	Budget 2024/25	Proposed Budget 2025/26	Variance % Budget to
ELECTRICITY DIVISION	6 860 129	7 162 495	302 366	4.22	6 109 825	6 861 305	12.30
PIPED GAS DIVISION	858 439	1 494 852	636 413	42.57	1 031 087	607 301	(41.10)
PETROLEUM PIPELINE DIVISION	1 271 292	1 619 880	348 588	21.52	900 480	757 433	(15.89)
CORPORATE SERVICES DIVISION	1 067 717	1 312 246	244 529	18.63	1 104 380	624 909	(43.42)
DIRECT SUPPORT	486 010	1 508 457	1 022 447	67.78	490 004	379 117	(22.63)
FINANCE AND ADMINISTRATION	439 464	321 476	(117 988)	(36.70)	345 032	163 060	(52.74)
HUMAN RESOURCE	472 096	345 901	(126 195)	(36.48)	403 075	344 843	(14.45)
Total Expenditure	11 455 146	13 765 306	2 310 159	16.78	10 383 882	9 737 968	(6.22)

12.4 TRAVEL COST STAFF INTERNATIONAL

This line item is for the international travel and accommodation for NERSA staff and includes international travel and accommodation for courses, workshop.

The budget **amounts R 4.9 million** and is mainly members of management. The budget is meant to cater to the following types of international travel

- At the invitation of the department of Energy and Electricity (Executive Authority, previously the department of mineral resources and energy).
- International training as part of the induction process.
- Meetings organized by international associations or affiliation bodies such as RERA and AFUR.
- Attendance of international conferences.

The budget per division can be summarised as follows:

TRAVEL COST STAFF	
Description	Proposed Budget 2025/26
ELECTRICITY DIVISION	1 110 925
PIPED GAS DIVISION	1 040 761
PETROLEUM PIPELINE DIVISION	848 250
CORPORATE SERVICES DIVISION	954 288
DIRECT SUPPORT	569 656
FINANCE AND ADMINISTRATION	229 279
HUMAN RESOURCE	187 000
Total Expenditure	4 940 158

13. OTHER EXPENSES

There is an overall decrease of **39.3%** in the budget for other expenses mainly due to the decrease on Knowledge Centers subscription.

13.1 BANK CHARGES

The increase of **12.3%** is due to anticipated increase in the number of planned international travel which requires purchasing of foreign currency for subsistence allowances as well as an increase in the foreign subscriptions.

13.2 KNOWLEDGE CENTRE

The NERSA Library is referred to as the Knowledge Centre. The Knowledge Centre budget is for the renewal of current and new information bearing sources for the organisation such as electronic subscriptions, journals including electronic newspapers and books that are required by the business and includes knowledge center preparation of sources (barcode labels, stamps, bookends, binding folders and other consumables)

The decrease of **45.5%** is due to the challenges experienced in the procurement processes on some of the subscriptions that were budgeted for since 2023/24. Based on how these challenges are resolved for the financial year 2024/25 the budget will be adjusted on future years.

14. CAPITAL EXPENDITURE

Capital expenditure for the 2025/26 financial year amounts to R11.0 million, which is **35.2%** lower than the R17.1 million for 2024/25 due to reduction of budget on building improvements and computer software acquisition.

14.1 COMPUTER SOFTWARE

The budget includes the following:

- Datawarehouse/Business Intelligence solution (**R 3.0 million**).
- Planning & Monitoring IT System (**R1.5 million**)
- Risk Management Software (**R 0.5 million**)

14.2 OFFICE FURNITURE AND EQUIPMENT

The budget includes the following:

- Safes and reinforced steel cabinets required for the storage of hardcopy documents including equipment with sensitive/classified information in the NERSA Offices and places of residence for NERSA employees. This is a requirement in line with the requirement of the NERSA Security Policy and Manual (**R 0.3 million**).
- The provision for the replacement of office furniture and equipment. (**R0.2 million**)

14.3 BUILDING IMPROVEMENTS

The budget includes the following:

- Provision for improvements (**R 0.5 million**)

14.4 COMPUTER HARDWARE

The budget includes the following:

- Computer Servers. (**R 2.0 million**)
- Laptops/IPad (Based on the End-user hardware replacement plan). (**R 3.0 million**)

BUDGET 2025/26
Income and Expenditure
ELECTRICITY

NATIONAL ENERGY REGULATOR OF SOUTH AFRICA							
ANNUAL BUDGET FOR THE YEAR 2025/2026							
ELECTRICITY REGULATION							
INCOME AND EXPENDITURE BUDGET FOR 2025/26							
DESCRIPTION	A	B		C	1	D	2
	ELECTRICITY REGULATION BUDGET	ELECTRICITY REGULATION ACTUAL	% Variance (A / B)	ELECTRICITY REGULATION APPROVED BUDGET	% Variance (A / C)	ELECTRICITY REGULATION PROPOSED BUDGET	% Variance (E / C)
	2023/24	2023/24		2024/25		2025/26	
TOTAL INCOME	226 729 050	217 951 014	(3.9%)	237 299 652	4.7%	271 060 800	14.2%
License fees for Electricity Industry	219 911 150	210 366 680	(4.3%)	230 760 934	4.9%	268 763 962	16.5%
Registration fee	70 000	83 600	19.4%	70 000	0.0%	94 000	34.3%
Interest received	6 728 667	7 076 382	5.2%	6 448 524	(4.2%)	2 181 634	(66.2%)
Rental Income	19 233	19 233	(0.0%)	20 195	5.0%	21 204	5.0%
Other Income	-	405 120	0.0%	-	0.0%	-	0.0%
TOTAL OPERATING EXPENDITURE	116 002 384	105 437 949	9.1%	122 007 597	5.2%	134 852 564	10.5%
Publications and Communications	-	-	0.0%	-	0.0%	-	0.0%
Sponsorships	-	-	0.0%	-	0.0%	-	0.0%
Advertising	2 600 000	1 891 390	27.3%	2 850 000	9.6%	2 500 000	(12.3%)
Stakeholder Meetings	490 000	518 775	(5.9%)	490 000	0.0%	490 000	0.0%
Tribunals and Hearings	780 000	-	100.0%	780 000	0.0%	780 000	0.0%
Advertising, Promotion and Communication	3 870 000	2 410 165	37.7%	4 120 000	6.5%	3 770 000	(8.5%)
Gross Salaries	83 346 247	78 959 604	5.3%	89 738 684	7.7%	95 779 168	6.7%
Learnership Allowance	-	-	0.0%	-	0.0%	-	0.0%
Internship Allowance	-	-	0.0%	-	0.0%	-	0.0%
Leave Pay: Staff	-	86 891	0.0%	-	0.0%	-	0.0%
Leave pay: Regulator Members	-	-	0.0%	-	0.0%	-	0.0%
Performance Bonus: FTRM	-	-	0.0%	-	0.0%	338 578	0.0%
Performance Bonus: Staff	13 335 400	14 011 043	(5.1%)	14 442 087	8.3%	15 560 227	7.7%
Cellphone and data allowance Staff	1 455 420	1 388 655	4.6%	1 455 420	0.0%	1 182 120	(18.8%)
Cellphone and data allowance FTRM	-	-	0.0%	-	0.0%	65 100	0.0%
Remuneration: FTRM	-	-	0.0%	-	0.0%	2 624 911	0.0%
Publication Incentives	-	-	0.0%	-	0.0%	-	0.0%
Salaries Temporary Staff	-	-	0.0%	-	0.0%	-	0.0%
Employment cost	98 137 067	94 446 193	3.8%	105 636 191	7.6%	115 550 103	9.4%
Maintenance	-	-	0.0%	-	0.0%	-	0.0%
Motor Vehicle Expenses	-	-	0.0%	-	0.0%	-	0.0%
Facility Management Operating expenses	-	2 318	0.0%	-	0.0%	-	0.0%
Municipal Charges	-	-	0.0%	-	0.0%	-	0.0%
Insurance	-	-	0.0%	-	0.0%	-	0.0%
Facilities Maintenance	-	2 318	0.0%	-	0.0%	-	0.0%
PPE Tools	75 000	150 218	(100.3%)	150 000	100.0%	150 000	0.0%
Office operational expenses-Lease Payments	-	-	0.0%	-	0.0%	-	0.0%
Postage & Courier Services	20 500	15 137	26.2%	5 000	(75.6%)	16 651	233.0%
Information Technology Operations	-	-	0.0%	-	0.0%	-	0.0%
Software License Fees	1 200 000	660 024	45.0%	1 200 000	0.0%	1 200 000	0.0%
Stationery and Printing	32 500	17 690	45.6%	16 500	(49.2%)	25 000	51.5%
Organizational Membership Subscriptions	-	-	0.0%	-	0.0%	-	0.0%
Professional Membership Subscriptions	23 000	16 973	26.2%	24 000	4.3%	27 500	14.6%
Telephone and fax	-	-	0.0%	-	0.0%	-	0.0%
Office Administration	1 351 000	860 042	36.3%	1 395 500	3.3%	1 419 151	1.7%
Consultants' Fees	500 000	86 400	82.7%	3 000 000	500.0%	3 500 000	16.7%
External Auditors	-	-	0.0%	-	0.0%	-	0.0%
Remuneration - PTRM and External Members	-	-	0.0%	-	0.0%	-	0.0%
Recruitment	-	-	0.0%	-	0.0%	-	0.0%
Legal fees	3 500 000	-	100.0%	-	(100.0%)	-	0.0%
Internal Audit	-	-	0.0%	-	0.0%	-	0.0%
Professional fees	4 000 000	86 400	97.8%	3 000 000	(25.0%)	3 500 000	16.7%
Learnership programme	-	-	0.0%	-	0.0%	-	0.0%
Study fees	185 000	275 538	(48.9%)	185 000	0.0%	235 000	27.0%
External Bursaries	-	-	0.0%	-	0.0%	-	0.0%
Training WEGE	-	-	0.0%	-	0.0%	-	0.0%
Train. & Dev. Full Time Regulator Members	-	-	0.0%	-	0.0%	100 000	0.0%
Train. & Dev. Part Time Regulator Members	-	-	0.0%	-	0.0%	-	0.0%
Train.& Dev. Staff	1 121 823	440 590	60.7%	1 346 080	20.0%	1 346 080	0.0%
Travel Costs Regulator Local	-	-	0.0%	0	0.0%	150 000	0.0%
Travel Cost Regulator International	-	-	0.0%	0	0.0%	700 000	0.0%
Travel Costs Staff Local	7 162 495	6 860 129	4.2%	6 109 825	(14.7%)	6 861 305	12.3%
Travel Costs Staff International	-	-	0.0%	-	0.0%	1 110 925	0.0%
Travel, Accommodation and Training	8 469 318	7 576 256	10.5%	7 640 905	(9.8%)	10 503 310	37.5%
Bank Charges	-	-	0.0%	-	0.0%	-	0.0%
Catering & Entertain	175 000	56 574	67.7%	215 000	22.9%	110 000	(48.8%)
Employees Wellness	-	-	0.0%	-	0.0%	-	0.0%
Health and Safety	-	-	0.0%	-	0.0%	-	0.0%
Loss on Disposal of assets	-	-	0.0%	-	0.0%	-	0.0%
Knowledge Centre	-	-	0.0%	-	0.0%	-	0.0%
Other Expenses	175 000	56 574	67.7%	215 000	22.9%	110 000	(48.8%)
NET SURPLUS/ (DEFICIT) before Depreciation	110 726 666	112 513 065	(1.6%)	115 292 056	4.1%	136 208 235	18.1%
Support Service	137 527 934	133 981 070	2.6%	151 874 825	10.4%	151 726 521	-0.1%
Depreciation	-	3 864 440	0.0%	-	0.0%	-	-
NET SURPLUS/ (DEFICIT) for the period	(26 801 268)	(25 332 445)	5.5%	(36 582 770)	0.0%	(15 518 286)	(57.6%)
TOTAL CAPITAL EXPENDITURE	5 627 160	5 869 000	(4.3%)	9 918 000	76.3%	6 380 000	(35.7%)
Motor vehicles	46 400	45 783	1.3%	-	(100.0%)	-	0.0%
Computer software	-	-	0.0%	7 540 000	0.0%	2 900 000	(61.5%)
Office furniture and equipment	1 230 760	1 452 713	(18.0%)	348 000	(71.7%)	290 000	(16.7%)
Building improvements	-	-	0.0%	870 000	0.0%	290 000	(66.7%)
Computer hardware	4 350 000	4 370 503	(0.5%)	1 160 000	(73.3%)	2 900 000	150.0%

BUDGET 2025/26
Income and Expenditure
PIPED-GAS

NATIONAL ENERGY REGULATOR OF SOUTH AFRICA							
ANNUAL BUDGET FOR THE YEAR 2025/2026							
PIPED GAS REGULATION INCOME AND EXPENDITURE BUDGET FOR 2025/26							
	A	B		C	1	D	2
	PIPED GAS REGULATION BUDGET	PIPED GAS REGULATION ACTUAL	% Variance (A / B)	PIPED GAS REGULATION APPROVED BUDGET	% Variance (A / C)	PIPED GAS REGULATION PROPOSED BUDGET	% Variance (E / C)
DESCRIPTION	2023/234	2023/24		2024/245		2025/26	
TOTAL INCOME	79 292 999	88 129 513	11.1%	90 229 214	13.8%	94 273 313	4.5%
Levies from Piped-Gas Industry	76 849 794	85 520 870	11.3%	87 887 092	14.4%	93 475 734	6.4%
Interest received	2 436 241	2 562 138	5.2%	2 334 810	(4.2%)	789 902	(66.2%)
Rental Income	6 964	6 964	(0.0%)	7 312	5.0%	7 677	5.0%
Other Income	-	39 541	0.0%	-	0.0%	-	0.0%
TOTAL OPERATING EXPENDITURE	45 252 389	42 926 241	5.1%	46 602 535	3.0%	58 899 639	26.4%
Publications and Communications	-	-	0.0%	-	0.0%	-	0.0%
Sponsorships	-	-	0.0%	-	0.0%	-	0.0%
Advertising	1 950 000	2 177 605	(11.7%)	2 300 000	17.9%	2 650 000	15.2%
Stakeholder Meetings	-	-	0.0%	-	0.0%	-	0.0%
Tribunals and Hearings	100 000	-	100.0%	100 000	0.0%	100 000	0.0%
Advertising, Promotion and Communication	2 050 000	2 177 605	(6.2%)	2 400 000	17.1%	2 750 000	14.6%
Gross Salaries	32 685 378	31 848 545	2.6%	35 938 231	10.0%	38 544 307	7.3%
Learnership Allowance	-	-	0.0%	-	0.0%	-	0.0%
Internship Allowance	-	-	0.0%	-	0.0%	-	0.0%
Leave Pay: Staff	-	289 053	0.0%	-	0.0%	-	0.0%
Leave pay: Regulator Members	-	-	0.0%	-	0.0%	-	0.0%
Performance Bonus: FTRM	-	-	0.0%	-	0.0%	338 578	0.0%
Performance Bonus: Staff	5 229 660	5 660 275	(8.2%)	5 791 423	10.7%	6 229 567	7.6%
Cellphone and data allowance Staff	480 720	448 485	6.7%	480 720	0.0%	381 720	(20.6%)
Cellphone and data allowance FTRM	-	-	0.0%	-	0.0%	65 100	0.0%
Remuneration: FTRM	-	-	0.0%	-	0.0%	2 630 365	0.0%
Publication Incentives	-	-	0.0%	-	0.0%	-	0.0%
Salaries Temporary Staff	1 337 768	-	100.0%	-	(100.0%)	-	100.0%
Employment cost	39 733 526	38 246 357	3.7%	42 210 375	6.2%	48 189 637	14.2%
Maintenance	-	-	0.0%	-	0.0%	-	0.0%
Motor Vehicle Expenses	-	-	0.0%	-	0.0%	-	0.0%
Facility Management Operating expenses	-	-	0.0%	-	0.0%	-	0.0%
Municipal Charges	-	-	0.0%	-	0.0%	-	0.0%
Insurance	-	-	0.0%	-	0.0%	-	0.0%
Facilities Maintenance	-	-	0.0%	-	0.0%	-	0.0%
PPE Tools	52 500	32 940	37.3%	150 000	185.7%	100 000	(33.3%)
Office operational expenses-Lease Payments	-	-	0.0%	-	0.0%	-	0.0%
Postage & Courier Services	500	3 115	(523.1%)	2 000	300.0%	3 427	71.3%
Information Technology Operations	-	-	0.0%	-	0.0%	-	0.0%
Software License Fees	-	-	0.0%	-	0.0%	-	0.0%
Stationery and Printing	31 500	12 601	60.0%	18 500	(41.3%)	21 500	16.2%
Organizational Membership Subscriptions	-	-	0.0%	-	0.0%	-	0.0%
Professional Membership Subscriptions	18 615	8 417	54.8%	21 500	15.5%	12 940	(39.8%)
Telephone and fax	-	-	0.0%	-	0.0%	-	0.0%
Office Administration	103 115	57 074	44.6%	192 000	86.2%	137 867	(28.2%)
Consultants' Fees	1 200 000	849 069	29.2%	-	(100.0%)	4 500 000	0.0%
External Auditors	-	-	0.0%	-	0.0%	-	0.0%
Remuneration - PTRM and External Members	-	-	0.0%	-	0.0%	-	0.0%
Recruitment	-	-	0.0%	-	0.0%	-	0.0%
Legal fees	-	-	0.0%	-	0.0%	-	0.0%
Internal Audit	-	-	0.0%	-	0.0%	-	0.0%
Professional fees	1 200 000	849 069	29.2%	-	(100.0%)	4 500 000	0.0%
Learnership programme	-	-	0.0%	-	0.0%	-	0.0%
Study fees	225 000	206 626	8.2%	225 000	0.0%	235 000	4.4%
External Bursaries	-	-	0.0%	-	0.0%	-	0.0%
Training WEGE	-	-	0.0%	-	0.0%	-	0.0%
Train. & Dev. Full Time Regulator Members	-	-	0.0%	-	0.0%	100 000	0.0%
Train. & Dev. Part Time Regulator Members	-	-	0.0%	-	0.0%	-	0.0%
Train.& Dev. Staff	440 896	531 071	(20.5%)	539 073	22.3%	539 073	0.0%
Travel Costs Regulator Local	-	-	0.0%	-	0.0%	100 000	0.0%
Travel Cost Regulator International	-	-	0.0%	-	0.0%	700 000	0.0%
Travel Costs Staff Local	1 494 852	858 439	42.6%	1 031 087	(31.0%)	607 301	(41.1%)
Travel Costs Staff International	-	-	0.0%	-	0.0%	1 040 761	0.0%
Travel, Accommodation and Training	2 160 748	1 596 136	26.1%	1 795 160	(16.9%)	3 322 135	85.1%
Bank Charges	-	-	0.0%	-	0.0%	-	0.0%
Catering & Entertain	5 000	-	100.0%	5 000	0.0%	-	(100.0%)
Employees Wellness	-	-	0.0%	-	0.0%	-	0.0%
Health and Safety	-	-	0.0%	-	0.0%	-	0.0%
Loss on Disposal of assets	-	-	0.0%	-	0.0%	-	0.0%
Knowledge Centre	-	-	0.0%	-	0.0%	-	0.0%
Other Expenses	5 000	-	100.0%	5 000	0.0%	-	(100.0%)
NET SURPLUS/ (DEFICIT) before Depreciation	34 040 610	45 203 271	(32.8%)	43 626 679	28.2%	35 373 674	(18.9%)
Support Service	49 794 597	47 059 604	5.5%	54 989 161	10.4%	54 935 464	-0.1%
Depreciation	-	1 399 200	0.0%	-	0.0%	-	-
NET SURPLUS/ (DEFICIT) for the period	(15 753 987)	(3 255 533)	79.3%	(11 362 482)	0.0%	(19 561 790)	72.2%
TOTAL CAPITAL EXPENDITURE	2 037 420	2 124 983	(4.3%)	3 591 000	76.3%	2 310 000	(35.7%)
Motor vehicles	16 800	16 577	1.3%	-	(100.0%)	-	0.0%
Computer software	-	-	0.0%	2 730 000	0.0%	1 050 000	(61.5%)
Office furniture and equipment	445 620	525 982	(18.0%)	126 000	(71.7%)	105 000	(16.7%)
Building improvements	-	-	0.0%	315 000	0.0%	105 000	(66.7%)
Computer hardware	1 575 000	1 582 424	(0.5%)	420 000	(73.3%)	1 050 000	150.0%

NATIONAL ENERGY REGULATOR OF SOUTH AFRICA							
ANNUAL BUDGET FOR THE YEAR 2025/2026							
PETROLEUM PIPELINES REGULATION							
INCOME AND EXPENDITURE BUDGET FOR 2025/26							
DESCRIPTION	A	B		C	1	D	2
	PETROLEUM PIPELINES REGULATION BUDGET	PETROLEUM PIPELINES REGULATION ACTUAL	% Variance (A /B)	PETROLEUM PIPELINES REGULATION APPROVED BUDGET	% Variance (A /C)	PETROLEUM PIPELINES REGULATION PROPOSED BUDGET	% Variance (E / C)
	2023/24	2023/24		2024/25		2025/26	
TOTAL INCOME	69 787 212	65 349 146	(6.4%)	70 556 329	1.1%	74 919 877	6.2%
Levies from Petroleum Pipeline Industry	67 344 007	62 642 084	(7.0%)	68 214 207	1.3%	74 122 297	8.7%
Interest received	2 436 241	2 562 138	5.2%	2 334 810	(4.2%)	789 902	(66.2%)
Rental Income	6 964	6 964	(0.0%)	7 312	5.0%	7 677	5.0%
Other Income	-	137 961	0.0%	-	0.0%	-	(42.3%)
TOTAL OPERATING EXPENDITURE	37 962 026	35 572 282	6.3%	37 691 181	(0.7%)	43 920 707	16.5%
Publications and Communications	-	-	0.0%	-	0.0%	-	0.0%
Sponsorships	-	-	0.0%	-	0.0%	-	0.0%
Advertising	1 325 000	1 011 305	23.7%	1 950 000	47.2%	1 425 000	(26.9%)
Stakeholder Meetings	400 000	56 310	85.9%	300 000	(25.0%)	300 000	0.0%
Tribunals and Hearings	100 000	-	100.0%	100 000	0.0%	100 000	0.0%
Advertising, Promotion and Communication	1 825 000	1 067 615	41.5%	2 350 000	28.8%	1 825 000	(22.3%)
Gross Salaries	26 581 283	26 537 612	0.2%	28 562 630	7.5%	30 508 416	6.8%
Learnership Allowance	-	-	0.0%	-	0.0%	-	0.0%
Internship Allowance	-	-	0.0%	-	0.0%	-	0.0%
Leave Pay: Staff	-	247 197	0.0%	-	0.0%	-	0.0%
Leave pay: Regulator Members	-	-	0.0%	-	0.0%	-	0.0%
Performance Bonus: FTRM	-	-	0.0%	-	0.0%	338 578	0.0%
Performance Bonus: Staff	4 253 005	5 235 069	(23.1%)	4 592 412	8.0%	4 976 206	8.4%
Cellphone and data allowance Staff	431 220	441 345	(2.3%)	431 220	0.0%	355 920	(17.5%)
Cellphone and data allowance FTRM	-	-	0.0%	-	0.0%	65 100	0.0%
Remuneration: FTRM	-	-	0.0%	-	0.0%	2 630 365	0.0%
Publication Incentives	-	-	0.0%	-	0.0%	-	0.0%
Salaries Temporary Staff	-	146 377	0.0%	-	0.0%	-	0.0%
Employment cost	31 265 508	32 607 599	(4.3%)	33 586 262	7.4%	38 874 584	15.7%
Maintenance	-	-	0.0%	-	0.0%	-	0.0%
Motor Vehicle Expenses	-	-	0.0%	-	0.0%	-	0.0%
Facility Management Operating expenses	-	-	0.0%	-	0.0%	-	0.0%
Municipal Charges	-	-	0.0%	-	0.0%	-	0.0%
Insurance	-	-	0.0%	-	0.0%	-	0.0%
Facilities Maintenance	-	-	0.0%	-	0.0%	-	0.0%
PPE Tools	150 000	-	100.0%	175 000	16.7%	150 000	(14.3%)
Office operational expenses-Lease Payments	-	-	0.0%	-	0.0%	-	0.0%
Postage & Courier Services	2 000	-	100.0%	2 000	0.0%	500	(75.0%)
Information Technology Operations	-	-	0.0%	-	0.0%	-	0.0%
Software License Fees	-	-	0.0%	-	0.0%	-	0.0%
Stationery and Printing	23 750	11 350	52.2%	11 500	(51.6%)	19 000	65.2%
Organizational Membership Subscriptions	-	-	0.0%	-	0.0%	-	0.0%
Professional Membership Subscriptions	-	-	0.0%	-	0.0%	-	0.0%
Telephone and fax	-	-	0.0%	-	0.0%	-	0.0%
Office Administration	175 750	11 350	93.5%	188 500	7.3%	169 500	(10.1%)
Consultants' Fees	-	-	0.0%	-	0.0%	-	0.0%
External Auditors	-	-	0.0%	-	0.0%	-	0.0%
Remuneration - PTRM and External Members	-	-	0.0%	-	0.0%	-	0.0%
Recruitment	-	-	0.0%	-	0.0%	-	0.0%
Legal fees	2 500 000	-	100.0%	-	(100.0%)	-	0.0%
Internal Audit	-	-	0.0%	-	0.0%	-	0.0%
Professional fees	2 500 000	-	100.0%	-	(100.0%)	-	0.0%
Learnership programme	-	-	0.0%	-	0.0%	-	0.0%
Study fees	220 000	102 961	53.2%	220 000	0.0%	100 000	(54.5%)
External Bursaries	-	-	0.0%	-	0.0%	-	0.0%
Training WEGE	-	-	0.0%	-	0.0%	-	0.0%
Train. & Dev. Full Time Regulator Members	-	-	0.0%	-	0.0%	100 000	0.0%
Train. & Dev. Part Time Regulator Members	-	-	0.0%	-	0.0%	-	0.0%
Train.& Dev. Staff	350 888	487 267	(38.9%)	428 439	22.1%	428 439	0.0%
Travel Costs Regulator Local	-	-	0.0%	-	0.0%	100 000	0.0%
Travel Cost Regulator International	-	-	0.0%	-	0.0%	700 000	0.0%
Travel Costs Staff Local	1 619 880	1 271 292	21.5%	900 480	(44.4%)	757 433	(15.9%)
Travel Costs Staff International	-	-	0.0%	-	0.0%	848 250	0.0%
Travel, Accommodation and Training	2 190 768	1 861 520	15.0%	1 548 919	(29.3%)	3 034 123	95.9%
Bank Charges	-	-	0.0%	-	0.0%	-	0.0%
Catering & Entertain	5 000	24 197	(383.9%)	17 500	250.0%	17 500	0.0%
Employees Wellness	-	-	0.0%	-	0.0%	-	0.0%
Health and Safety	-	-	0.0%	-	0.0%	-	0.0%
Loss on Disposal of assets	-	-	0.0%	-	0.0%	-	0.0%
Knowledge Centre	-	-	0.0%	-	0.0%	-	0.0%
Other Expenses	5 000	24 197	(383.9%)	17 500	250.0%	17 500	0.0%
NET SURPLUS/ (DEFICIT) before Depreciation	31 825 186	29 776 864	6.4%	32 865 148	3.3%	30 999 169	(5.7%)
Support Service	49 794 597	43 127 565	13.4%	54 989 161	10.4%	54 935 464	-0.1%
Depreciation	-	1 399 194	0.0%	-	0.0%	-	-
NET SURPLUS/ (DEFICIT) for the period	(17 969 411)	(14 749 894)	17.9%	(22 124 013)	0.0%	(23 936 295)	8.2%
TOTAL CAPITAL EXPENDITURE	2 037 420	2 124 983	(4.3%)	3 591 000	76.3%	2 310 000	(35.7%)
Motor vehicles	16 800	16 577	1.3%	-	(100.0%)	-	0.0%
Computer software	-	-	0.0%	2 730 000	0.0%	1 050 000	(61.5%)
Office furniture and equipment	445 620	525 982	(18.0%)	126 000	(71.7%)	105 000	(16.7%)
Building improvements	-	-	0.0%	315 000	0.0%	105 000	(66.7%)
Computer hardware	1 575 000	1 582 424	(0.5%)	420 000	(73.3%)	1 050 000	150.0%

BUDGET 2025/26
Income and Expenditure
SUPPORT SERVICES

NATIONAL ENERGY REGULATOR OF SOUTH AFRICA							
ANNUAL BUDGET FOR THE YEAR 2025/2026							
SUPPORT SERVICE							
EXPENDITURE BUDGET FOR 2025/26							
	A	B		C	1	D	2
	SUPPORT SERVICE BUDGET	SUPPORT SERVICE ACTUAL	% Variance (A / B)	SUPPORT SERVICE APPROVED BUDGET	% Variance (A / C)	SUPPORT SERVICE BUDGET	% Variance (E / C)
DESCRIPTION	2023/24	2023/24		2024/25		2025/26	
TOTAL OPERATING EXPENDITURE	237 117 127	224 168 239	5.5%	261 853 147	10.4%	261 597 450	(0.1%)
Publications and Communications	2 925 000	3 257 065	(11.4%)	1 800 000	(38.5%)	2 500 000	38.9%
Sponsorships	100 000	45 943	54.1%	200 000	100.0%	200 000	0.0%
Advertising	1 490 000	901 369	39.5%	865 000	(41.9%)	1 015 000	17.3%
Stakeholder Meetings	-	-	0.0%	100 000	0.0%	100 000	0.0%
Tribunals and Hearings	30 000	-	100.0%	50 000	66.7%	50 000	0.0%
Advertising, Promotion and Communication	4 545 000	4 204 377	7.5%	3 015 000	(33.7%)	3 865 000	28.2%
Gross Salaries	114 023 580	103 642 691	9.1%	121 781 174	6.8%	129 105 767	6.0%
Leamership Allowance	1 638 636	753 966	54.0%	1 638 636	0.0%	2 253 125	37.5%
Internship Allowance	1 638 636	1 160 405	29.2%	1 638 636	0.0%	2 253 125	37.5%
Leave Pay: Staff	811 277	555 930	31.5%	811 277	0.0%	867 255	6.9%
Leave pay: Regulator Members	140 087	122 391	116.0%	140 087	0.0%	140 087	0.0%
Performance Bonus: FTRM	1 343 883	951 660	29.2%	1 299 113	(3.3%)	375 172	(71.1%)
Performance Bonus: Staff	18 243 774	17 536 672	3.9%	19 622 722	7.6%	21 070 164	7.4%
Cellphone and data allowance Staff	1 953 480	1 751 798	10.3%	1 953 480	0.0%	1 591 920	100.0%
Cellphone and data allowance FTRM	247 200	260 400	(5.3%)	247 200	0.0%	65 100	100.0%
Remuneration: FTRM	9 599 166	9 652 933	(0.6%)	10 238 910	6.7%	2 896 245	(71.7%)
Publication Incentives	75 000	-	100.0%	75 000	0.0%	75 000	0.0%
Salaries Temporary Staff	1 300 000	518 255	60.1%	4 100 000	215.4%	1 300 000	(68.3%)
Employment cost	151 014 718	136 762 320	9.4%	163 546 234	8.3%	161 992 960	(0.9%)
Maintenance	3 014 926	1 736 986	42.4%	3 800 000	26.0%	2 500 000	(34.2%)
Motor Vehicle Expenses	400 000	358 567	10.4%	450 000	12.5%	450 000	0.0%
Facility Management Operating expenses	2 772 729	2 089 336	24.6%	2 090 310	(24.6%)	3 093 644	48.0%
Municipal Charges	3 060 000	2 989 405	2.3%	2 820 000	(7.8%)	3 288 346	16.6%
Insurance	1 385 000	1 225 446	11.5%	1 400 000	1.1%	1 500 000	7.1%
Facilities Maintenance	10 632 655	8 399 740	21.0%	10 560 310	(0.7%)	10 831 990	2.6%
PPE Tools	200 000	183 629	8.2%	-	(100.0%)	195 000	0.0%
Office operational expenses-Lease Payments	503 554	237 654	52.8%	1 159 723	130.3%	950 616	(18.0%)
Office Rental	750 000	615 681	17.9%	600 000	(20.0%)	750 000	25.0%
Postage & Courier Services	242 500	233 270	3.8%	58 500	(75.9%)	242 900	315.2%
Information Technology Operations	6 308 000	5 923 833	6.1%	13 383 576	112.2%	9 366 182	(30.0%)
Software License Fees	6 939 597	7 589 425	(9.4%)	7 189 385	3.6%	11 415 000	58.8%
Stationery and Printing	680 500	167 727	75.4%	242 500	(64.4%)	218 000	(10.1%)
Organizational Membership Subscriptions	1 674 244	1 492 168	10.9%	1 884 274	12.5%	1 114 765	(40.8%)
Professional Membership Subscriptions	101 476	87 280	14.0%	85 527	(15.7%)	98 862	15.6%
Telephone and fax	769 908	317 914	58.7%	760 000	(1.3%)	748 827	(1.5%)
Office Administration	18 169 779	16 848 581	7.3%	25 363 485	39.6%	25 100 152	(1.0%)
Consultants' Fees	6 707 414	4 883 249	27.2%	8 820 358	31.5%	8 418 693	(4.6%)
External Auditors	3 209 390	3 506 686	(9.3%)	3 369 860	5.0%	3 857 355	14.5%
Remuneration - PTRM and Ext. Members	3 957 749	2 520 963	36.3%	3 957 749	0.0%	3 957 749	0.0%
Recruitment	600 000	479 401	20.1%	600 000	0.0%	600 000	0.0%
Legal fees	18 000 000	29 502 843	(63.9%)	18 000 000	0.0%	22 000 000	22.2%
Internal Audit	2 200 000	2 024 990	8.0%	2 200 000	0.0%	2 200 000	0.0%
Professional fees	34 674 553	42 918 131	(23.8%)	36 947 967	6.6%	41 033 797	11.1%
Learnership programme	650 760	560 000	13.9%	1 250 760	92.2%	1 250 760	0.0%
Study fees	677 000	704 532	(4.1%)	677 000	0.0%	735 000	8.6%
External Busarries	551 000	319 265	42.1%	551 000	0.0%	551 000	0.0%
Training WEGE	250 000	-	100.0%	400 000	60.0%	400 000	0.0%
Train. & Dev. Full Time Regulator Members	400 000	77 173	80.7%	400 000	0.0%	100 000	(75.0%)
Train. & Dev. Part Time Regulator Members	500 000	371 139	25.8%	500 000	0.0%	500 000	0.0%
Train.& Dev. Staff	1 833 583	1 939 650	(5.8%)	1 826 718	(0.4%)	1 826 718	0.0%
Travel Costs Regulator Local	3 370 000	2 548 360	24.4%	1 932 182	(42.7%)	339 913	(82.4%)
Travel Cost Regulator International	-	-	0.0%	-	0.0%	1 988 161	0.0%
Travel Costs Staff Local	3 488 079	2 465 287	29.3%	2 342 490	(32.8%)	1 511 929	(35.5%)
Travel Costs Staff International	-	-	0.0%	-	0.0%	1 940 223	0.0%
Travel, Accommodation and Training	11 720 422	8 985 406	23.3%	9 880 150	(15.7%)	11 143 703	12.8%
Bank Charges	80 000	81 680	(2.1%)	80 000	0.0%	89 848	12.3%
Catering & Entertain	280 000	236 563	15.5%	260 000	(7.1%)	340 000	30.8%
Employees Wellness	800 000	448 607	43.9%	500 000	(37.5%)	500 000	0.0%
Health and Safety	600 000	218 040	63.7%	700 000	16.7%	700 000	0.0%
Loss on Disposal of assets	-	390 461	0.0%	-	0.0%	-	0.0%
Provision for bad debts	-	36 131	0.0%	-	0.0%	-	0.0%
Knowledge Centre	4 600 000	4 638 201	(0.8%)	11 000 000	139.1%	6 000 000	(45.5%)
Other Expenses	6 360 000	6 049 685	4.9%	12 540 000	97.2%	7 629 848	(39.2%)
Depreciation - Office Equipment	-	1 375 397	0.0%	-	0.0%	-	0.0%
Depreciation - Software	-	431 912	0.0%	-	0.0%	-	0.0%
Depreciation - Motor Vehicles	-	138 495	0.0%	-	0.0%	-	0.0%
Depreciation - Hardware	-	2 733 072	0.0%	-	0.0%	-	0.0%
Depreciation - Building	-	1 983 952	0.0%	-	0.0%	-	0.0%
Depreciation	-	6 662 828	0.0%	-	0.0%	-	0.0%
TOTAL CAPITAL EXPENDITURE	9 702 000	10 118 965	(4.3%)	17 100 000	76.3%	11 000 000	(35.7%)
Motor vehicles	80 000	78 936	1.3%	-	(100.0%)	-	0.0%
Computer software	-	-	0.0%	13 000 000	0.0%	5 000 000	(61.5%)
Office furniture and equipment	2 122 000	2 504 678	(18.0%)	600 000	(71.7%)	500 000	(16.7%)
Building improvements	-	-	0.0%	1 500 000	0.0%	500 000	(66.7%)
Computer hardware	7 500 000	7 535 351	(0.5%)	2 000 000	(73.3%)	5 000 000	150.0%

BUDGET 2025/26

LEVY RATES

NATIONAL ENERGY REGULATOR (NERSA)

2025/2026 LICENSE FEES AND LEVY RATE CALCULATION

	ELECTRICITY	PIPED-GAS	PETROLEUM PIPELINES	TOTAL
Operating Expenditure - Regulated Industries	134 852 564	58 899 639	43 920 707	237 672 910
Expenditure - Support services allocated	151 726 521	54 935 464	54 935 464	261 597 450
Operating Expenditure	286 579 085	113 835 103	98 856 172	499 270 360
Add: Capital Expenditure	6 380 000	2 310 000	2 310 000	11 000 000
Total Expenditure	292 959 085	116 145 103	101 166 172	510 270 360
Less: Interest Received	(2 181 634)	(789 902)	(789 902)	(3 761 437)
Less: Rental Income	(21 204)	(7 677)	(7 677)	(36 559)
Less: Registration fees	(94 000)	-	-	(94 000)
Less: Refund of prior year surplus funds	(21 898 286)	(21 871 790)	(26 246 295)	(70 016 371)
Leviable amount	268 763 962	93 475 734	74 122 297	436 361 993
Projected Volumes (from Industry)	206 382 050 MWh	180 000 000 Gj	15 816 000 KI	
Electricity license fee (c/kWh)	0.13023			
Piped-Gas levy rate (c/Gj)		51.931		
Petroleum Pipeline levy rate (c/litre)			0.46865	
Levy Rate Increase / (Decrease)	13.00%	7.50%	7.50%	

2025/26 - Levy Increase / (Decrease) due to change in:

Volumes	(3.47%)	1.14%	(1.16%)
Operating Expenditure	5.57%	13.99%	9.13%
Support Service Allocation	(0.06%)	(0.06%)	(0.08%)
Capital Expenditure	(1.53%)	(1.46%)	(1.88%)
Interest received and Other Income	1.84%	1.76%	2.26%
Refund of surplus funds	10.66%	(7.87%)	(0.78%)
Total change	13.00%	7.50%	7.50%

Licence fee/Levy Rate 2024/25 FY

0.11524

48.308

0.43596

LEVY RATES

FORECASTS YEARS 2026/27 AND 2027/28

2026/2027 LICENSE FEES AND LEVY RATE CALCULATION

	ELECTRICITY	PIPED-GAS	PETROLEUM PIPELINES	TOTAL
Total Operating Expenditure	304 433 765	120 927 349	105 015 188	530 376 303
Capital Expenditure	2 900 000	1 050 000	1 050 000	5 000 000
Expenditure before Interest and surplus funding	307 333 765	121 977 349	106 065 188	535 376 303
Less: Interest Received	(2 072 552)	(750 407)	(750 407)	(3 573 366)
Less: Other Income	(116 264)	(8 061)	(8 061)	(132 387)
Less: Refund of Surplus Funds	(10 659 735)	(5 740 657)	(11 637 168)	(28 037 559)
Leviable amount	294 485 214	115 478 224	93 669 552	503 632 990
Projected Volumes	198 560 050 MWh	137 000 000 Gj	15 906 000 KI	
Electricity Levy (c/kWh)	0.14831			
Piped-Gas levy (c/Gj)		84.291		
Petroleum Pipeline levy (c/litre)			0.58889	
Levy Increase / (Decrease)	13.89%	62.31%	25.66%	

BUDGET 2025/26

PROGRAMME BUDGET

	PROGRAMME 1 : REGULATORY SERVICE DELIVERY		PROGRAMME 2 : ADVOCACY AND ENGAGEMENT		PROGRAMME 3 : INNOVATION		PROGRAMME 4 : OPERATIONAL EFFICIENCY AND		PROGRAMME 5 : PEOPLE AND ORGANISATIONAL CULTURE		TOTAL	
Electricity												
Electricity Regulator	12 181 866	80%	3 045 467	20%	-	0%	-	0%	-	0%	15 227 333	100%
Electricity Pricing and Tariffs	37 966 514	80%	9 491 628	20%	-	0%	-	0%	-	0%	47 458 142	100%
Electricity licencing, Compliance, and Dispute Resolution	39 412 176	80%	9 853 044	20%	-	0%	-	0%	-	0%	49 265 221	100%
Electricity Infrastructure Planning	18 321 495	80%	4 580 374	20%	-	0%	-	0%	-	0%	22 901 869	100%
Piped-Gas												
Piped Gas Regulation	15 897 056	90%	1 766 340	10%	-	0%	-	0%	-	0%	17 663 395	100%
Gas Pricing and Tariffs	15 442 588	95%	812 768	5%	-	0%	-	0%	-	0%	16 255 356	100%
Gas Licencing, Compliance and Dispute Resolution	17 991 438	100%	-	0%	-	0%	-	0%	-	0%	17 991 438	100%
Gas Competition and Markets	6 639 977	95%	349 472	5%	-	0%	-	0%	-	0%	6 989 450	100%
Petroleum Pipelines												
Petroleum Pipelines Regulation	16 118 115	90%	1 790 902	10%	-	0%	-	0%	-	0%	17 909 017	100%
Petroleum Pipeline Tariffs	11 893 972	95%	625 999	5%	-	0%	-	0%	-	0%	12 519 970	100%
Petroleum Licensing, Compliance and Dispute Resolution	12 142 548	90%	1 349 172	10%	-	0%	-	0%	-	0%	13 491 720	100%
Corporate Service												
Executive Manager: Corporate services	-	-	249 878	5%	-	0%	4 747 688	95%	-	0%	4 997 567	100%
Legal Advisory Services	-	-	-	0%	-	0%	33 327 449	100%	-	0%	33 327 449	100%
Information Resource Management	-	-	-	0%	827 814	5%	15 728 468	95%	-	0%	16 556 282	100%
Communication and Stakeholder Management	-	-	15 550 186	100%	-	0%	-	0%	-	0%	15 550 186	100%
International Co-ordination and Partnership	-	-	7 230 629	100%	-	0%	-	0%	-	0%	7 230 629	100%
Organizational Units												
Chief Operating Officer	-	-	-	0%	-	0%	8 413 819	100%	-	0%	8 413 819	100%
Strategic planning and Monitoring	-	-	-	0%	-	0%	8 413 963	100%	-	0%	8 413 963	100%
Regulatory Support Unit	-	-	-	0%	-	0%	23 692 416	100%	-	0%	23 692 416	100%
Information Communication and Technology	-	-	-	0%	7 231 484	20%	28 925 935	80%	-	0%	36 157 419	100%
Internal Audit Unit	-	-	-	0%	-	0%	13 705 413	100%	-	0%	13 705 413	100%
Regulatory Analysis and Research	-	-	-	0%	-	0%	12 141 906	100%	-	0%	12 141 906	100%
Finance and Administration												
Chief Financial Officer	-	-	-	0%	-	0%	8 807 834	100%	-	0%	8 807 834	100%
Financial Management and Governance	-	-	-	0%	-	0%	13 240 908	100%	-	0%	13 240 908	100%
Supply Chain Management/Facilities/Projects	-	-	-	0%	-	0%	25 226 942	100%	-	0%	25 226 942	100%
Human Resources												
Chief Human Capital Officer	-	-	-	0%	-	0%	-	0%	4 025 153	100%	4 025 153	100%
Human Resources Value Creation	-	-	-	0%	-	0%	-	0%	24 786 713	100%	24 786 713	100%
Human Resources Transactions	-	-	-	0%	-	0%	-	0%	5 322 852	100%	5 322 852	100%
	204 007 745	40.86	56 695 859	11.36	508 059 298	1.61	196 372 741	39.33	34 134 717	6.84	499 270 360	100

8. Part E: Technical Indicator Descriptions

8.1. Performance Indicators

These indicators are divided in the following programmes:

- a) Programme 1: Regulatory Service Delivery
- b) Programme 2: Advocacy and Engagement
- c) Programme 3: Innovation
- d) Programme 4: Operational Efficiency and Quality Management
- e) Programme 5: People and Organisational Culture

.2. PROGRAMME 1: REGULATORY SERVICE DELIVERY

8.2.1. Sub-programme: Electricity Industry Regulation

8.2.1.1 Setting and/or approval of tariffs and prices

Indicator title	1. Energy Regulator decision on Eskom electricity prices within the stated time frame	2. Percentage of complete application for municipal electricity price/tariffs considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the decision of the Energy Regulator on Eskom's electricity prices within the stated time frame	This is the decision of the Energy Regulator on municipal electricity prices within the stated time frame
Source of data	Tariff application and D-Forms; tariff analysis schedules	Tariff applications and D-Forms; tariff analysis schedules
Method of calculation/assessment	Energy Regulator decision per annum	Energy Regulator decision per annum
Means of verification	Applications, Reasons for Decisions, minutes of ELS and ER meetings	Applications, Reasons for Decisions, minutes of REC and ELS meetings
Assumptions	Complete applications received from Eskom	Complete applications received from licensees
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Non-cumulative	Non-cumulative
Reporting cycle	Annual	Annual
Desired performance	Energy Regulator decision by 31 March 2026	100% complete tariff/price applications considered by the regulator within 150 days from receipt
Indicator responsibility	EM (ELR) and HOD (EPT)	EM (ELR) and HOD (EPT)

Indicator title	3. Energy Regulator Decision on the reviewed MYPD Rules
Definition	This is the decision of the Energy Regulator on the Reviewed Electricity Pricing Methodology within the stated timeframe, which will improve NERSA's efficiency in making decisions on electricity pricing

Indicator title	3. Energy Regulator Decision on the reviewed MYPD Rules
Source of data	Current pricing methodology; benchmarks on electricity pricing; reports on Eskom and Municipality pricing

8Method of calculation/ assessment	Energy Regulator decision
Means of verification	Framework; Minutes of ELS and ER meetings
Assumptions	Framework completed as planned
Disaggregation of beneficiaries (where applicable)	Not applicable
Spatial transformation (where applicable)	Not applicable
Calculation type	Cumulative
Reporting cycle	Annual
Desired performance	Energy Regulator decision by 31 March 2026
Indicator responsibility	EM (ELR) and HOD (EPT)

8.2.1.2

Licensing and Registration

Indicator title	1. Percentage of complete licence applications considered by the relevant subcommittee or the Energy Regulator within the prescribed time frame	2. Percentage of complete applications for the registration of electricity generation facilities considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the percentage of complete licence applications that are considered by the Regulator Executive Committee or the Electricity Subcommittee (depending on the delegation) and submitted to the Energy Regulator for a final decision, in compliance with the legislated timeframes.	This is the percentage of complete applications for registration of electricity generation activities that are considered by the Regulator Executive Committee
Source of data	Licensing processes, applications for licences	Electricity Subcommittee (depending on delegation) and submitted to the Energy Regulator for a final decision, in compliance with the legislated timeframes
Method of calculation/assessment	Number of working days from receipt of a complete application to decision by the Energy Regulator	Number of working days from receipt of a complete application to decision by the Energy Regulator
Means of verification	Reviewed processes, applications, Reasons for Decisions, minutes of ELS and/or ER meetings	Applications, Reasons for Decisions, minutes of ELS and ER meetings
Assumptions	Complete application received	Complete application received
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Non-cumulative	Non-cumulative
Reporting cycle	Quarterly	Quarterly
Desired performance	100% within 60 days after the expiry of objection Period	100% within 45 calendar days
Indicator responsibility	EM (ELR) and HOD (ELC)	EM (ELR) and HOD (ELC)

8.2.1.3. Compliance monitoring and enforcement

Indicator title	1. Number of analysis reports on audits conducted (for transmission, generation and distribution) within the stated time frame
Definition	This is the number of quarterly reports on actual compliance audits conducted in line with the annual Compliance Audit Plan
Source of data	Compliance Audit Plan, audit reports
Method of calculation/assessment	Number of quarterly reports on actual compliance audits conducted per annum
Means of verification	Minutes of ELS meeting
Assumptions	Reports on completed compliance audits conducted
Disaggregation of beneficiaries (where applicable)	Not applicable
Spatial transformation (where applicable)	Not applicable
Calculation type	Cumulative
Reporting cycle	Quarterly
Desired performance	12 Annual reports (3 reports quarterly)
Indicator responsibility	EM (ELR) and HOD (ELC)

Indicator title	2. Percentage of actual versus planned compliance audit plans executed	3. Number of analysis reports on the compliance status against the notices issued by the Tribunal
Definition	This is the percentage of planned compliance audits completed in line with the annual Compliance Audit Plan and the number of actual compliance audits conducted	This is the number of quarterly reports on compliance status against the notices issued by the Tribunal
Source of data	Compliance Audit Plan, list of actual audits conducted	Tribunal notice issued ,
Method of calculation/ assessment	$(\text{number of actual audits conducted})/(\text{number of planned audits}) \times 100$	Number of quarterly reports on the compliance audits against the notices issued by the Tribunal conducted per annum
Means of verification	Minutes of ELS meeting	Minutes of ELS meeting
Assumptions	Audits conducted as planned	Tribunal sits and notices are issued
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Quarterly	Quarterly
Desired performance	100% of planned audits conducted	1
Indicator responsibility	EM (ELR) and HOD (ELC)	EM (ELR) and HOD (ELC)
Indicator title	4. Number of reports on audit findings on the review of the annual performance of IDM to be considered by the relevant subcommittee or the Energy Regulator, subject to all information being available	5. One report on audit findings on the Transmission Network Development projects for compliance with the South African Grid Code considered annually by the relevant subcommittee or the Energy Regulator, subject to all information being available
Definition	This is the number of reports of the IDM performance based on Eskom's breakdown of all IDM programmes/technologies with their estimated costs, demand and energy savings that was submitted to the Energy Regulator with the MYPD application.	These are reports regarding the audits conducted on projects included in Eskom's approved Transmission Development Plan in order to evaluate the compliance of these projects with the approved Grid Code
Source of data	Approved audit report that details the assessment and evaluation of IDM for compliance with the South African Grid Code	Approved audit report that details the assessment and evaluation of projects in Eskom's approved Transmission Development Plan for compliance with the South African Grid Code
Method of calculation/ assessment	Number of reports after receipt of Eskom's IDM Annual Performance Report.	Number of reports
Means of verification	Minutes of ELS and ER meetings	Submissions to ELS/REC; minutes of ELS/REC
Assumptions	Audits conducted as planned	Audits completed as planned
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable

Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Non-cumulative	Cumulative
Reporting cycle	Annual	Annual
Desired performance	1 report by 31 March after receipt of Eskom's IDM Annual Performance Report.	1 report by 31 March
Indicator responsibility	EM (ELR) and HOD (EIP)	EM (ELR) and HOD (EIP)

Indicator title	6. Number of reports on the Distribution Network Development projects for compliance with the South African Grid considered annually by the relevant subcommittee or the Energy Regulator subject to all information being available	7. Number of reports on the performance and progress of Renewable Energy projects for considered bi-annually by the relevant subcommittee or the Energy Regulator
Definition	These are reports regarding the audits conducted on projects included in Eskom's approved Distribution Development Plan in order to evaluate the compliance of these projects with the approved Grid Code	These are monitoring reports on the performance of and progress made with renewable energy aimed at informing all stakeholders and decision makers on the status.
Source of data	Approved audit report that details the assessment and evaluation of projects in Eskom's approved Distribution Development Plan for compliance with the South African Grid Code	Reports on the performance and progress of Renewable Energy
Method of calculation/ assessment	Number of audit reports per year	Number of reports per year
Means of verification	Submissions to ELS/REC; minutes of ELS/REC	Submissions to ELS/REC; minutes of ELS/REC
Assumptions	Audits completed as planned	These are monitoring reports on the performance of and progress made with renewable energy aimed at informing all stakeholders and decision makers on the status.
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Annual	Bi-annually
Desired performance	1 report by 31 March	Two monitoring reports by 30 September and 31 March respectively
Indicator responsibility	EM (ELR) and HOD (EIP)	EM (ELR) and HOD (EIP)

8.2.1.4.

Dispute resolution, including mediation, arbitration and handling of complaints

Indicator title	1. % of categorized disputes/complaints closed in line with the prevailing dispute resolution procedures/rules
Definition	This is the percentage of categorised complaints/disputes, that are closed within the prevailing Dispute Resolution Procedures
Source of data	Approved Complaint/Dispute Resolution/Investigations Framework and Process, records of disputes/complaints received
Method of calculation/assessment	(Number of closed categorised disputes and/or complaints within 90% within the approved Procedures)/(number of received categorised complaints and/or disputes)*100
Means of verification	Database of all complaints/disputes received and closed
Assumptions	Complete information is received from complainants
Disaggregation of beneficiaries (where applicable)	Not applicable
Spatial transformation (where applicable)	Not applicable
Calculation type	Non-cumulative
Reporting cycle	Quarterly
Desired performance	90% completed as per categorised by procedures/rules, Less complex: 30 days, Medium Complex: 60 days, More Complex: 120 days
Indicator responsibility	EM (ELR) and HOD (ELC)

8.2.1.5

Setting of rules, guidelines and codes for the regulation of the electricity industry

Indicator title	1. Comments on the draft Section 34 Determinations received, with complete information, considered by the relevant subcommittee or the Energy Regulator within the time frame stated in the approved procedure
Definition	This is the percentage of comments on draft Section 34 Determinations received, with complete information, and considered
Source of data	Analysis reports of Section 34 Determinations received
Method of calculation/ assessment	Number of draft Section 34 Determinations received / *100
Means of verification	Draft concurrence request, Minutes of ELS and ER meetings
Assumptions	Complete information received
Disaggregation of beneficiaries (where applicable)	Not applicable
Spatial transformation (where applicable)	Not applicable
Calculation type	Non-Cumulative
Reporting cycle	Quarterly
Desired performance	100% as per approved procedure
Indicator responsibility	EM (ELR) and HOD (EIP)

Indicator title	2. Percentage of complete applications requiring exemption from the South African Grid Code considered by the relevant subcommittee or the Energy Regulator within the stated time frame	3. Percentage of complete applications requiring amendment to the South African Grid Code considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the percentage of decisions taken regarding applications for exemption from the Grid Code made by the relevant subcommittee within 3 months from receipt of application	This is the percentage of decisions taken regarding applications for amendment of the Grid Code made by the relevant subcommittee within 3 months from receipt of application
Source of data	Applications for <u>exemptions</u> of the grid code	Applications for <u>amendments</u> to the grid code
Method of calculation/assessment	(number of applications <u>requiring exemptions</u> completed within 3 months / number of applications for <u>exemptions</u> received)*100	(number of applications <u>requiring amendments</u> completed within 3 months / number of applications for <u>amendments</u> received)*100
Means of verification	Applications; recommendations from the Grid Code Advisory Committee	Applications; recommendations from the Grid Code Advisory Committee
Assumptions	Recommendations from Grid Code Advisory Committee submitted with all required supporting documents	Recommendations from Grid Code Advisory Committee submitted with all required supporting documents
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Non-cumulative	Non-cumulative
Reporting cycle	Quarterly	Quarterly
Desired performance	100% considered by ELS/REC within 3 months	100% considered by ELS/REC within 3 months
Indicator responsibility	EM (ELR) and HOD (EIP)	EM (ELR) and HOD (EIP)

8.2.2. Piped-Gas Industry Regulation

8.2.2.1 Setting and/or approval of tariffs and prices

Indicator title	1. Percentage of complete maximum price applications considered by the relevant subcommittee or the Energy Regulator within the stated time frame	2. Percentage of complete applications on distinguishing features considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the percentage of complete applications for maximum prices of piped-gas considered by the relevant subcommittee within a set time frame, subject to a finding that there is inadequate competition	This is the percentage of complete applications on distinguishing features considered by the relevant subcommittee within a set time frame
Source of data	Applications for maximum prices of gas	Applications for distinguishing features
Method of calculation/assessment	(Number of complete applications for maximum prices considered within 120 working days after date of publication of the preliminary assessment of the maximum price applications)/(number of complete applications for maximum prices received)*100	(Number of complete applications on distinguishing features considered within 120 working days)/(number of complete applications on distinguishing features received)*100
Means of verification	Reason for decisions, minutes of ER meeting	Reason for decisions, minutes of ER meeting
Assumptions	Complete applications received from licensees	Complete applications received from licensees
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Non-cumulative	Non-cumulative
Reporting cycle	Quarterly	Quarterly
Desired performance	100% of complete maximum price applications considered by the ER within 120 working days after date of publication of the preliminary assessment of the maximum price applications	100% of complete applications on distinguishing features considered by the ER within 120 working days after the date of the publication of preliminary assessment of the applications
Indicator responsibility	EM (GAR) and HOD (GPT)	EM (GAR) and HOD (GPT)
Indicator title	3. Percentage of complete transmission tariff applications considered by the relevant subcommittee or the Energy Regulator within the stated time frame	4. Number of calculations of the ROMPCO tariff for gas volumes below 120 million gigajoule considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the percentage of transmission tariff applications considered by the relevant subcommittee within a set time frame, subject to a finding that there is inadequate competition	This is the number of calculations of the ROMPCO tariff for gas volumes below 120 million gigajoules considered by the relevant subcommittee within a set time frame
Source of data	Applications for transmission tariff	Schedule One to the Agreement and PPI from StatsSA, report containing the ROMPCO tariffs for volumes below 120 GJ

Method of calculation/assessment	(Number of complete transmission tariff applications considered within 120 working days)/number of complete applications for transmission tariffs received)*100	Actual number of calculations and publication of the ROMPCO tariff for volumes below 120 gigajoule considered per annum
Means of verification	Reason for decisions, minutes of ER meeting	Submissions to PGS, minute of the PGS meeting
Assumptions	Complete applications received from licensees	Information received timeously from ROMPCO
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Non-cumulative	Cumulative
Reporting cycle	Quarterly	Quarterly
Desired performance	100% of complete transmission tariff applications considered by ER within 120 working days after date of publication of preliminary assessment of tariff applications	Four quarterly calculations of the ROMPCO tariff for gas volumes below 120 million gigajoules considered quarterly by the PGS
Indicator responsibility	EM (GAR) and HOD (GPT)	EM (GAR) and HOD (GPT)
Indicator title	5. Number of reports on the assessment of the adequacy of competition considered by the Energy Regulator within the stated time frame	
Definition	This is the number of reports complied annually on the assessment of the adequacy of competition in the piped-gas industry considered by the relevant subcommittee, within a set timeframe.	
Source of data	Competition assessment and analysis reports	
Method of calculation/assessment	Number of reports per year	
Means of verification	Submissions to PGS; minutes of the PGS	
Assumptions	Assessment and analysis completed on time.	
Disaggregation of beneficiaries (where applicable)	Not applicable	
Spatial transformation (where applicable)	Not applicable	
Calculation type	Cumulative	
Reporting cycle	Once every three years	
Desired performance	One report by 31 March 2028	
Indicator responsibility	EM (GAR) and HOD (GCM)	

8.2.2.2. Licensing and Registration

Indicator title	1. Percentage of complete licence applications considered by the relevant subcommittee or the Energy Regulator within the stated time frame	2. Percentage of complete applications for licence amendments/revocations/conversions considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the percentage of the licence applications considered by the REC or PGS (depending on the delegation) within a set time frame	This is the percentage of the applications for licence amendment, considered by the relevant subcommittee within a set time frame
Source of data	Licence applications	Applications for licence amendments
Method of calculation/assessment	$(\text{Number of complete licence applications considered within 60 working days after the end of the objection period or period of applicant's response to objections received}) / (\text{total number of complete applications received}) * 100$	$(\text{Number of complete applications for amendments/revocations/conversions considered within 60 working days from receipt of complete application}) / (\text{total number of complete applications received}) * 100$
Means of verification	Reasons for decision, minutes of REC/PGS (depending on delegation) meeting	Reasons for decision, minutes of REC/PGS (depending on delegation) meeting
Assumptions	Complete applications submitted	Complete applications submitted
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Non-cumulative	Non-cumulative
Reporting cycle	Quarterly	Quarterly
Desired performance	100% of complete licence applications considered by the PGS/REC/ER within 60 working days from date of close of public comment period or period of applicant's response to objections received	100% of complete applications for licence amendments/revocations/conversions considered by the PGS/REC within 60 working days from date of close of public comment period or period of applicant's response to objections received
Indicator responsibility	EM (GAR) and HOD (GLC)	EM (GAR) and HOD (GLC)
Indicator title	3. Percentage of complete applications for the registration of gas activities considered by the relevant subcommittee or the Energy Regulator within the stated time frame	
Definition	This is the percentage of the registration applications for operations or activities related to the production and importation of gas considered by the relevant subcommittee within a set time frame	
Source of data	Registration applications	
Method of calculation/assessment	$(\text{Number of complete registration applications considered within 60 working days from receipt of complete application}) / (\text{total number of complete applications received}) * 100$	
Means of verification	Reasons for decision, minutes of PGS meeting	
Assumptions	Complete applications submitted	
Disaggregation of beneficiaries (where applicable)	Not applicable	

Spatial transformation (where applicable)	Not applicable
Calculation type	Non-cumulative
Reporting cycle	Annual
Desired performance	100% of complete applications for the registration of gas activities are processed and considered by the PGS within 60 working days from date of close of public comment period
Indicator responsibility	EM (GAR) and HOD (GLC)

8.2.2.3 Compliance monitoring and enforcement

Indicator title	1. Number of audit reports on compliance of the ROMPCO pipeline considered by the relevant subcommittee within the stated time frame	2. Number of reports on licensees' compliance with licence conditions considered by the relevant subcommittee within the stated time frame
Definition	This is the number of reports on audits conducted on the ROMPCO pipeline according to the compliance framework and non-compliance notices issued (where necessary), considered by the relevant committee by the end of the financial year	This is the number of reports on inspections conducted aimed at enforcing monitoring and compliance of licensed entities with licence conditions considered by the relevant committee within stated time frame
Source of data	Audit reports	Approved plan for annual inspections, inspection reports
Method of calculation/assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Submissions to PGS, minutes of PGS meeting	
Assumptions	Approval received to travel to Mozambique to conduct audit	
Disaggregation of beneficiaries (where applicable)	Not applicable	
Spatial transformation (where applicable)	Not applicable	
Calculation type	Cumulative	
Reporting cycle	Annually	
Desired performance	One audit report on the compliance of ROMPCO pipeline considered annually by the PGS by 31 March	
Indicator responsibility	EM (GAR) and HOD (GLC)	
Indicator title	3. Percentage of monitoring reports on the implementation of transmission tariffs considered by the relevant subcommittee or the Energy Regulator within the stated time frame	
Definition	This is the percentage of reports on the monitoring of the implementation of transmission tariffs by ROMPCO, Transnet and Sasol Gas, respectively, considered by the relevant committee within stated time frame	
Source of data	Monitoring reports of ROMPCO, Transnet and Sasol Gas	
Method of calculation/assessment	$\frac{\text{(Actual number of reports)}}{\text{(number of licensees with approved transmission tariffs)}} \times 100$	

Indicator title	4. Number of reports on licensees' compliance with licence conditions considered by the relevant subcommittee within the stated time frame	5. Percentage of monitoring reports on the implementation of transmission tariffs considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Means of verification	Submissions to PGS, minutes of PGS meeting	Submissions to PGS, minutes of PGS meeting, date of approval of transmission tariffs
Assumptions	Inspection reports completed after each inspection	Analysis of implementation of transmission tariffs completed
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Non-cumulative
Reporting cycle	Quarterly	Quarterly
Desired performance	One report on compliance with licence conditions considered annually by the PGS by 31 March	100% of monitoring reports on the implementation of transmission tariffs considered annually by the PGS by 31 March, after one year, following the approval of the transmission tariff
Indicator responsibility	EM (GAR) and HOD (GLC)	EM (GAR) and HOD (GLC)

Indicator title	6. Number of reports on the implementation of the RRM for the preceding financial year considered by the relevant subcommittee or the Energy Regulator within the stated time frame	7. Percentage of monitoring reports per licensee on the implementation of maximum prices considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the number of reports on the implementation of the RRM aimed at achieving uniformity and consistent reporting of information required for tariff setting/approval and performance monitoring, considered by the relevant subcommittee	This is the percentage of reports on the implementation of maximum prices aimed at evaluating compliance, considered by the relevant subcommittee
Source of data	Analysis on the implementation of the RRM	Analysis on the implementation of maximum prices
Method of calculation/assessment	Actual number of reports considered per annum	$(\text{Actual number of reports})/(\text{number of licensees with approved maximum prices}) * 100$
Means of verification	Submission to PGS/REC, minutes of PGS/REC meeting	Submission to PGS/REC, minutes of PGS/REC meeting, date of approval of transmission tariffs
Assumptions	Analysis of the implementation of the RRM completed	Analysis of the implementation of the Maximum Prices completed
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Quarterly	Quarterly
Desired performance	Four reports (one for each licensee – Sasol, ROMPCO, Transnet and SLG) on the implementation of the RRM for the preceding financial year considered annually by the PGS/REC by 31 March	100% of monitoring reports per licensee on the implementation of maximum prices, after one year following the approval of the maximum price considered annually by the PGS by 31 March
Indicator responsibility	EM (GAR) and HOD (GLC)	EM (GAR) and HOD (GPT)
Indicator title	8. Number of reports on the assessment of the maximum gas price's competitiveness and impact considered by the relevant subcommittee within the stated time frame	9. Number of reports on applicability of third-party access to new mobile gas infrastructure considered by the relevant subcommittee within the stated time frame
Definition	This is the number of reports on the assessment of the maximum gas price's competitiveness and impact considered	This is the number of reports on applicability of third-party access to new mobile gas infrastructure considered
Source of data	Analysis on the maximum gas price's competitiveness and impact	Analysis on the applicability of third-party access to new mobile gas infrastructure
Method of calculation/assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Submission to PGS, minutes of PGS meeting	Submission to PGS, minutes of PGS meeting,
Assumptions	Analysis of the implementation of the RRM completed	Analysis of the implementation of the Maximum Prices completed

Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Annually	Annually
Desired performance	1 report considered PGS by 31 March	1 report considered PGS by 31 March 2027
Indicator responsibility	EM (GAR) and HOD (GLC)	EM (GAR) and HOD (GPT)

8.2.2.4. Dispute resolution, including mediation, arbitration and handling of complaints

Indicator title	1. Percentage of complaint investigations completed and a report on findings considered by the relevant subcommittee or the Energy Regulator within the stated time frame	2. Percentage of initiated investigations and inquiries completed and a report on findings considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the percentage of investigations into complaints and disputes received, completed within the stated time frames and a report on the findings considered by the relevant subcommittee	This is the percentage of initiated investigations and inquiries within the stated time frames and a report on the findings considered by the relevant subcommittee
Source of data	Records of complaints received	Records of complaints initiated, Reasons for Decision, minutes of the relevant subcommittee meeting
Method of calculation/assessment	$(\text{Number of complaints received completed within 12 months after receipt}) / (\text{total number of applications received}) * 100$	$(\text{Number of initiated investigations completed within 12 months after receipt}) / (\text{total number of initiated investigations}) * 100$
Means of verification	Reasons for Decision, minutes of PGS meeting	Reasons for Decision, minutes of PGS meeting
Assumptions	Complete information received from complainant, report on findings	Initiated investigations completed, report on findings
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Non-cumulative	Non-cumulative
Reporting cycle	Annual	Annual
Desired performance	70% of complaint investigations completed within 12 months and a report on findings considered by the PGS	70% of initiated investigations and inquiries completed within 12 months and a report on findings considered by the PGS
Indicator responsibility	EM (GAR) and (HOD (GPT) or HOD (GLC))	EM (GAR) and (HOD (GPT), HOD (GLC) HOD (GCM)

8.2.2.5. Setting of rules, guidelines and codes for the regulation of the piped-gas industry

Indicator title	1. Number of reports on new developments in the gas industry considered by the relevant subcommittee or the Energy Regulator within the stated time frame	2. Number of reports on the impact of developments on competition in the gas industry considered by the relevant committee of the Energy Regulator within the stated timeframe
Definition	This is the number of reports relating to the new developments in piped-gas industry	This is the number of reports on impact of developments on competition in the gas industry
Source of data	Reports considered, minutes of the relevant subcommittee meeting	Reports considered, minutes of the relevant subcommittee meeting
Method of calculation/assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Submissions to PGS, minutes of PGS meeting	Submissions to PGS, minutes of PGS meeting
Assumptions	Reports compiled	Reports compiled
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Annual	Annual
Desired performance	Two reports on new developments in the gas industry considered bi-annually by the PGS by 31 March	1 report considered annually by the PGS by 31 March
Indicator responsibility	EM (GAR), HOD (GLC) and HOD (GPT)	EM (GAR), HOD (GCM)

Indicator title	3. Number of reports on the progress made with the implementation of the measures to improve competition and investment in the gas industry considered by the relevant committee or the Energy Regulator within the stated time frame	4. Number of reports on the monitoring of the implications of the lack of supply of methane-rich gas by Sasol Gas considered by the relevant committee or the Energy Regulator within the stated time frame
Definition	This is the number of reports on progress made with the implementation of the measures to improve competition and investment in the gas industry	This is the number of reports on the monitoring of the implications of the lack of supply of methane-rich gas by Sasol Gas
Source of data	Reports considered, minutes of the relevant subcommittee meeting	Reports considered, minutes of the relevant subcommittee meeting
Method of calculation/assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Submissions to PGS, minutes of PGS meeting	Submissions to PGS, minutes of PGS meeting
Assumptions	Reports compiled	

Indicator title	3. Number of reports on the progress made with the implementation of the measures to improve competition and investment in the gas industry considered by the relevant committee or the Energy Regulator within the stated time frame	4. Number of reports on the monitoring of the implications of the lack of supply of methane-rich gas by Sasol Gas considered by the relevant committee or the Energy Regulator within the stated time frame
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Annual	Annual
Desired performance	1 report considered annually by the PGS by 31 March	1 report considered annually by the PGS by 31 March
Indicator responsibility	EM (GAR), HOD (GCM)	EM (GAR), HOD (GLC) and HOD (GPT)

Indicator title	5. Number of reports on the assessment of the impact of the new maximum price methodology considered by the relevant committee or the Energy Regulator within the
Definition	This is the number of reports on the assessment of the impact of the new maximum price methodology
Source of data	Reports considered, minutes of the relevant subcommittee meeting
Method of calculation/ assessment	Actual number of reports considered per annum
Means of verification	Submissions to PGS, minutes of PGS meeting
Assumptions	Reports compiled
Disaggregation of beneficiaries (where applicable)	Not applicable
Spatial transformation (where applicable)	Not applicable
Calculation type	Cumulative
Reporting cycle	Annual
Desired performance	1 report considered annually by the PGS by 31 March
Indicator responsibility	EM (GAR), HOD (GLC) and HOD (GPT)

Indicator title	6. Number of reports on the network code guidelines considered by the ER within the stated timeframe	7. Number of reports on the engagements on harmonised requirements/processes for regulation of cross-border assets between SA and Mozambique considered by the relevant committee or the Energy Regulator within the stated timeframe
Definition	This is the number of reports on the network code guidelines	This is the number of reports on the engagements on harmonised requirements/processes for regulation of cross-border assets between SA and Mozambique
Source of data	Reports considered, minutes of the relevant subcommittee meeting	Reports considered, minutes of the relevant subcommittee meeting
Method of calculation/assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Submissions to PGS, minutes of PGS meeting	Submissions to PGS, minutes of PGS meeting
Assumptions	Reports compiled	Reports compiled
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Once in three years	Annual
Desired performance	1 report considered annually by the PGS by 31 March	1 report considered annually by the PGS by 31 March
Indicator responsibility	EM (GAR), HOD (GLC) and HOD (GPT)	EM (GAR), HOD (GLC) and HOD (GPT)
Indicator title	8. Energy Regulator decision on reviewed gas tariff guidelines within the stated time frame	
Definition	This is a decision taken by the ER on the reviewed gas tariff guidelines	
Source of data	Reviewed Tariff Guidelines and Reasons for Decision	
Method of calculation/assessment	Number of reports per year	
Means of verification	Submissions to ER; minutes of the ER	
Assumptions	Assessment and analysis completed on time.	
Disaggregation of beneficiaries (where applicable)	Not applicable	
Spatial transformation (where applicable)	Not applicable	

Calculation type	Cumulative
Reporting cycle	Annually
Desired performance	One report by 31 March 2026
Indicator responsibility	EM (GAR) and HOD (GPT)

8.2.3. Petroleum Pipelines Industry Regulation

8.2.3.1 Setting and/or approval of tariffs and prices

Indicator title	1. Percentage of complete pipeline, storage and loading facility tariff applications considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the percentage of all the pipeline, storage and loading facility tariff applications considered by the relevant subcommittee within eight months of receipt of complete application
Source of data	Applications for tariffs
Method of calculation/assessment	$(\text{Number of complete tariff applications considered by the relevant subcommittee within six months of receipt of complete application}) / (\text{total number of complete tariff applications received}) * 100$
Means of verification	Reasons for Decision and minutes of PPS meeting
Assumptions	Complete applications received
Disaggregation of beneficiaries (where applicable)	Not applicable
Spatial transformation (where applicable)	Not applicable
Calculation type	Non-cumulative
Reporting cycle	Annually
Desired performance	85% of complete pipeline, storage and loading facility tariff applications considered by the REC/PPS/ER within six months from receipt of complete/adequate application
Indicator responsibility	EM (PPR) and HOD (PPT)

8.2.3.2. Licensing and Registration

Indicator title	1. Percentage of complete licence applications considered by the relevant subcommittee or the Energy Regulator within the stated time frame	2. Percentage of complete applications for licence amendments/revocations considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the percentage of licence applications that will be decided on within the timelines prescribed in section 19(1) of the Petroleum Pipelines Act	This is the percentage of applications for licence amendments/revocations that will be decided on within the timelines prescribed in section 19(1) of the Petroleum Pipelines Act
Source of data	Licence applications	Licence amendment applications
Method of calculation/assessment	$(\text{Number of complete applications decided upon within statutory turn-around/number of received complete licence applications}) * 100$	$(\text{Number of complete applications decided upon within statutory turn-around/number of received complete licence applications}) * 100$
Means of verification	Reasons for Decision and minutes of PPS/REC/ER meeting	Reasons for decision and minutes of PPS/REC/ER meeting
Assumptions	Complete applications	Complete applications

Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Non-cumulative	Non-cumulative
Reporting cycle	Quarterly	Quarterly
Desired performance	100% of complete licence applications considered by the PPS/REC/ER within 60 working days under the conditions prescribed in section 19(1) of the Petroleum Pipelines Act	100% of complete applications for licence amendments/revocations considered by the PPS/REC/ER within 60 working days from date of close of public comment period or period of applicant's response to objections received
Indicator responsibility	EM (PPR) and HOD (PLC)	EM (PPR) and HOD (PLC)

Indicator title	3. Number of reports on investigations done into suspected unlicensed activities considered by the relevant subcommittee or the Energy Regulator within the stated time frame	4. Number of reports on the geographic spread of licences issued for petroleum pipelines infrastructure and new entrants considered annually by the relevant subcommittee or the Energy Regulator
Definition	This is the number of reports on investigations done into suspected unlicensed activities considered by the relevant subcommittee	This is the number of reports on the geographic spread of licences issued for petroleum pipelines infrastructure and new entrants considered by the relevant subcommittee
Source of data	Data based on suspected unlicensed activities	Reports considered, minutes of the relevant subcommittee meeting Number of reports considered per annum
Method of calculation/ assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Submissions to PPS, minutes of PPS meeting	Submissions to PPS, minutes of PPS meeting
Assumptions	Investigations completed	Reports compiled
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Annual	Annual
Desired performance	One report on investigations done into suspected unlicensed activities considered annually by the REC by 31 March	One report on the geographic spread of licences issued for petroleum pipelines infrastructure and new entrants considered annually by the PPS by 31 March
Indicator responsibility	EM (PPR) and HOD (PLC)	EM (PPR) and HOD (PLC)

Indicator title	5. Number of reports on the inland security of supply considered by relevant subcommittee or the Energy Regulator within the stated time frame	6. Number of reports on prudency reviews of identified licensees considered by relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the number of reports on the inland security of supply considered by the relevant subcommittee	This is the number of reports on prudency reviews of identified licensees considered by the relevant subcommittee
Source of data	Reports considered, minutes of the relevant subcommittee meeting	Reports considered, minutes of the relevant subcommittee meeting

Indicator title	5. Number of reports on the inland security of supply considered by relevant subcommittee or the Energy Regulator within the stated time frame	6. Number of reports on prudency reviews of identified licensees considered by relevant subcommittee or the Energy Regulator within the stated time frame
Method of calculation/ assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Submissions to PPS, minutes of PPS meeting	Submissions to PPS, minutes of PPS meeting
Assumptions	Reports compiled	Reports compiled
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Bi-annual	Annual
Desired performance	Two reports on the inland security of supply considered bi-annually by the PPS by 30 September and 31 March	One report on prudency reviews of identified licensees considered annually by the PPS by 31 March
Indicator responsibility	EM (PPR) and HOD (PLC)	EM (PPR) and HOD (PLC)

8.2.3.3. Compliance monitoring and enforcement

Indicator title	1. Number of reports on trends regarding utilisation of storage facilities and third-party access, considered by the relevant committee or the Energy Regulator within the stated time frame	2. Number of reports on the implementation of the methodology to determine uncommitted capacity considered by the relevant committee or the Energy Regulator within the stated time frame
Definition	This is the number of reports on trends regarding the utilisation of storage facilities and third-party access, considered by the relevant subcommittee, aimed at promoting competition in the industry	This is the number of reports on the analysis of the implementation of the methodology to determine uncommitted capacity, considered by the relevant subcommittee, aimed at promoting third-party access
Source of data	Analysis reports	Analysis of the implementation of the methodology to determine uncommitted capacity
Method of calculation/ assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Submissions to PPS, minutes of PPS meeting	Submissions to PPS, minutes of PPS meeting
Assumptions	Analysis of trends completed	Analysis of trends completed
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative

Reporting cycle	Bi-annual	Annual
Desired performance	Two reports on trends regarding utilisation of storage facilities and third-party access considered bi-annually by the PPS by 31 March	One report on the implementation of the methodology to determine uncommitted capacity considered annually by the PPS by 31 March
Indicator responsibility	EM (PPR) and HOD (PLC)	EM (PPR) and HOD (PLC)
Indicator title	3. Number of reports on the construction of new facilities considered by the relevant committee or the Energy Regulator within the stated time frame	4. Number of reports on licensees' compliance with statutory reporting requirements considered by the relevant committee or the Energy Regulator within the stated time frame
Definition	This is the number of reports detailing the compliance of construction licensees with licence conditions. The reports are compiled and considered by the relevant subcommittee bi-annually	This is a report on the compliance of the licensees with all the statutory reporting requirements considered by the relevant subcommittee bi-annually
Source of data	Database of identified construction of new facilities	Database on licensees' compliance with statutory reporting requirements
Method of calculation/ assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Submissions to PPS, minutes of PPS meeting	Submissions to PPS, minutes of PPS meeting
Assumptions	Analysis of the construction of new facilities completed	Analysis of licensees' compliance with statutory reporting requirements completed
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation Type	Cumulative	Cumulative
Reporting cycle	Bi-annual	Bi-annual
Desired performance	Two reports on the construction of new facilities considered bi-annually by the PPS by 31 March	Two reports on licensees' compliance with statutory reporting requirements considered bi-annually by the PPS by 31 March
Indicator Responsibility	EM (PPR) and HOD (PLC)	EM (PPR) and HOD (PLC)

8.2.3.4. Dispute resolution, including mediation, arbitration and handling of complaints

Indicator title	1. Percentage of complaints investigated and report considered by the relevant subcommittee or the Energy Regulator within the stated time frame of receipt of adequate information from relevant parties
Definition	This is the percentage of the complaints investigated and considered by the relevant subcommittee within 60 days of receipt of complete information from relevant parties
Source of data	Records of complaints received
Method of calculation/ assessment	$(\text{number of finalised complaints within 60 days of receipt}) / (\text{number of received complaints}) * 100$
Means of verification	Submissions for PPS, minutes of PPS meeting
Assumptions	Complete information received from relevant parties, investigations completed as planned and checklist and pre-investigation to be done
Disaggregation of beneficiaries (where applicable)	Not applicable
Spatial transformation (where applicable)	Not applicable
Calculation type	Non-cumulative
Reporting cycle	Annually
Desired performance	100% of complaints investigated and report considered by the PPS within six months of receipt of complete information from relevant parties
Indicator responsibility	EM (PPR) and HOD (PLC)

8.2.3.5. Setting of rules, guidelines and codes for the regulation of the petroleum pipelines industry

Indicator title	1. Number of reports on the monitoring of the implementation of the tariff methodology considered by the relevant committee or the Energy Regulator within the stated time frame	2. Energy Regulator decision on the reviewed storage and loading facilities tariff methodology
Definition	This is the number of reports the monitoring of the implementation of the tariff methodology considered by the relevant committee annually	This is the Energy Regulator decisions on the reviewed storage and loading facilities tariff methodology considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Source of data	Analysis of the implementation of the tariff methodology by licensees	Methodology, review reports
Method of calculation/assessment	Actual number of reports considered per annum	Reviewed storage and loading facilities tariff methodology considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Means of verification	Submissions to PPS, minutes of PPS meeting	Submissions to PPS/ER, minutes of PPS/ER meeting
Assumptions	Analysis completed	Review of storage and loading facilities tariff methodology completed as planned
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Non-cumulative
Reporting cycle	Annual	Annual
Desired performance	One report on the monitoring of the implementation of the revised methodology considered annually by the ER by 31 March	Regulator decision by 31 March 2027
Indicator responsibility	EM (PPR) and HOD (PPT)	EM (PPR) and HOD (PPT)

8.3. PROGRAMME 2: ADVOCACY AND ENGAGEMENT

8.3.1. Sub-programme: Regulatory and Policy Advocacy

Indicator title	1. Number of reports on regulatory advocacy considered by the relevant subcommittee or the Energy Regulator within stated time frame	2. Percentage of actual versus planned annual ESI Advocacy and Stakeholder Engagement activities executed
Definition	This is the number of reports on regulatory advocacy engagements with decision-makers, aimed at improving the regulatory framework provided through legislation, regulation and government policies – one each for the piped-gas and petroleum pipelines regulated industries	This is the percentage of actual regulatory advocacy and stakeholder engagements and the planned regulatory advocacy and stakeholder engagements in line with the ESI Advocacy and Stakeholder Engagement activities
Source of data	Reports on each engagement, indicating the reason for and outcome of the engagement	ESI Advocacy and Stakeholder Engagement Plan, reports on advocacy and stakeholder engagements conducted
Method of calculation/ assessment	Actual number of reports considered per annum	(number of actual regulatory advocacy and stakeholder engagements)/planned number of regulatory advocacy and stakeholder engagements in line with the annual ESI Advocacy and Stakeholder Engagement Plan) *100
Means of verification	Submissions to PPS and PGS, minutes of PPS and PGS meetings	Minutes of ELS meetings
Assumptions	Reports on each engagement compiled	ESI Advocacy and Stakeholder Engagement Plan implemented as planned
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Annual	Quarterly
Desired performance	Two reports considered annually by the PGS (1) and PPS (1) by 31 March	65% of planned regulatory advocacy and stakeholders engagements conducted
Indicator responsibility	EM (GAR): EM (PPR)	EM (ELR) and HOD (ELC)

8.3.2. Sub-programme: Customer and Stakeholder Engagement

Indicator title	1. Number of reports on stakeholder workshops/meetings for the piped-gas and petroleum pipelines regulated industries considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the number of reports on stakeholder workshops/meetings and engagements within the two regulated industries – one each for the piped-gas and petroleum pipelines regulated industries – considered by the relevant subcommittee or the Energy Regulator within the stated time frame

Source of data	Reports on each engagement indicating the reason for and outcome of the engagement
Method of calculation/ assessment	Actual number of reports considered per annum
Means of verification	Submissions to PPS and PGS, minutes of PPS and PGS meetings
Assumptions	Report on each engagement compiled
Disaggregation of beneficiaries (where applicable)	Not applicable
Spatial transformation (where applicable)	Not applicable
Calculation type	Cumulative
Reporting cycle	Annual
Desired performance	Two reports considered by the PGS (1) and PPR (1) by 31 March
Indicator responsibility	EM (GAR): EM (PPR)

Indicator title	3. Number of ESI customer education programmes undertaken within the stated time frame	4. Number of reports on partnership creation considered by the relevant committee or the Energy Regulator within the stated time frame
Definition	This is the number of ESI customer education programmes conducted, where NERSA engages its stakeholders in a number of ways, including education programmes	This is the number of reports on partnership creation, which includes engagements with other regulators; participation in regulatory associations, events and conferences; and partnerships with other institutions for capacity-building purposes, aimed at positioning NERSA as a recognised regulator nationally, regionally and internationally, considered by the relevant subcommittee
Source of data	Annual plan for ESI customer education programmes	Reports on an overview of international engagements and partnerships activities
Method of calculation/assessment	Actual number of ESI customer education programmes held per annum	Actual number of reports considered per annum
Means of verification	Submissions to ELS, minutes of ELS meeting	Submissions to REC, Minutes of REC meeting
Assumptions	Programmes conducted as planned in the annual plan for ESI customer education programmes	Analysis completed
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Quarterly	Bi-annual
Desired performance	Seventy-five undertaken annually by 31 March	Two reports considered bi-annually by the REC by 31 March
Indicator responsibility	EM (ELR) and HOD ELC	EM (COS) and HOD (ICP)

Indicator title	5. Number of reports on the implementation of the stakeholder management plan considered by the relevant subcommittee or the Energy Regulator within the stated time frame	6. Number of reports on communication and reputation management considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the number of reports on the implementation of the stakeholder management plan	Number of reports on communication and reputation management considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Source of data	Reports on implemented actions	Reports on implemented actions
Method of calculation/assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Submissions to REC, minutes of REC meeting	Submissions to REC, minutes of REC meeting
Assumptions	Individual reports are completed for each action completed	Individual reports are completed for each action completed

Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Annually	Annually
Desired performance	One report on the implementation of the stakeholder management plan considered annually by the REC by 31 March	One report on the communication and reputation management considered annually by the REC by 31 March
Indicator responsibility	EM (COS) and HOD (CSM)	EM (COS) and HOD (CSM)

8.4. PROGRAMME 3: INNOVATION

Sub-programme: Integrated and Value-Added Services

Indicator title	1. Number of reports on the implementation of the approved ICT Strategy considered by the relevant committee or the Energy Regulator within the stated time frame	2. Percentage of business processes that are automated and efficient within the stated timeframe
Definition	This is the number of reports to indicate how the implementation of the ICT strategy is progressing	This is the percentage of business processes that are automated and efficient and reported on
Source of data	ICT Strategy, implementation reports	Reports on implemented actions
Method of calculation/assessment	Actual number of reports considered per annum	Actual number of business processes automated and reported on
Means of verification	Submissions to ITGC; Minutes of ITGC	Submissions to ITGC, minutes of ITGC meeting
Assumptions	Progress reports are compiled	Individual reports are completed for each action completed
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Bi-annually	Quarterly
Desired performance	Two reports considered bi-annually by the ITGC by 31 March	30% in 2025/26 and 40% of business processes automated and efficient by 31 March 2026/27 100% automated by 2030
Indicator responsibility	CIO	CIO

8.5. PROGRAMME 4: OPERATIONAL EFFICIENCY AND QUALITY MANAGEMENT

Indicator title	1. Number of reports on environmental scanning considered by the relevant subcommittee or the Energy Regulator within the stated time frame	2. Energy Regulator decision on the Reviewed Regulatory Reporting Manuals for Non-Financial and Financial Information
Definition	This is the number of reports scanning NERSA's business environment considered by the relevant subcommittee	This is the Energy Regulator Decision Reviewed Regulatory Reporting Manuals for non-financial and financial information considered by the relevant subcommittee
Source of data	International reports, research report	Analysis on the progress made in the implementation of the RRM's for financial and non-financial information
Method of calculation/ assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Submissions to REC, minutes of REC meetings	Energy Regulator's decision
Assumptions	Analysis completed	Analysis completed
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Annually	Annually
Desired performance	1 report considered annually by the REC by 30 June	Energy Regulator's decision on Reviewed Regulatory Reporting Manuals for Non-Financial and Financial Information (Vol 4) by 31 March
Indicator responsibility	SM (RAR) and SM (SPM)	SM (RAR)
Indicator title	3. Unqualified audit opinion	4. Number of reports on the implementation of the measures to improve NERSA's B-BBEE rating per financial year considered by the relevant subcommittee or the Energy Regulator within the stated time frame
Definition	This is the outcome of the audit conducted by the Auditor-General on NERSA annually	This is the number of reports on the implementation of the measures to improve NERSA's B-BBEE rating
Source of data	Final management report from the AG	Progress Report and minutes of the relevant subcommittee
Method of calculation/ assessment	Unqualified audit opinion – yes/no	One report considered per annum
Means of verification	Audit report	Submission to REC, minutes of REC meeting
Assumptions	Collaboration of management	B-BBEE measures implemented as planned

Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Non-cumulative	Cumulative
Reporting cycle	Annually	Annual
Desired performance	Unqualified audit	One report on the implementation of the measures to improve NERSA's B-BBEE rating per financial year
Indicator responsibility	CFO and HOD (FAD)	SM: CEO's Office

Indicator title	5. Number of reports on the implementation of the gender mainstreaming plan considered by the relevant subcommittee within the stated time frame	6. Number of reports on the implementation of the Hybrid Working Strategy considered by the relevant subcommittee within the stated time frame
Definition	This is the number of reports on the implementation of the gender mainstreaming plan	This is the number of reports on the implementation of the Hybrid Working Strate
Source of data	Gender mainstreaming plan	Hybrid Working Strategy
Method of calculation/ assessment	Actual number of reports considered per annum	Actual number of reports considered per annum
Means of verification	Implementation reports, minutes of REC meeting	Implementation reports, minutes of REC meeting
Assumptions	Implementation of the gender mainstreaming plan actioned as planned	Implementation of the Hybrid Working Strategy actioned as planned
Disaggregation of beneficiaries (where applicable)	The plan that will be developed by the end of 2024/25 will provide information	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Annually	Annually
Desired performance	Four reports on the implementation of gender mainstreaming initiatives considered annually by the REC by 31 March	Four report on the Hybrid Working Strategy considered annually by the HRRCb by 31 March
Indicator responsibility	EM: COS	EM: CHCO
Indicator title	7. Number of reports on legislation, policy and case law developments that have an impact on the Regulator, considered by the relevant subcommittee or the Energy Regulator within the stated timeframe	8. Number of litigation reports considered by the relevant subcommittee or the Energy Regulator within the stated timeframe
Definition	This is the number of reports on legislation, policy and case law developments that have an impact on the Regulator	This is the number of reports on the quarterly litigation reports considered
Source of data	Progress Report and minutes of the relevant Subcommittee	Progress Report and minutes of the relevant Subcommittee
Method of calculation/ assessment	Number of progress reports	Number of progress reports
Means of verification	Submissions to REC; Minutes of REC	Submissions to REC; Minutes of REC
Assumptions	Analysis completed	Analysis completed
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable

Calculation type	Cumulative	Cumulative
Reporting cycle	Quarterly	Quarterly
Desired performance	Four reports on legislative and policy developments impacting on the Regulator considered quarterly by the REC	Four reports considered quarterly by the REC
Indicator responsibility	EM (COS) and HOD (LAS)	EM (COS) and HOD (LAS)

8.6. PROGRAMME 5: PEOPLE AND ORGANISATIONAL CULTURE

Indicator title	1. Number of implementation reports on the Organisational Culture Assessment submitted and considered by the relevant committee or the Energy Regulator within the stated time frame	2. Number of reports on the implementation of the Employment Equity Plan considered by the relevant committee or the Energy Regulator within the stated time frame
Definition	This is the number implementation reports on the Organisational Culture Assessment	This is the number of progress reports on the implementation of the Employment Equity Plan considered by the relevant subcommittee
Source of data	Organisational Culture Assessment Report	Analysis of the implementation of the Employment Equity Plan
Method of calculation/ assessment	Actual number of progress reports considered per annum	Actual number of progress reports considered per annum
Means of verification	Submissions to HRRC, minutes of HRRC meeting	Submissions to HRRC, minutes of HRRC meeting
Assumptions	Assessment concluded	Analysis completed
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Annually	Bi-annually
Desired performance	1 considered annually by the HRRC by 31 March	Two reports considered bi-annually by the HRRC by 31 March
Indicator responsibility	CHCO and HOD (HR)	CHCO and HOD (HR)
Indicator title	3. Percentage of management positions filled by women	4. Percentage of people with disabilities employed
Definition	Analysis of staff complement to determine percentage of women in management positions	Analysis of staff complement to determine percentage of people with disabilities employed
Source of data	Staff statistical information	Staff statistical information
Method of calculation/ assessment	$(\text{Number of women in management positions})/(\text{number of management positions}) \times 100$	$(\text{Number of people with disabilities employed})/(\text{number of all positions}) \times 100$
Means of verification	Submissions to HRRC, minutes of HRRC meeting	Submissions to HRRC, minutes of HRRC meeting
Assumptions	Analysis completed	Analysis completed
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Non-cumulative	Non-cumulative

Reporting cycle	Annually	Annually
Desired performance	50% of women in management positions	2% of people with disabilities employed
Indicator responsibility	CHCO and HOD (HR)	CHCO and HOD (HR)
Indicator title	5. Number of progress reports on the implementation of the Youth Employment Accord considered by the relevant committee or the Energy Regulator within the stated time frame	6. Number of reports on the implementation of the bursary programme for qualifying external applicants considered by the relevant committee or the Energy Regulator within the stated time frame
Definition	This is a report on the status of the percentage of people with disabilities employed	This is a report on monitoring the implementation of the bursary programme for qualifying external applicants
Source of data	Report on the status of the percentage of people with disabilities employed	Approved bursary programme
Method of calculation/assessment	Actual number of progress reports considered per annum	Actual number of progress reports considered per annum
Means of verification	Submissions to HRRC, minutes of HRRC meeting	Submissions to HRRC, minutes of HRRC meeting
Assumptions	Analysis completed	Analysis completed
Disaggregation of beneficiaries (where applicable)	Not applicable	Not applicable
Spatial transformation (where applicable)	Not applicable	Not applicable
Calculation type	Cumulative	Cumulative
Reporting cycle	Quarterly	Annually
Desired performance	Four reports on the implementation of the Youth Employment Accord considered quarterly by the HRRC	Four reports on the implementation of the bursary programme for qualifying external applicants considered annually by the HRRC by 31 March
Indicator responsibility	CHCO and HOD (HR)	CHCO and HOD (HR)

